

How to transfer money out of China

By Lin Shendu

First edition, August 2026

Research cutoff: 9 August 2026

A compliance-first guide to lawful, documented transfers from mainland China.

Copyright and disclaimer

© 2026 Lin Shendu. All rights reserved.

This book is general information, not legal, tax or investment advice. Rules and bank practices change. Verify current official texts and engage qualified PRC and destination-jurisdiction advisers before acting on a material transaction.

This book does not provide instructions for evading capital controls, AML rules, tax duties, sanctions, bank controls or customs requirements. It discusses prohibited practices only so readers can avoid them.

Contents

- Chapter 1 — Why this is not simple, and what you actually need
- Chapter 2 — The plain-English mental model: SAFE, PBOC, banks, and you
- Chapter 3 — Current account vs. capital account, and why purpose codes matter
- Chapter 4 — Who you are changes everything: residency, citizenship, household registration
- Chapter 5 — Buying foreign exchange (购汇) under the USD 50,000 facilitation quota
- Chapter 6 — Sending it abroad: cross-border remittance (跨境汇款)
- Chapter 7 — Beyond the quota: documented transactions that do not consume the USD 50,000
- Chapter 8 — Cards, cash, and traveller's cheques
- Chapter 9 — Chinese citizens and residents: trips, study, family support
- Chapter 10 — Foreign employees and expatriates: salary repatriation
- Chapter 11 — Property: buying and selling, and getting the proceeds out
- Chapter 12 — Inheritance and gifts

- Chapter 13 — Emigration and the move-out process
 - Chapter 14 — Insurance, pensions, and capital-account investments that are not yet open
 - Chapter 15 — Entrepreneurs, freelancers, the self-employed, and small businesses
 - Chapter 16 — Companies: dividends, service fees, royalties, capital
 - Chapter 17 — Outbound direct investment: companies, resident individuals and Circular 37
 - Chapter 18 — QDII, Hong Kong Stock Connect, and other "indirect" outbound investment channels
 - Chapter 19 — Anti-money-laundering rules you will actually meet
 - Chapter 20 — Watchlist management: how SAFE tracks and what triggers the penalties
 - Chapter 21 — What you must NOT do: underground banking, crypto/stablecoin, quota arbitrage
 - Chapter 22 — The destination side: foreign bank, foreign tax, and reporting
 - Chapter 23 — Rejections, returns, escalations, and appeals
 - Chapter 24 — Pre-transfer worksheet and a worked example
 - Chapter 25 — How to verify rules on your own

 - Appendix A — Glossary
 - Appendix B — Pre-transfer checklist (universal five-item pack)
 - Appendix C — Document pack templates by reader profile
 - Appendix D — Bank interview script
 - Appendix E — Verifying a source on SAFE and PBOC portals
 - Appendix F — Frequently-used Chinese terms in full
 - Sources
-

Chapter 1 — Why this is not simple, and what you actually need

What this chapter is for: this book is for readers who want to send their own money out of mainland China through lawful channels and who want to do it without being lied to. It is also a working manual: every chapter ends with a checklist or a worksheet you can take to the bank or to your accountant. This first chapter is the orientation. Read it once carefully. The chapters after it are tools; use the index and the worksheet to get to the tool you need.

1.1 The hardest thing about this topic is that it sounds easy

The question "how do I transfer money out of China?" has many different correct answers. It is also one of the most aggressively misanswered questions on the open web. Search for "how to send money out of China" and you will find articles that describe the USD 50,000 annual quota as if it were the entire legal universe, others that recommend tokens, "overseas property tokens," or stablecoins, and still others that advertise 境外 services that operate in regulatory grey zones.

The reality is narrower and more interesting. For most readers, the actual problem is one of three things:

- The reader's purpose (a child's tuition, an elderly parent's support, a property sale, an inheritance, a business dividend) is not the same thing as exchanging currency. Exchanging currency is the easy step; the hard step is the approval to remit it. Many readers discover this only when the bank asks for a tuition invoice, a tax certificate, or an employment contract. [9][10][11]
- The reader does not yet understand that the quota is not the limit. The USD 50,000 facilitation quota is a convenience ceiling. There are lawful routes that allow larger current-account transfers with documentation. [7] Some readers learn this only after being told "no" by a junior bank clerk who did not know either.
- The reader is considering something that is in fact illegal. Underground banking, 对敲 with USDT, false-purpose declarations, sham trade, and quota lending are not just unethical; they are criminal. PBOC, SAFE, and the courts have been steadily increasing enforcement, and the enforcement technology has improved. [29][30][32]

This book will not help you do those things. It will help you not need to do them.

1.2 What this book is, and what it is not

This book is a compliance guide for lawful outward transfers of money from mainland China. It is not an evasion manual. It is not legal advice or tax advice. It is not a price book; fees, FX rates, and bank practices change.

The book assumes:

- You have a lawful source of funds.

- You are willing to complete the documentation that the bank will ask for.
- You want a durable, repeatable process rather than a one-off "hack."

If your purpose is to evade, the book will not be useful to you. It will tell you, in some detail, what is and is not permitted and what happens when things go wrong, so that you understand what you are avoiding — and so that you can take the lawful route instead. [33][35]

1.3 A very brief map of the legal landscape

The PRC foreign-exchange regime is administered by two main bodies, with several supporting agencies:

- SAFE — State Administration of Foreign Exchange (国家外汇管理局) sets the rules for FX purchase, sale, and cross-border remittance. SAFE's local branches (state-level and provincial) issue approvals for higher-value and capital-account transfers. [1]
- PBOC — People's Bank of China (中国人民银行, the central bank) sets AML policy, renminbi policy, and rules for cash. PBOC's CDD rules, jointly issued with NFRA and CSRC, took effect on 1 January 2026 and tightened the identification requirements on cross-border wires. [83]
- NFRA (formerly CBIRC) supervises banks and insurers.
- SAT (the State Taxation Administration) handles tax-clearance filings for outbound service-trade payments.
- MOFCOM, NDRC, SAFE together administer the corporate outbound-direct-investment (ODI) regime. [76][77]
- Customs enforces border cash-declaration rules.
- NIA (the National Immigration Administration) handles residence permits and publishes the basic FX guidance for foreigners.

For most readers in this book, only SAFE, PBOC, the bank, and (in some cases) the tax bureau will matter. We explain their roles in plain English in Chapter 2.

1.4 Hong Kong and Macao are not the mainland

This is the single most common source of confusion for non-mainland readers.

A reader who holds a Hong Kong ID card but lives in the mainland is treated, for SAFE purposes, as a non-mainland individual (境外个人). A reader who holds a mainland Chinese passport but has moved to Hong Kong is, for SAFE purposes, treated as a mainland individual until they have formally emigrated and cancelled their mainland hukou. [16]

A reader who wants to send money from Hong Kong to the United States is not sending money out of China at all — they are sending it out of Hong Kong, under HKMA rules and HK's Banking Ordinance. This book does not cover that case.

Inside this book, "China" means the PRC mainland, excluding the Hong Kong SAR, the Macao SAR, and the Taiwan region. Where a rule applies differently to a HK/Macao/Taiwan resident, we say so explicitly.

1.5 The decision you are actually making

Most readers who pick up this book want one of three things:

1. A small, recurring transfer (USD 1,000–20,000 at a time) for travel, family support, or a child's living expenses. This is a facilitation-quota problem. Most readers fit here. 2. A specific, documented, larger transfer — a child's first-year tuition and deposit, an inheritance, a property-sale net proceeds. This is a document-supported, current- or capital-account problem. Read Chapter 7 and the relevant profile chapter. 3. A transfer that is not generally permitted — overseas property purchase, overseas securities purchase, overseas investment-linked life insurance. For these, the answer is usually use a different lawful route. Chapter 18 covers the legitimate alternatives (QDII funds, Hong Kong Stock Connect Southbound). Most readers who think they need this kind of transfer are surprised to find there is a regulated path.

This book treats each of those decisions separately. The pre-transfer worksheet in Appendix B will help you classify your own.

1.6 How to use this book

- If you are a Chinese citizen with a small recurring need (family support, savings): read Chapters 2, 3, 5, 6, and 9.
- If you are sending a child abroad: read Chapters 7 and 9, and Appendix B's study-abroad document pack.
- If you are a foreign employee in China (or a foreign national who has lived here for years): read Chapters 4, 7, and 10.
- If you are selling property in China and want the proceeds out: read Chapter 11.
- If you have inherited or are inheriting: read Chapter 12.
- If you have emigrated and have remaining assets: read Chapter 13.
- If you are a small business owner or freelancer: read Chapter 15.
- If you are a company owner, partner, or finance staff: read Chapter 16 (and Chapters 17 and 18 if you are considering outbound investment).
- If you want to invest abroad via regulated funds: read Chapter 18.
- If you have just been told "no" by your bank and don't understand why: read Chapter 23.

Each profile chapter has a Decision box at the end. Before you act on any chapter, you should be able to complete the decision box in writing. If you can't, you don't yet understand the chapter well enough to act on it.

1.7 What you should not trust at face value

This book is current as of 9 August 2026. The rules we cite are operative as of that date. By the time you act, they may have changed — sometimes in minor ways (a fee schedule update), sometimes in major ways (a SAFE circular that supersedes one we cite). The two resources you should treat as ground truth at the moment of action are:

1. SAFE's portal (www.safe.gov.cn) — for the operative FX rules. 2. PBOC's portal (www.pbc.gov.cn) — for AML, CDD, and cross-border wire rules.

The bank's product page will also reflect the bank's current procedural requirements, which can differ from bank to bank.

In Appendix E we explain how to read a SAFE circular and a PBOC notice yourself. You do not need to be a lawyer to do this; you need patience and a translator.

1.8 A note on what we deliberately leave out

This book does not cover:

- Tax planning beyond what is needed to complete a tax recordal filing. We explain the filing because the bank or your accountant will ask you about it; we do not give tax-avoidance advice.
- Cross-border investing strategies. We explain the regulated retail-access routes; we do not recommend specific investments.
- Hong Kong, Macao, or Taiwan outbound transfers (different rules entirely).
- Cryptocurrency and stablecoins used for value transfer. We discuss the mainland ban only to make clear why these are not lawful routes for the mainland-resident reader. [29]

The pre-transfer worksheet in Appendix B asks you to identify your purpose, your profile, and your destination. Once you have filled it in, you should be able to navigate to the relevant chapters quickly.

1.9 The checklist — what to take away from this chapter

Before you proceed:

- ☐ I have identified my reader profile (Chinese citizen, foreign employee, emigrant, heir, small-business owner, company, etc.).
- ☐ I have identified the purpose of my transfer (travel, study, family support, salary, property, inheritance, dividend, investment).
- ☐ I have located the relevant chapter (see Section 1.6).
- ☐ I have acknowledged that this is a compliance guide, not an evasion guide.
- ☐ I have noted that rules can change and I will re-check on SAFE's and PBOC's portals at the moment of action.

If you cannot tick all five boxes, you may want to re-read the chapter before proceeding.

Next: Chapter 2 — The plain-English mental model: SAFE, PBOC, banks, and you.

Chapter 2 — The plain-English mental model: SAFE, PBOC, banks, and you

What this chapter is for: before you read any of the how-to chapters, you need a working model of who does what. This chapter is short, deliberate, and explanatory. By the end of it you should be able to read a SAFE circular and understand which line applies to you.

2.1 The four actors that matter to almost every reader

In almost every cross-border money story on the mainland, four actors appear. Each has a distinct role, and conflating them is the most common cause of reader confusion.

Actor	Role	What they do	What they don't do
SAFE (国家外汇管理局)	Rule-setter and senior approver	Sets the FX rules. Approves high-value and capital-account transfers. Runs the individual monitoring system.	Does not actually move your money. Does not look at your passport.
PBOC (中国人民银行)	Central bank and AML policy-setter	Sets monetary policy. Sets AML rules (jointly with NFRA and CSRC). Sets renminbi cash rules.	Does not approve individual transfers.
Designated FX bank (外汇指定银行)	Operational gatekeeper	Opens your FX account, processes your purchase, runs your cross-border wire, screens the beneficiary, decides whether to release the funds.	Does not set the rules; applies them. Can refuse a transfer the rules technically allow.
You	Applicant and documenter	Provide the ID, the documents that prove the purpose, and the destination details.	Cannot overrule the bank.

The phrase "SAFE approved it" is a little misleading at the individual level. For most personal current-account transactions, the bank approves the transaction under its SAFE-granted licence; SAFE itself only directly approves the larger or capital-account items (an inheritance transfer, an emigration transfer, an ODI). For a tourist buying USD 2,000 at the counter, SAFE is not involved at all — but SAFE's rules govern what the bank may do. [1][7]

2.2 SAFE's two big divisions: current account and capital account

Every cross-border transfer falls into one of two buckets under the SAFE framework. [1][7][75]

- Current account (经常项目). Goods and services trade, salary, family support, study, travel, medical treatment, royalties, dividends from non-FIE investments. This is the larger bucket by transaction count. Within current account, the principle is convertibility — the rules are written to facilitate legitimate transfers, with documentation to back them up.
- Capital account (资本项目). Direct investment abroad (ODI), portfolio investment, financial derivatives, real-estate purchases abroad, outbound loans, the principal of capital transfers. Within capital account, the principle is progressive convertibility — rules are written to manage, case by case.

The reason this matters is that the documents the bank requires depend on which bucket

you are in. [7][8]

A reader sending USD 10,000 to a child studying in London is operating in the current account. The bank will want to see the tuition invoice, the acceptance letter, possibly a passport and visa. The reader is not operating in the capital account, even though the amount is large.

A reader sending USD 500,000 to a joint venture abroad is operating in the capital account. The reader's company (or, if via a SPV, the reader personally under the 37号文 regime) must register with MOFCOM, NDRC, and SAFE. The personal facilitation quota is not the relevant rule. [76][77]

The rules are different; the documents are different; the people you deal with are different. Knowing which bucket you are in is the single most useful question you can ask before you act.

2.3 Purchase of FX vs. remittance of FX — the often-confused distinction

Another source of confusion: buying foreign currency and remitting foreign currency are not the same thing.

- Buying FX (购汇) is the act of converting RMB into foreign currency. You can buy FX and leave the foreign currency in a domestic FX savings account; you can buy FX and take it as cash; you can buy FX and then decide to remit it. Each of these is a separate transaction in SAFE's monitoring system. [7][9]
- Remitting FX (汇出) is the act of sending money abroad — a wire, a demand draft, a cross-border card transaction. The bank tracks the remittance and, separately, the purchase that funded it.

The facilitation quota of USD 50,000/year governs the purchase of FX. It does not, by itself, authorise a remittance of any amount. [7]

If you bought USD 50,000 last year and remitted nothing, you can still only buy USD 50,000 this year — the quota does not roll over; it resets each calendar year on 1 January, and the unused portion is forfeit. [13]

If you bought USD 50,000 in January and remitted only USD 10,000, you have USD 40,000 in your FX savings account, but you have already used your annual purchase quota. Buying more, even to remit, requires either above-quota documented purchase or waiting for the new calendar year.

A common reader question: "If I have USD 40,000 in my FX account, why can't I just send it?" You can — the remittance is a separate transaction. But you cannot replenish your purchase-quota balance to buy more until January. Some readers misunderstand this and think the quota is "stuck"; it is not, but it is annual. [13]

2.4 Why "I have money in the bank" is not enough

A frequent surprise: a reader with RMB 5 million in their savings account who walks into a bank branch and asks to wire USD 200,000 abroad for "personal reasons" will be told no — not because the rules forbid it, but because:

- The bank is required to verify the underlying purpose (真实性审核). [7][13][19]
- For amounts above the USD 50,000 facilitation quota, real-transaction documentation (真实性凭证) is required. [7]
- For capital-account purposes, the bank will not act on a verbal request; it requires SAFE registration. [75][77]

This is not the bank being unhelpful. The bank is the front-line gatekeeper for SAFE and PBOC. A bank that disregards these requirements can be fined, lose its FX licence, or have its responsible officers imprisoned. The PBOC's revised AML Law (effective 1 January 2025) raised the legal exposure further. [19]

The implication for the reader: the conversation with the bank is not "I'd like to wire USD 200,000, please"; the conversation is "I'd like to wire USD 200,000 to [named recipient] for [stated purpose], here are the documents, here is the source of funds."

2.5 The four kinds of documents the bank will ask for

In practice, almost every cross-border wire has a paper trail that includes four components. Different banks vary in how they group them, but the categories are stable.

1. Identity and standing. Mainland resident ID, passport, work permit, residence permit, Foreigner's Permanent Residence ID Card (中国绿卡), HK/Macao/Taiwan travel document, company chops, board resolutions. [4][5][7] 2. Source of funds. Salary slips, IIT payment records, business income statements, bank statements showing the inbound source of the funds, prior remittance records, contract notes. [7][44] 3. Purpose evidence. Tuition invoice, accommodation letter, employment contract for salary repatriation, dividend resolution and CIT payment record, sale contract for property proceeds, notarised inheritance documents, notarised emigration approval. [7][10][12] 4. Destination details. Beneficiary name, address, account number, SWIFT/BIC, intermediary bank information. The destination may also require its own CDD information (passport, address, source of funds statement). [83]

If any one of these four is missing, the bank will either (a) ask for it (most common), (b) decline to process (also common), or (c) hold the transaction pending a SAFE branch consultation (uncommon, but possible for large current-account transactions that look unusual). [19]

2.6 How SAFE and PBOC's monitoring work, in plain English

Two phrases recur in this book: SAFE's "individual monitoring system" (个人外汇业务监测系统) and PBOC's revised AML Law (反洗钱法, effective 1 January 2025). Both deserve a moment of explanation. [19][33]

SAFE's system has been operating nationwide since 2016. [33] Every purchase, sale, and

remittance you make at a Chinese bank is logged in this system, by your national ID number. The system cross-references:

- Banks (it can see all of your bank activity, not just one bank's).
- Purpose codes (what you said the money was for).
- Counterparties (the recipient details).
- Patterns (multiple small purchases close together, multiple accounts into one beneficiary, frequent cancellation of unused FX).

When a pattern matches certain indicators, the system generates a flag. The bank may receive a risk-warning letter (风险提示函). The first time, this is typically a warning. The second time, or for serious indicators, the bank is instructed to place you on SAFE's "关注名单" — the monitoring list — for the current year and the next two calendar years. [33][35]

While on the watchlist, you lose access to the USD 50,000 facilitation quota entirely; you must complete documented purchases above the quota for even small current-account transfers.

The PBOC's revised AML Law, effective 1 January 2025, raised the criminal exposure for banks that fail to apply CDD. The joint PBOC/NFRA/CSRC Customer Due Diligence and Recordkeeping Measures, effective 1 January 2026, tightened the identification threshold: any cross-border wire of RMB 5,000 (or foreign-currency equivalent of USD 1,000) or more triggers remitter identity verification. [83] This is not a quota change. It is an information change — the bank must capture and verify the sender's details more thoroughly, but the USD 50,000 quota is unchanged.

The point is not that the rules are arbitrary. The point is that the rules are now enforced technologically, not just procedurally, and that a long, clean compliance history is more valuable than a clever workaround.

2.7 The mental model in one diagram

Here is the simplest way to think about any cross-border transfer:

``` Purpose → Bucket → Documents → Bank → SAFE branch (if needed) → Recipient ```

- Purpose is what you actually want to do (study, salary, sale, inheritance, dividend, ...).
- Bucket is current or capital.
- Documents are the four categories above (identity, source, purpose, destination).
- Bank decides whether your documents satisfy SAFE's rules.
- SAFE branch decides only if the bank refers the case or if capital-account registration is required.
- Recipient then applies their own jurisdiction's rules (tax, AML, reporting).

Almost every reader problem is a problem at one of those six steps. The chapters after this one walk through the steps in detail for specific profiles.

## 2.8 When to involve counsel

This book is a guide, not advice. We say so in the front matter and will say so again. There are several points at which the reader should engage counsel:

- Any capital-account transfer above the facilitation quota (especially inheritance, ODI, and SPV-related transactions).
- Any transfer that requires a SAFE branch approval (immigration transfer, large inheritance transfer).
- Any transfer where the reader is a politically exposed person (PEP) or is closely related to one.
- Any transfer involving a sanctioned country or a sanctioned counterparty.
- Any transfer where the reader's tax position is unclear (the SAT recordal filing is not a clearance of tax liability; it is a recordal).
- Any transfer where the recipient will be subject to destination-side reporting (FBAR, FATCA, CRS, etc.).

This is not an exhaustive list. It is a working rule: if your situation is not in the simple-cases section of this book, talk to a Chinese lawyer or accountant licensed in the relevant PRC jurisdiction, and a destination-side professional. [76]

## 2.9 Checklist

Before you read any how-to chapter, you should be able to answer each of these:

- ☐ I know my purpose for the transfer.
- ☐ I know whether my transfer is a current-account or a capital-account item.
- ☐ I understand that the USD 50,000 quota governs purchases, not all remittances.
- ☐ I know that the bank is the front-line gatekeeper and SAFE is the rule-setter.
- ☐ I have the four categories of documents in mind: identity, source of funds, purpose, destination.
- ☐ I have acknowledged that this book is not legal or tax advice and that I may need professional counsel.

---

Next: Chapter 3 — Current account vs. capital account, and why purpose codes matter.

---

## Chapter 3 — Current account vs. capital account, and why purpose codes matter

What this chapter is for: the distinction between current-account and capital-account items is the single most important categorical distinction in the SAFE framework. Almost every other question — what documents, which form, which bank counter — depends on it. This chapter explains the distinction in depth and shows why purpose codes (the categories on the personal FX purchase application form) are not bureaucratic trivia but are part of the regulator's risk model.

### 3.1 The IMF framework, in one paragraph

The international financial-statistics community, following the IMF's Balance of Payments Manual, divides all cross-border economic transactions into two main accounts plus a third financial account.

- Current account: the trade in goods and services, primary income (compensation of employees, investment income), and secondary income (transfers such as family support, gifts, remittances).
- Capital account: capital transfers (such as debt forgiveness, migrants' transfers) and the acquisition/disposal of non-produced, non-financial assets.
- Financial account: FDI, portfolio investment, financial derivatives, reserve assets.

In the PRC's SAFE rules, "current account" and "capital account" are used somewhat loosely to refer to (a) the IMF current and capital accounts together, and (b) "everything else" — the financial account items, including FDI and securities investment. For a working model, the reader only needs to remember: trade, services, and ordinary transfers are current; investment in assets is capital. [1][7][75]

### 3.2 What is "current account" in SAFE practice

A non-exhaustive but practical list of current-account items, as SAFE recognises them: [7][13]

- Travel (因私旅游): business travel, leisure travel, visiting relatives (探亲), medical treatment abroad.
- Study abroad (自费留学): tuition, accommodation, living expenses.
- Family support (赡家款): support for a spouse, children, parents, and other close relatives abroad.
- Salary (职工报酬): lawful employment income earned in mainland China by a foreign national or other non-mainland individual.
- Royalties (专有权利使用和特许收入): use of intellectual property, licensing fees.
- Professional services income (法律、会计、咨询和公共关系服务收入): legal, accounting,

consulting, PR.

- Insurance income (保险外汇收入): insurance payouts and benefits received as a beneficiary.
- Donations (捐赠): cross-border charitable gifts, subject to additional charity-law rules.
- Inheritance income (遗产继承收入): current-account treatment for the income; the principal transfers via the inheritance route in Chapter 12.
- Investment income (境外投资收益): income from a previously made outbound investment — dividends, interest. The original investment was a capital-account transaction.
- Property-sale proceeds (出售房产收入): subject to documentation and tax-clearance/recordal.
- Trade in goods (货物贸易): for individuals with a small trader profile; for entities, this is the main route.
- Service trade (服务贸易): cross-border services rendered, including consulting, IT services, design, etc.

For the bank's monitoring system, each of these has a purpose code (交易编码). The codes you see in your bank's purchase application are not arbitrary; they correspond to SAFE's categorisation. [7][9][13]

### 3.3 What is "capital account" in SAFE practice

A practical list of capital-account items: [7][75][77]

- Outbound direct investment (ODI) by a Chinese entity in an overseas enterprise — equity acquisition, greenfield investment, M&A. Requires MOFCOM + NDRC + SAFE registration. [76][77]
- Outbound portfolio investment by retail individuals — generally not permitted directly under the personal facilitation quota. Permitted via the QDII programme and certain connect schemes (see Chapter 18).
- Outbound real-estate purchase by a mainland individual or entity — generally not permitted under the personal facilitation quota. [9][13]
- Investment-linked life insurance and other investment-type insurance purchased abroad by a mainland resident — not a permitted use of the facilitation quota. [74][9]
- Cross-border loans extended by a Chinese entity to an offshore affiliate (境内机构境外放款) — registered with SAFE.
- Capital transfers associated with emigration (移民财产转移) — see Chapter 13.
- Capital transfers associated with inheritance (继承财产转移) — see Chapter 12.
- Acquisition of overseas financial assets by individuals — generally not permitted under the personal facilitation quota, except where the underlying product is a regulated QDII fund or a connect-scheme product. [13][25][26]

The conceptual difference: a current-account transaction is consumption — buying something, paying for something, supporting someone, receiving compensation for something already done. A capital-account transaction is saving — acquiring an asset that will, in the future, generate income or be sold for a different price. SAFE regulates consumption loosely

(with documentation); SAFE regulates saving tightly (with registration and prior approval). [75]

### 3.4 The purpose code you tick on the application form

When you buy FX at a Chinese bank — whether via mobile app or counter — you are presented with a list of purposes that mirrors the SAFE categorisation. A representative list, drawn from BOC, ICBC, and CITIC product pages: [9][10][2]

- 因私旅游 — Private travel
- 公务及商务出差 — Business travel
- 探亲 — Visiting relatives
- 自费留学 — Self-funded study abroad
- 境外就医 — Medical treatment abroad
- 培训 — Training
- 咨询 — Consulting
- 比赛 — Competition
- 演出 — Performance
- 交流 — Exchange
- 经贸活动 — Trade-related activity
- 境外购物 — Investment income (sometimes labelled 投资收益)
- 其他 — Other

What you will not see:

- 境外购房 — Overseas property purchase
- 境外证券投资 — Overseas securities investment
- 购买境外人寿保险 — Purchase of overseas life insurance
- 投资性分红险 — Investment-type insurance

These are deliberately omitted from the standard options, because they are not permitted uses of the personal facilitation quota. Selecting "其他" and writing "overseas property" in the free-text box is the textbook example of a false declaration. [13][33]

### 3.5 Why purpose codes matter even when the underlying rules are met

A reader with a fully-documented above-quota transaction still has to fill in the application form accurately. There are three reasons.

First, SAFE's monitoring system cross-references the declared purpose against the bank's understanding of the transaction. If the wire is for tuition but the form says "因私旅游," the bank has a duty to verify and may refuse until corrected. [9]

Second, the purpose code drives which documents the bank's branch will ask for. Most banks have a documentation matrix keyed to purpose codes; mis-declaring produces a

documentation mismatch. [12]

Third, and most consequentially, mis-declaration is one of the explicit triggers for SAFE's monitoring-list placement. The 中国侨网 summary of SAFE violation cases lists, in order: providing false proof materials; lending one's own quota; borrowing another person's quota; overseas property / securities purchase with FX; underground-bank and money-laundering involvement. [33] The consequences include quota loss, fines up to 30%+ of the illegal amount, and PBOC credit-system entry. [33][35]

The reader who treats the purpose code as a formality has not understood how the system works.

### 3.6 The transaction lifecycle, step by step

Let us follow a small but representative transaction through the system.

Scenario. A mainland-resident parent wants to remit USD 5,000 to a child's overseas account for living expenses. The parent has USD 5,000 of unused facilitation quota this year.

Step 1: The parent opens (or uses) the child's overseas account. The parent has the SWIFT/BIC code, the account number, and the child's address. [19][62]

Step 2: At the bank (mobile app or counter), the parent selects 境外汇款 / 跨境汇款 (cross-border remittance).

Step 3: The bank presents a 外汇汇款申请书 (FX remittance application). The parent fills in:

- Remitter identity (ID number, name)
- Beneficiary (name, address, account, SWIFT/BIC, intermediary bank if needed)
- Amount and currency
- Purpose code (探亲 / 因私旅游 / 赡家款 — depending on the actual situation)

Step 4: For amounts within the USD 10,000 per-day equivalent and within the parent's facilitation quota, the bank will normally accept the application on the strength of identity + purpose declaration. [7][12]

Step 5: The bank debits the parent's RMB account (if FX has not yet been bought) or the parent's FX savings account (if it has). It may go through an internal purchase first.

Step 6: The bank screens the beneficiary against sanctions lists and applies its OWN-CHECK (OUR), SHARE (SHA), or BENEFICIARY (BEN) charge codes. [58][59][61]

Step 7: The bank initiates the SWIFT message. Within the same bank group, this can happen same-day; to an external bank, it is typically 1–3 working days, longer if there is a documentary query.

Step 8: SAFE's monitoring system records the transaction against the parent's ID.

Step 9: The recipient's bank applies its own CDD and, in some cases, applies further hold ("收到资金核实"). The recipient bank is bound by its own jurisdiction's AML; this is separate from SAFE.

This is the easy case. Now consider:

Scenario, harder. The same parent wants to remit USD 50,000 (the entire quota) for the child's first-year tuition and deposit.

- The parent's quota has not been consumed.
- The bank still requires real-transaction documentation: tuition invoice, acceptance letter, deposit confirmation.
- The bank's documentation matrix for "自费留学" will require these specific documents. [10][12]
- The bank may not consume the quota for the documented portion. SAFE Implementing Rules Article 12 (and the implementing guidance from SAFE branches and banks) make clear that documented current-account transactions above the quota do not consume the quota. [7][12]
- The parent can still remit USD 50,000 for tuition without the quota being consumed.

This is the source of the confusion: "I'm using my quota" is not the right frame for documented above-quota transfers. The quota is for un-documented current-account items (cash purchases for travel, family support that is not formally documented, etc.).

### 3.7 What if my transfer looks like both?

A few real-life cases straddle the line. Property sale proceeds (sale of a mainland property by a foreign national): the proceeds are current-account income from a property sale, but the underlying property holding was arguably a capital-account matter. SAFE handles this by directing the seller through the tax-clearance route and then the standard bank wire, rather than through the ODI registration route. [15][49]

Sale of business assets by a foreign national who is leaving China: similar. The proceeds are current-account income to the seller; the underlying business may have been treated as a capital-account investment originally (FDI, in the buyer's books), but the seller's receipt is income.

A foreign national repatriating savings accumulated over years of work: salary was current-account income, accumulated savings are personal assets. The wire is current-account (savings). The bank will still want to see the source-of-funds history (pay slips, IIT payment records) and may require a brief explanation of why the savings are now being transferred. [44][7]

If you think your situation straddles both accounts, the simplest test is: what evidence is there that the money is yours in a final, realised sense? Salary earned and taxed = current-account. Property sold, with a tax-paid sale contract = current-account. Equity in a Chinese company, even if you are a minority shareholder = capital-account, and you need an ODI/SPV route or a FIE dividend route, not just a personal wire. [7][75][76]

### 3.8 The role of purpose codes in disputes

A purpose code is the bank's first line of defence when a SAFE branch asks why a transaction was processed. If the code says "因私旅游" but the supporting documents show tuition



payment, the bank has to explain the discrepancy. The bank's safer practice is to require the application to match the documents before processing. [9][12]

The corollary: when a reader disputes a refusal ("I have the tuition invoice, why won't you process?"), the answer is usually that the purpose code on the application does not match the documents. Fixing this is a clerical matter; the underlying transaction is allowed.

A reader who is asked to change the purpose code from "自费留学" to "因私旅游" in order to avoid quota use is being asked to misdeclare. Do not do this; the legal exposure is on both the bank and the customer. [33]

### 3.9 A note on documenting the undocumented

Some transfers do not have a clean paper trail. A reader who earned RMB 500,000 over five years from freelance consulting and has individual income tax payment records may still have a hard time explaining to a bank why they are remitting a lump sum. This is a documentation problem, not a legal problem.

The practical answer: assemble what you have. Bank statements. Tax payment records. Contracts with the clients (or at least a one-page summary of who paid what). A simple letter explaining the remittance. The bank may then process the transaction, possibly with a slightly slower review. [44]

A reader with no documentation at all should not be surprised that the bank refuses or refers the case to SAFE. This is the system working as designed.

### 3.10 Checklist

- [ ] I can state which bucket (current or capital) my transfer falls into.
- [ ] I can identify the purpose code my bank will require me to declare.
- [ ] I can list the four categories of documents (identity, source, purpose, destination) that apply to my transfer.
- [ ] I understand that the USD 50,000 quota governs purchases and is for un-documented current-account transfers; documented current-account transfers above the quota do not consume it.
- [ ] I will not allow a bank clerk (or anyone) to ask me to mis-declare the purpose.

---

Next: Chapter 4 — Who you are changes everything: residency, citizenship, household registration.

---

## Chapter 4 — Who you are changes everything: residency, citizenship, household registration

What this chapter is for: SAFE's rules attach to people, and "people" is not one thing. Mainland Chinese citizens with household registration, mainland Chinese citizens who have emigrated but not cancelled their hukou, foreign nationals working in China, foreign permanent residents (中国绿卡 holders), and Hong Kong/Macao/Taiwan residents each have a different rule set. This chapter explains the status taxonomy and what it means for your remittance.

### 4.1 The four personal statuses that govern FX treatment

SAFE Implementing Rules (汇发〔2007〕1号) and the NIA's published guide treat personal FX according to the following status categories: [7][5]

| Status | Identity document | FX treatment | |---|---|---| | Mainland Chinese citizen with mainland hukou | Resident ID card (居民身份证) | Standard PRC individual rules: USD 50,000 annual facilitation quota; documented above-quota transfers permitted | | Mainland Chinese citizen who has emigrated and cancelled mainland hukou | Passport with foreign permanent residency or foreign citizenship; hukou cancellation record from public security | Emigration transfer route applies (Chapter 13). May also still hold the PRC passport, but for SAFE purposes the hukou status controls. | | Mainland Chinese citizen with foreign permanent residency but not yet cancelled hukou | PRC passport + foreign PR card; hukou still active | Complicated. In practice, treat as mainland individual until hukou cancellation. Emigration-transfer route becomes available after cancellation. | | Foreign national with ordinary residence permit (e.g. work permit) | Passport + residence permit | Non-mainland individual. Quota for settlement (RMB→FX or FX→RMB conversion) only applies where the foreign national holds a Foreigner's Permanent Residence ID Card. [4][5] Otherwise, documented current-account transfers without quota. [7] | | Foreign national with Foreigner's Permanent Residence ID Card (中国永居 / "Chinese green card") | PRC-issued permanent residence card | Treated as a domestic individual for the purposes of the USD 50,000 facilitation quota and most other current-account rules. [4] | | Hong Kong SAR resident | HK ID card; Mainland Travel Permit for HK/Macao Residents (港澳居民来往内地通行证) | Non-mainland individual rules. Some special HK↔Mainland channels exist (FPS, dual-currency cards) but are not SAFE-administered. | | Macao SAR resident | Macao ID; Mainland Travel Permit | Same as HK resident. | | Taiwan resident | Taiwan ID; Mainland Travel Permit for Taiwan Residents (台胞证 / 台湾居民来往大陆通行证) | Treated as a non-mainland individual for SAFE purposes; certain SAFE rules specifically address Taiwan (e.g. inheritance transfer). [16] |

### 4.2 Why the hukou matters more than the passport

Many readers with foreign passports assume that holding a foreign passport means they are no longer subject to SAFE's mainland rules. They are often wrong. The decisive factor is whether

the mainland public security bureau has cancelled the reader's hukou\*. [16][38]

Until the hukou is cancelled, a PRC passport-holder who has lived abroad for years remains, in SAFE's eyes, a mainland individual. The USD 50,000 facilitation quota is still theirs. The standard PRC current-account rules still apply. They cannot apply under the emigration-transfer route. [16]

When the hukou is cancelled — and the public security bureau issues a record of cancellation — the reader becomes eligible for the emigration-transfer route (Chapter 13). At that point, they can apply to remit all their remaining mainland assets abroad under a separate procedure, with a SAFE branch's approval. [16][38]

A reader who holds both a PRC passport and a foreign passport and who is unsure of their hukou status should visit their local public security bureau or consult a mainland lawyer. The answer affects every chapter after this one.

## 4.3 Foreigners in China — the two distinct cases

The rules for foreigners in China bifurcate sharply based on whether they hold a Foreigner's Permanent Residence ID Card.

### ### Foreigners without permanent residence

A foreign national holding a residence permit (work permit, family-reunion residence permit, student residence permit) is a non-mainland individual under SAFE rules. The important consequence is that the USD 50,000 annual facilitation quota for purchases does not apply to them in the same way. [7]

What does apply:

- For purchase of FX, the foreigner can convert lawful RMB earnings (salary, bonus, royalties, business income) into foreign currency and remit it abroad, subject to documentation. There is no quota cap. The bank will ask for: passport, residence permit, employment contract, salary slips (recent 3–6 months), IIT payment record (个税完税证明 / 个人所得税证明), the recipient bank details. [7][44]
- For purchase of FX for non-income purposes (e.g. a non-resident foreigner who wants to take savings they brought in from home and remit them), the bank may require additional documentation depending on the bank's own policies and the purpose declared. [45]
- For sale of FX into RMB, the foreigner may convert foreign currency into RMB. The USD 50,000 quota does apply for settlement — but only where the foreigner holds a Foreigner's Permanent Residence ID Card. [4][5]

### ### Foreigners with permanent residence (中国永居)

A foreigner holding the Foreigner's Permanent Residence ID Card enjoys parity with PRC nationals on many SAFE items. HSBC China's published guide makes this explicit: [4]

> "Foreign exchange settlement and foreign exchange purchase by non-Chinese mainland individuals—including those holding a Foreigner's Permanent Residence ID Card—are subject to an annual facilitation quota equivalent to USD 50,000 per person (inclusive)."

The foreigner's permanent residence card is not a guarantee of approval, but it removes the quota constraint on the most common current-account flows.

### ### Why a cash salary is a repatriation trap

The most common mistake among foreign employees in China is accepting part of the salary in cash, off the books. The bank's documentation requirement is built around verifiable income. A salary paid in cash, with no IIT payment record, gives the bank no way to verify that the foreigner's income is from lawful employment. The bank will refuse the wire. [44]

The right approach: insist on full bank deposit + IIT-withheld salary. The IIT record and the bank statement become the documentation backbone for every subsequent repatriation.

## 4.4 Hong Kong, Macao, and Taiwan residents in the mainland

These three categories are not the same, and a HK resident in the mainland is not treated identically to a Macao or Taiwan resident for SAFE purposes.

For SAFE Implementing Rules purposes, all three are 境外个人. The substantive rules for FX purchase (sale) and remittance apply through similar documentation channels. Some specific SAFE instruments explicitly mention "赴香港特别行政区、澳门特别行政区及台湾地区定居" — for example, the inheritance-transfer and emigration-transfer rules. [16][17]

HK residents also have access to certain HK-mainland money channels that are outside SAFE's remit entirely:

- Faster Payment System (FPS) in HKD or RMB between HK and mainland banks.
- Hong Kong–mainland dual-currency debit cards issued by certain banks (e.g. BOC Hong Kong's dual-currency card).
- Cross-border RMB remittance via Hong Kong as a clearing centre (CIPS / CNY clearing) for the corporate side.

For an individual HK resident in the mainland sending savings back to a HK account, the SAFE rules still apply to the mainland-side sale of FX. The HK side has its own HKMA framework, but the conversion from RMB to HKD on the mainland is governed by SAFE.

A Taiwan resident's treatment is similar in many ways but with subtle differences in the documentation pack (e.g. Taiwan Compatriot Permit vs. HK/Macao Travel Permit). [5]

## 4.5 The household registration (hukou) effect on FX

The hukou does not appear on SAFE's application forms, but it affects several downstream things:

- Where the reader can apply for certain SAFE-branch approvals. An emigration-transfer application goes to the SAFE branch in the hukou's pre-cancellation jurisdiction; an inheritance-transfer application goes to the SAFE branch in the deceased's last hukou jurisdiction. [16][17]
- Tax residency. The hukou affects IIT filings for mainland-source income and may affect the

assessment of who is a "resident individual" for IIT purposes. IIT residency and SAFE personal status are not identical concepts but interact.

- Practical banking relationships. A mainland-resident ID card with a Beijing hukou may get smoother service at a Beijing branch than a Beijing-resident with a different hukou. This is anecdotal but consistent across reader reports.

For a reader who has moved from their hukou city but never updated it, the question of which SAFE branch to apply to (if a SAFE-branch approval is needed) can become complicated. We recommend the reader visits the local public security bureau to update the hukou before applying for SAFE-branch approvals. This is a clerical step; it can take weeks.

## 4.6 Status changes that matter for FX

Several real-life transitions change the reader's FX treatment:

- Cancellation of hukou upon emigration — opens the emigration-transfer route. [16]
- Acquisition of foreign permanent residency — does not, by itself, change SAFE treatment. The PRC passport + hukou remains controlling until hukou cancellation. [16][38]
- Acquisition of foreign citizenship — same as above. The PRC government generally does not automatically revoke PRC citizenship upon foreign naturalisation, but in practice dual citizens face complications. [16]
- Acquisition of the Foreigner's Permanent Residence ID Card — opens the USD 50,000 facilitation quota for foreign nationals. [4]
- Change of employment status from work permit to residence permit for family reasons — does not change SAFE treatment for documented income conversion, but the bank's documentation requirements may shift (employment contract → family relationship proof + sponsor's income).

## 4.7 What this means for each profile

- Mainland Chinese with mainland hukou — the standard rules apply. USD 50,000 quota; documented current-account transfers above the quota permitted. [7][9]
- Mainland Chinese with foreign PR, hukou still active — same as above. Do not assume you are exempt from SAFE. [16]
- Mainland Chinese who has emigrated and cancelled hukou — you are eligible for the emigration-transfer route (Chapter 13). Until you apply under that route, your normal banking options are limited; you are a non-resident for SAFE purposes. [16]
- Foreigner with residence permit but no permanent residence — no quota cap on documented income repatriation. Bank will ask for comprehensive employment/tax documentation. [7][44]
- Foreigner with permanent residence — USD 50,000 facilitation quota applies; standard PRC individual rules. [4]
- HK/Macao/Taiwan resident in the mainland — non-mainland individual rules; documented current-account transfers with full income documentation. [5][13]

## 4.8 Identity documents the bank will ask for

The documentation pack varies by status. A representative pack: [7][13]

| Status | Standard document pack for FX purchase/sale or remittance | |---|---| | Mainland Chinese with hukou | Resident ID card; in some cases, household register (户口簿) | | Mainland Chinese emigrant (hukou cancelled) | PRC passport; hukou cancellation record; foreign PR card / citizenship certificate; sometimes SAFE branch approval | | Foreign national with residence permit | Passport; residence permit; employment contract; salary slips; IIT payment record; bank statement | | Foreign national with permanent residence | Foreigner's Permanent Residence ID Card; passport (sometimes); tax records if applicable | | HK/Macao resident | HK/Macao ID; Mainland Travel Permit; bank statement; income documentation | | Taiwan resident | Taiwan ID; Mainland Travel Permit; bank statement; income documentation |

## 4.9 A special note: the foreign employee's bank-selection problem

Foreign employees in China frequently complain that some branches of mainland banks refuse to process their salary repatriation, while others do it smoothly. The variance is real and is partly traceable to:

- Branch-level interpretation of "lawful income."
- Different documentation matrices for non-mainland individuals.
- Branch-level caution toward transactions that look unusual.

The reader who is told "no" at one branch can — within the same bank group — try a different branch. Or move to a different bank. International banks with PRC branches (HSBC, Standard Chartered, Citibank) often have smoother processes for foreign clients; this is anecdotal but consistent. [44][45]

The reader who cannot find a willing branch should engage a local accounting firm or lawyer. A short letter explaining the transaction (in Chinese) often unlocks the process.

## 4.10 Checklist

- [ ] I can identify which status (mainland individual with hukou, mainland individual emigrated, foreign national with residence permit, foreign national with permanent residence, HK/Macao/Taiwan resident) applies to me.
- [ ] I know whether my status gives me access to the USD 50,000 facilitation quota.
- [ ] I have identified the documents the bank will ask for given my status.
- [ ] I have checked that my hukou is correctly registered (if I am a mainland individual).
- [ ] If I am a foreign national, I have verified that my salary is paid via bank deposit with IIT withholding, not in cash.

---

Next: Chapter 5 — Buying foreign exchange (购汇) under the USD 50,000 facilitation quota.

## Chapter 5 — Buying foreign exchange (购汇) under the USD 50,000 facilitation quota

What this chapter is for: the facilitation quota is the everyday workhorse of mainland-resident outward transfers. This chapter walks through how to use it correctly, what it can and cannot do, and how to avoid the most common ways readers lose access to it.

### 5.1 What the quota is — and is not

The USD 50,000 annual facilitation quota (年度便利化购汇额度) is a convenience ceiling under which a mainland individual can purchase foreign currency with a valid ID and a signed purchase application, without additional supporting documents. It applies to current-account items such as travel, study abroad, medical treatment abroad, family support, and other personal consumption. [7][9][13]

It is not:

- A limit on the lawful amount you may remit. Documented current-account transfers above the quota are permitted. [7][12]
- A universal entitlement. The bank can refuse a transaction even within the quota if the bank's CDD reveals concerns. [19]
- Transferable between people. The quota is yours, tied to your ID. Lending it or borrowing it triggers SAFE monitoring. [33]
- Carry-over. Unused quota expires each calendar year on 31 December. [13]
- An FX-remittance right. The quota governs purchase of FX; it does not, by itself, authorise a remittance. [7]

### 5.2 The annual cycle

SAFE's personal FX Business Monitoring System tracks every purchase against your ID, across all banks. The system operates on a calendar year (1 January to 31 December). [7][13]

- 1 January: New quota available; previous year's unused quota is forfeit.
- Throughout the year: Each purchase is logged. The bank can see your cumulative purchases across banks (the system is national).
- 31 December: Year ends; unused quota is gone.

The system does not roll over; the system does not allow you to "save up" quota for a large future purchase.

### 5.3 How to buy FX within the quota

There are two paths, both valid:



Path A: Mobile bank app. Most banks' apps now support the entire flow:

1. Open the app → 出境和外币服务 / 结售汇 (or equivalent). 2. Choose 购汇 (purchase FX). 3. Read the 个人购汇申请书 (individual FX purchase application form). The form lists prohibited uses (境外买房, 证券投资, 投资性保险) and asks you to confirm. [9][12] 4. Select the currency, the amount, the purpose. 5. Confirm. The bank debits your RMB account; the foreign currency lands in your FX savings account. [21]

Path B: Bank counter. Same form, same declaration, same outcome. Slower; sometimes necessary for first-time FX purchases at a new bank. [12][9]

Either way, you have signed an application form with consequences. False declaration is a violation under SAFE Implementing Rules and the relevant PBOC AML rules. [33][19]

## 5.4 The form in detail

The 个人购汇申请书 is a regulatory document, not a clerical form. Banks must display it; readers should read it. The standard form includes: [9][12]

- Identity and contact information.
- Purchase amount and currency.
- Purpose code. Choose one of the listed purposes; do not write "overseas property" in the free-text box.
- Confirmation clauses. These are explicit:
  - The applicant understands the funds will be used for the stated purpose only.
  - The applicant understands that providing false information may trigger SAFE monitoring, fines, and inclusion on the 关注名单.
  - The applicant is not acting on behalf of another person.
  - The applicant understands that prohibited uses include overseas property purchase, securities investment, and investment-linked insurance.
  - The applicant undertakes not to participate in underground banking or money laundering.

This is not a "click-through" form. Read it.

## 5.5 Prohibited uses — what you cannot do with the quota

The list is short but absolute: [9][13]

- Overseas property purchase (境外买房). The bank cannot purchase USD to buy property abroad under the facilitation quota.
- Overseas securities investment (境外证券投资). The bank cannot purchase USD to buy stocks, bonds, or funds directly under the quota.
- Investment-linked life insurance (投资性返还分红类保险). The bank cannot purchase USD to pay premiums on investment-type insurance purchased abroad.
- Anything on behalf of another person (代理他人购汇).
- Anything for an undisclosed purpose (虚假申报).



These are not SAFE's restrictions; they are SAFE's explicit prohibitions, surfaced through the application form. Banks are required to refuse. [9][12]

What is permitted (current-account items within the quota):

- Travel expenses
- Self-funded study abroad
- Family support (where supported by 贍家款 documentation)
- Medical treatment abroad
- Personal professional services income
- Royalties and IP licensing income
- Trade in goods (where the person is a small trader)
- Insurance income (as a beneficiary)
- Other personal current-account transfers

## 5.6 Above-quota documented transfers

Documented current-account transfers above the quota do not consume the quota. This is the most under-utilised right in the system. [7][12]

A reader who needs to remit USD 60,000 for first-year tuition can do so with documented evidence (tuition invoice + acceptance letter) and retain the full USD 50,000 quota for other purposes. [12]

The mechanism: the bank processes the wire under the above-quota documented rule of SAFE Implementing Rules Article 12, not under the facilitation quota. The purchase is logged as above-quota; the quota is not debited.

This means:

- A family that pays USD 50,000 tuition in Year 1 + USD 50,000 tuition in Year 2 still has its USD 50,000 quota in Year 2 for living-expense transfers.
- A family with multiple children studying abroad can document each transfer separately.

The bank's documentation requirements for above-quota documented transfers are heavier than for within-quota. Plan for:

- Originals or notarised copies of the tuition invoice (I-20 + invoice or equivalent).
- Acceptance letter from the educational institution.
- Passport + visa of the student.
- Birth certificate or hukou register showing the relationship.
- For second-and-subsequent years: student ID and current-year invoice. [10][12]

## 5.7 The mobile-app workflow in detail

We use Bank of China as the example because it is the largest designated FX bank; the workflow is similar across major banks. [21][2]

1. Open the app and navigate. Look for "出境和外币服务" or "结售汇" or "外汇" depending on the version of the app. 2. Choose 购汇 (purchase FX). Read the application form. Tick the confirmation. 3. Choose currency. USD, HKD, EUR, JPY, GBP, AUD, CAD, SGD, CHF, NZD — the standard list. The bank's exchange rate includes a spread to the PBOC central parity; the spread varies and is not the rate you would see on a typical financial-news site. 4. Enter the amount. The system will show you the RMB equivalent at the bank's posted rate. 5. Choose the purpose. Pick from the listed current-account codes. 6. Submit. The bank debits your RMB and credits your FX savings account. The transaction is logged in SAFE's monitoring system against your ID.

Timing: counter purchases at large branches are typically settled during banking hours; mobile-app purchases settle when the bank's app processes them. The app's posted timing is illustrative only; obtain a written confirmation when a deadline matters.

## 5.8 The bank-by-bank rate

Each bank's posted FX rate differs. The PBOC publishes a daily central parity rate (中间价) at 9:15 a.m. Beijing time. Each bank then sets a bid and ask around this rate. Published third-party references describe typical retail spreads of a few hundredths to a few tenths of a percent for major currencies. The spread at any single bank and any single moment depends on the bank's pricing, the time of day, the channel and the customer's relationship with the bank. [21]

A reader buying USD at a bank with a wider spread pays more per USD than a reader at a bank with a tighter spread. For a USD 50,000 purchase, even a fraction of a percent of spread adds up. [21]

Most banks will not negotiate the spread for retail customers. The published rate is what it is at the moment of purchase. The reader who needs to compare should obtain the posted rate at each candidate bank on the day of the planned purchase.

## 5.9 Cash purchases

A special case: you may buy FX in cash (taking physical foreign-currency banknotes). The applicable thresholds and procedural steps depend on the bank's current matrix and the SAFE branch's current rules:

- Same-day cumulative cash withdrawal or purchase above the equivalent of USD 1,000 requires additional documentation; the bank's current matrix and the SAFE branch's rules determine what counts. [7][12]
- Same-day cumulative cash withdrawal or purchase above the equivalent of USD 10,000 requires additional documentation and advance recordal with the local SAFE branch (《提取外币现钞备案表》); the bank will tell the reader what to file. [12]
- Cash purchases still consume the facilitation quota.

For most readers, cash is the wrong tool. Use the bank transfer.

## 5.10 Common mistakes

The mistakes below are drawn from the SAFE violation bulletins and from practitioner reports. [33][35]

- "I'll just say it's for travel." If you are remitting USD 40,000 and saying it's for travel but the wire is going to a university, the bank's documentary matrix will catch the mismatch. The bank will hold the transaction.
- "I'll use my spouse's quota." Borrowing or lending quota is a SAFE violation. The system tracks across IDs. [33]
- "I'll split it into twelve monthly transfers." Splitting is exactly what SAFE's monitoring system looks for. The 2018 SAFE bulletins name several cases of split remittances that resulted in fines and watchlist placement. [35]
- "I'll go to a smaller bank where nobody knows me." The SAFE monitoring system is national. Every bank uploads to it.
- "I'll buy FX for personal use and then 'gift' it abroad as a relative's support." This is exactly the false-declaration pattern SAFE monitors for. The first-time offence is a risk warning; the second time is a watchlist placement. [33]
- "I'll wire to my own offshore company." A mainland individual wiring to an offshore company they own is a capital-account transaction. Without an ODI registration, the bank cannot process the wire.

## 5.11 Re-checking the rules

The SAFE Implementing Rules were issued in 2007 (汇发〔2007〕1号). They have been amended several times. [8] The current operative version is published in SAFE's catalog of effective FX regulations, last confirmed in the SAFE Xiamen catalog of 30 June 2025. [8]

For the most current form and procedures, the reader should:

1. Check SAFE's portal for the most recent version of the 个人外汇管理办法 and its 实施细则. [1]
2. Check the chosen bank's product page for the current purpose-code list and documentation requirements. [2][9]
3. Read the bank's published 个人购汇申请书. The form itself reflects the current prohibitions. [9][12]

## 5.12 Checklist

- ☐ I understand that the USD 50,000 quota governs purchases, not all remittances.
- ☐ I have confirmed that my purpose is on the permitted list (not property, securities, or investment insurance).
- ☐ I have read the 个人购汇申请书 in full and am comfortable with my purpose declaration.
- ☐ I have considered whether documented above-quota transfer is the right route for my larger transfers.
- ☐ I am not planning to lend my quota to anyone or borrow anyone else's.

- [ ] I will not split transfers to evade monitoring.

---

Next: Chapter 6 — Sending it abroad: cross-border remittance (跨境汇款).

---

## Chapter 6 — Sending it abroad: cross-border remittance (跨境汇款)

What this chapter is for: once you have the foreign currency in your FX account, the next question is how to get it to the recipient. This chapter covers the mechanics of cross-border wires: SWIFT, correspondent banks, charge codes, fees, FX spreads, timing, and the practical things that go wrong.

### 6.1 What "remittance" actually means

In the SAFE framework, "汇出境外" (cross-border remittance) is a regulated action separate from "购汇" (purchase of FX). The bank performs a SWIFT message (or a non-SWIFT equivalent) to instruct a foreign bank to credit the recipient. The recipient's bank then applies its own jurisdiction's rules to the inbound funds. [7]

Two layers of compliance, therefore: SAFE rules govern the outbound side; the destination's AML rules govern the inbound side. The reader should expect both layers to be active.

### 6.2 SWIFT and the correspondent-bank chain

SWIFT is the global interbank messaging network. Most cross-border wires in major currencies travel as SWIFT messages, with each intermediary bank adding its own processing window, fee, and (in some corridors) regulatory screening. [1]

A simple cross-border wire may go:

``` Originator (you, at Bank A in Shanghai) ↓ Bank A (originator's bank) ↓ SWIFT message  
Correspondent bank 1 (e.g. Bank A's USD account at JPMorgan New York) ↓ SWIFT message
Correspondent bank 2 (e.g. the recipient's bank's USD account at JPMorgan) ↓ internal credit
Recipient's bank (in destination country) ↓ credit Recipient's account ```

Each leg incurs fees. The originating bank charges its own fee (published references describe major Chinese banks' retail fees in the low hundreds of RMB; the actual fee depends on the bank, branch and channel). Each correspondent bank charges a fee (published references describe fees in the low tens of USD per hop). [58][59][61]

A wire with more hops costs more. Wires to obscure destinations or to smaller banks may go through more hops and cost more.

6.3 The charge codes — OUR, SHA, BEN

When you initiate a wire, you select a charge code. This determines who pays the intermediary fees, and is the single biggest determinant of what the recipient actually receives. [58][59]

- OUR (originator pays all). You pay the originating bank's fee and all correspondent fees. The recipient receives the full amount.
- SHA (shared). You pay your bank's fee; correspondent banks deduct their fees from the wire

amount; the recipient receives less than the principal.

- BEN (beneficiary pays all). The recipient pays all fees, including the originating bank's fee, by having them deducted from the principal.

Most Chinese banks' default is SHA. For a USD 10,000 wire, the recipient might receive a few tens to a couple of hundred USD less than the principal after intermediary deductions — a surprise that can be very annoying. [58][61]

For larger wires, OUR is the safer choice for the recipient. It costs the originator more but eliminates the surprise. For tuition payments, OUR is generally recommended; for small family-support wires, SHA is acceptable if the recipient understands the math. [61]

6.4 Cross-border fees you will actually see

The total cost of a cross-border wire from mainland China has several components, each of which depends on the originating bank's published fee schedule, the chosen correspondent chain and the destination bank's inbound fees. Published third-party references describe typical ranges for orientation, but the actual cost on a given day depends on the bank, channel, currency and amount. The reader should obtain a same-day written quote before submitting an important wire. [9][21]

The components are:

1. The bank's outbound wire fee. Published references describe major Chinese banks' retail cross-border wire fees in the low hundreds of RMB. Some banks offer free wires above certain thresholds or for premium customers.
2. The bank's FX spread. The bank's posted FX rate includes a spread to the central parity. The spread depends on the bank's pricing and the moment of purchase.
3. Correspondent bank fees. Published references describe fees in the low tens of USD per hop, in OUR or deducted in SHA/BEN. [58][59][60]
4. Recipient bank fees. Many recipient banks charge an inbound wire fee in the low tens of USD or equivalent, or apply an "incoming international wire" fee. [62]
5. Recipient bank's FX spread. If the wire is sent in USD but the recipient's account is in EUR or another currency, the recipient bank will convert at its posted rate, which has a spread.

The reader can reduce these by:

- Choosing OUR for important wires.
- Wiring in the destination account's currency (USD wire to a USD account).
- Using a Chinese bank with offshore branches to reduce correspondent hops.
- Consolidating smaller wires into fewer larger wires.

6.5 Mobile app vs. counter

For most retail customers, the mobile app is the easiest channel. The app displays the bank's posted rate, a summary of the charges, the recipient bank selection (from the bank's catalogue) and SWIFT code entry, and an intermediary-bank fee estimate. [9]

Counter wires are still required for:

- First-time wires (the bank may ask for in-person identity verification).
- Wires to high-risk destinations or unusually large amounts.
- Wires where the documentation matrix requires physical signatures.

6.6 Beneficiary details — the field-by-field view

The bank's remittance screen asks for the recipient's name (must match the recipient bank account holder's name exactly), the recipient account number (IBAN for European destinations, SWIFT-routable account number otherwise), the recipient bank SWIFT/BIC (eight or eleven characters), the recipient bank name and address, the correspondent bank (auto-selected or advised by the recipient's bank), the currency and amount, the purpose code (from the bank's list), the charge code (OUR/SHA/BEN), and the remitter's name, address, ID number and contact. [7][83]

A common error: misspelling the recipient's name. SWIFT messages cannot easily correct a recipient name; the wire may be returned. Verify.

Another common error: omitting the intermediary bank. For wires to smaller US credit unions or local European banks, the intermediary bank is essential. The recipient's bank can advise.

6.7 FX-in-RMB or FX-in-Foreign-Currency wires

The reader has a choice: wire in foreign currency (for example, send USD to a USD-denominated recipient account; the reader pays the originating bank's FX spread at purchase) or wire in RMB (for example, send CNY to a Hong Kong account that accepts CNY; the recipient bank converts CNY to HKD or another currency on the destination side via the CNY clearing infrastructure such as CIPS). [1]

6.8 The 1 January 2026 cross-border wire ID-verification rule

Effective 1 January 2026, the PBOC, NFRA, and CSRC's joint Customer Due Diligence and Customer Identity Materials and Transaction Recordkeeping Management Measures (《金融机构客户尽职调查和客户身份资料及交易记录保存管理办法》) require financial institutions to verify remitter identity for cross-border wires of:

- RMB 5,000 or above in a single transaction, or
- Foreign-currency equivalent of USD 1,000 or above in a single transaction. [83]

This is not a quota change. The USD 50,000 facilitation quota is unchanged. The rule is about information: the bank must capture and verify the sender's details more thoroughly for small wires than previously. [19]

Practically:

- For mobile-app wires, the bank already captures remitter identity; the rule formalises it.

- For counter wires, the bank may ask for additional documentation.
- For payment-institution wires (Alipay, WeChat Pay), the threshold triggers CDD; in practice, this affects very small cross-border payments.

The joint measures explicitly restate that the rule "is verification, not restriction" — banks must verify, not refuse. Industry interpretation in December 2025 emphasised that "personal USD 50,000 facilitation quota policy remains unchanged." [83]

6.9 Timing and tracking

A cross-border wire from mainland China typically settles through a chain of intermediaries, each with its own processing window. Published third-party references describe typical ranges for orientation; the actual timing on a given day depends on the bank, channel, currency, destination corridor, the correspondent chain and any recipient-bank CDD holds. [58][59][61]

- Same-bank or same-group (e.g. from Bank of China Shanghai to Bank of China New York): often same-day to next business day; verify with the bank on the day.
- Major Chinese bank to major foreign bank (e.g. ICBC to JPMorgan Chase): published references describe a few business days; verify with the bank on the day.
- Major Chinese bank to smaller foreign bank or credit union: published references describe several business days, sometimes longer if there is a documentary query.
- Wires involving additional compliance holds: indefinite until the bank releases.

The reader can typically track the wire through the bank's app, which shows the SWIFT message status (e.g. "value credited to beneficiary bank" or "in correspondent processing"). The recipient's bank can also confirm receipt.

6.10 Common failure modes

Wires fail for many reasons. The reader can avoid most:

- Wrong account number. Always double-check.
- Wrong SWIFT code. The recipient's bank can confirm.
- Name mismatch. The recipient's bank account holder name must match.
- Missing intermediary bank. For non-major destinations, the intermediary is essential.
- Sanctions match. A name that resembles a sanctioned person will trigger a hold. Provide as much identifying detail as possible (DOB, address, account number) to help the bank clear the match.
- Recipient bank additional documentation. Many foreign banks will hold an inbound wire pending their own CDD. This is not a SAFE issue; it is the recipient bank's policy.
- High-risk corridor. Wires to certain jurisdictions are slower and may be subject to additional intermediary-bank checks.

6.11 What to do if the wire is returned

A wire can be returned for any of the above reasons, sometimes weeks later. The bank will credit the returned amount to the originator's account (less any correspondent fees that were consumed); the reader's quota is restored because the underlying purchase is unwound. [7][83]

If the wire is held rather than returned, the reader should:

- Contact the originating bank's remittance desk.
- Provide additional documentation if requested.
- Consider whether the recipient bank's compliance is the hold source.

The reader's bank cannot always intervene with the recipient bank's hold; this is one reason to use banks with strong global relationships (Bank of China, ICBC, etc.) and to choose reputable destination banks.

6.12 Demand drafts as an alternative

A demand draft (D/D) is a bank-issued instrument the recipient presents for payment at the issuing bank's foreign branch or correspondent. It is useful when:

- The recipient does not have a bank account.
- The recipient's bank is unreliable.
- The destination's banking infrastructure is poor.

The bank's price for a demand draft is similar to a wire's outbound fee; the issuing bank's correspondent charges a smaller fee than for a wire; the recipient collects the funds in person.

For most readers, a wire is the right tool. Demand drafts are a niche solution.

6.13 Checklist

- [] I have identified the recipient's name, account number, SWIFT/BIC, and address exactly.
- [] I have selected the right charge code (OUR for important wires; SHA for routine).
- [] I have chosen the wire currency that matches the recipient account's currency.
- [] I have estimated the total cost (originating-bank fee + intermediary fees + recipient fees + FX spread).
- [] I understand the timing (1–5 business days typically; longer for high-risk corridors).
- [] I know how to track the wire and what to do if it is returned or held.
- [] I understand that the 1 January 2026 ID-verification threshold applies to my wire.

Next: Chapter 7 — Beyond the quota: documented transactions that do not consume the USD 50,000.

Chapter 7 — Beyond the quota: documented transactions that do not consume the USD 50,000

What this chapter is for: documented current-account transactions above the facilitation quota are the most under-utilised right in the system. This chapter explains which transactions qualify, what documents the bank will require, and how to assemble the pack in a way the bank's documentation matrix accepts.

7.1 The principle

SAFE Implementing Rules Article 12 and the cross-bank procedural guidance make clear that documented current-account transactions above the USD 50,000 facilitation quota do not consume the quota. The reader can both (a) remit the full amount of a documented expense and (b) retain the full quota for other, undocumented purchases. [7][12]

The mechanism: the bank's documentation matrix keys on the transaction, not on the purchase. The transaction is a documented one (e.g. tuition payment); the purchase that funds the transaction is logged as above-quota documented; the quota is not debited.

This means:

- A family with two children studying abroad can document each tuition payment separately and use its USD 50,000 quota for the children's living expenses.
- A foreign employee with documented salary can remit the full salary in one transaction above the quota and retain the quota for other personal purchases.
- A mainland individual selling a property can document the property sale and remit the net proceeds in full without using the quota.

The principle is well established in SAFE branch publications and bank procedure guides; the awareness among readers is the issue. [12][9]

7.2 Which transactions qualify

The transactions below qualify for above-quota documented treatment, as long as the bank's documentation matrix accepts the documents: [7][10][12]

- Self-funded study abroad (自费留学): tuition, accommodation, living expenses, examination fees, insurance for the student, books and supplies.
- Medical treatment abroad (境外就医): treatment costs, attendant's expenses, post-treatment recovery costs.
- Salary / employment income (职工报酬): lawful employment income earned in mainland China by a foreign national.
- Family support (赡家款): documented support to specified relatives abroad (直系亲属关系证明 + recipient's income evidence).

- Professional fees and royalties (专有权利使用和特许收入): legal, accounting, consulting, IP licensing income.
- Donations (捐赠): charitable donations to permitted recipients, with charity-law documentation.
- Insurance (保险): insurance payouts received as a beneficiary (not premiums paid; see Chapter 14).
- Service trade: for individuals with service-trade income (consulting, freelancing, design work).
- Trade in goods: for individual industrial and commercial households (个体工商户).
- Inheritance income (遗产继承收入): income received from an inheritance; the underlying principal transfer goes through the inheritance-transfer route (Chapter 12).
- Investment income (境外投资收益): income from a previously made outbound investment.
- Sale of property: for documented sale of property with tax recordal.

For each, the bank will require documents that match the transaction type. The matrix varies by bank.

7.3 The standard study-abroad document pack

For self-funded study abroad (the most common above-quota transaction), the bank will require the following (typical, bank-specific): [10][12][11]

First year:

- Remitter's ID (resident ID card or passport).
- Remitter's relationship to the student (household register, birth certificate, marriage certificate, notarised translation of foreign-language documents).
- Student's passport + visa.
- Acceptance letter (录取通知书) from the educational institution.
- Tuition invoice (学费通知单) showing the amount due.
- If a deposit is required: deposit invoice.
- For language programmes or pre-sessional courses: equivalent invoices.
- If the student is under 18: parent's guardianship evidence.

Subsequent years:

- Student's current student ID or current-year enrollment letter.
- Current-year tuition invoice.
- Remitter's ID and relationship evidence.

Living expenses:

- Acceptance letter.
- Tuition or accommodation cost disclosure (sometimes the acceptance letter includes this).
- For doctoral students or researchers: stipend documentation.

The documentation pack can vary by bank. Metrobank (首都银行) published a 30 June 2026 guide specifying that "providing proof of study abroad (录取通知书, 缴费单) means the purchase

does not consume the facilitation quota." [12]

ICBC's published matrix is similar. [10]

HSBC China runs a dedicated International Education Payment System that supports direct payment to selected overseas institutions; this is a value-added service for HSBC customers, not a SAFE rule. [11]

7.4 The standard salary-repatriation document pack for foreigners

For a foreign employee in mainland China: [7][44]

- Passport + residence permit (work permit).
- Employment contract.
- Recent salary slips (typically 3–6 months).
- IIT payment record (完税证明 or 个人所得税证明) — the bank's key document.
- Bank statements showing the salary deposits.
- The recipient bank details.

The bank does not require the foreign employee to use the facilitation quota — there is no quota cap for documented salary conversion. The IIT payment record is the single most important document: it ties the funds to a verifiable employment-and-tax chain.

A foreign employee who has been receiving cash salary (off the books) has no IIT record. The bank cannot verify the income; the wire will likely be refused. The corrective action is to (a) bring future salary onto bank deposit with IIT withholding, (b) declare prior cash income (with whatever penalties apply), and (c) wait until the documentation history is sufficient.

7.5 Medical treatment abroad

For self-funded medical treatment abroad, the legal basis is SAFE Implementing Rules Article 12 (the documented-above-quota current-account route) and the bank's documented-above-quota matrix; the wire does not consume the personal facilitation quota. The reader-facing workflow and the specific issues with attendant travel, post-treatment recovery costs and insurance reimbursement are covered in §9.4; the bank's current matrix for medical-treatment transfers is the authoritative reference for the documentation list and any destination-specific requirements. [7]

7.6 Family support (赡家款) — within-quota only, unless current rules allow otherwise

This section frames the legal position. The reader-facing decision tree and worked examples (including the structuring-language caution) are in §9.3. [7]

7.7 Property-sale proceeds

Property-sale proceeds are documented above-quota. The standard pack is more extensive and includes tax recordal. [15][49]

- Sale contract (房屋转让合同).
- Title transfer record.
- Tax payment certificate (完税证明).
- For amounts above USD 50,000 (and certain other thresholds), the tax recordal filing (对外支付税务备案).
- The buyer's identity (in some cases).
- The recipient bank details.

Property is treated in detail in Chapter 11.

7.8 Service trade and individual business income

For individual industrial and commercial households (个体工商户) and for freelancers with service-trade income: [7][15]

- Business licence (for 个体工商户).
- Service contract.
- Invoice issued to the offshore client.
- Foreign-exchange receipt record (from SAFE's system or the bank's records).
- For amounts above USD 50,000 (and certain other thresholds), tax recordal filing.

7.9 The bank's documentation matrix — how to find it

Every bank maintains a documentation matrix keyed to transaction type. The reader can find it by:

- Visiting the bank's product page for personal FX, cross-border remittance, or study abroad services.
- Asking at the counter for the documentation requirements specific to their transaction.
- Reading the bank's published Q&A (many banks publish this on their websites). [9][12]

If the bank's matrix says "tuition invoice required," bring the tuition invoice. For within-quota purchases, "no documentation required" is shorthand for "identification, a signed purchase application declaring the purpose, and risk-based CDD"; it is not a waiver of the bank's obligation to capture truthful information or to apply the 1 January 2026 cross-border wire verification above the RMB 5,000 / USD 1,000 threshold. [7][83]

The matrix varies by bank, branch and channel, and is updated as SAFE branch notices, AML/CDD rules and product bulletins change. Confirm the current matrix on the day of the wire rather than relying on a remembered summary.

7.10 Sequencing — what to do in what order

A reader who is planning a documented above-quota transfer should:

1. Identify the transaction type (study abroad, medical treatment, salary, etc.). 2. Gather the documents. Get the originals or notarised copies of the key documents (acceptance letter, invoice, employment contract, etc.). 3. Visit the bank with the documents and a draft remittance application. 4. Confirm the wire details with the bank officer (charge codes, intermediary bank, fee estimate). 5. Submit the application. The bank will process the wire in the standard cycle. 6. Retain copies of every document and every form. The reader will need them for record retention (recommended 5+ years).

7.11 Common rejection reasons and how to handle them

Above-quota documented transfers are typically refused when:

- Documents don't match the purpose code. E.g. application says "自费留学" but documents are medical.
- Documents are missing a notarisation required by the bank's matrix.
- The amount exceeds the documented expense. The bank will wire only the documented amount; the remainder is refused.
- The recipient's identity cannot be verified (sanctions match, name discrepancy).
- The recipient is in a high-risk jurisdiction.

The reader's response:

- Confirm the purpose code is correct.
- Confirm all documents are present and notarised as required.
- Reduce the wire to the documented amount.
- Provide additional recipient identification (DOB, address) to clear sanctions screening.
- Consider an alternative corridor.

If the bank persists in refusal, the reader can:

- Try a different branch of the same bank.
- Try a different bank.
- Engage a mainland lawyer to write a letter explaining the transaction.
- Apply directly to the SAFE branch for a documented above-quota transaction (rare for current-account items; common for capital-account items).

7.12 A note on timing

Documented above-quota transfers can take longer than within-quota transfers because the bank performs additional documentary review. The exact timing depends on the bank, branch, destination corridor, the documentary review path and any recipient-bank hold on the inbound

side. Treat any specific number of business days as illustrative only and obtain the handling bank's current processing estimate in writing on the day the wire is submitted. Examples the published fee/timing references use for orientation:

- Many major banks process in-branch counter wires within a few business days of documentary acceptance for current-account items; same-bank or same-group corridors may settle same-day to next business day. [61]
- High-risk corridors, additional compliance holds, or recipient-bank CDD can extend the timeline materially. [58][59]

The reader who needs the funds in a hurry should obtain a written timing estimate from both the originating bank and the recipient's bank before submitting the wire, and should keep evidence of every approval, hold notice and documentary request.

7.13 Checklist

- ☐ I can identify which transaction type applies (study abroad, medical treatment, salary, family support, property sale, etc.).
- ☐ I have gathered the documents in the bank's documentation matrix for my transaction type.
- ☐ I have read the bank's documentation matrix from the bank's own product page.
- ☐ I understand that documented above-quota transactions do not consume my facilitation quota.
- ☐ I have allowed extra time for documentary review.
- ☐ I have a backup branch or bank in case the first one refuses.

Next: Chapter 8 — Cards, cash, and traveller's cheques.

Chapter 8 — Cards, cash, and traveller's cheques

What this chapter is for: cards, cash and wires are governed by different rules. This chapter explains overseas card use and the separate permit rules for taking foreign-currency banknotes out of mainland China.

8.1 Keep the channels separate

A bank wire is processed under current- or capital-account rules. Overseas merchant purchases on a mainland-issued card are card consumption. Overseas ATM withdrawals are subject to SAFE's bank-card cash-withdrawal controls. Physically carrying banknotes across the border is governed by the SAFE–Customs carrying-permit regime.[6][81]

These channels are not substitutes for one another. A refused wire does not become lawful merely because the same value is withdrawn through ATMs or put in a suitcase.

8.2 Overseas card consumption

SAFE's official explanation distinguishes ordinary overseas card consumption from overseas cash withdrawal. Merchant purchases do not use the USD 50,000 personal FX-purchase facilitation quota, although the issuer still applies its card terms, transaction controls and compliance screening.[6]

Use a card for genuine travel consumption where the merchant accepts it. Do not treat a card purchase as a way to fund an overseas account, brokerage, property acquisition or other transaction whose real nature is a transfer or capital-account investment.

8.3 Overseas ATM withdrawals: the correct limits

For overseas cash withdrawals using mainland-issued bank cards, the aggregate amount withdrawn on all domestic bank cards in one individual's name, including supplementary cards, must not exceed the equivalent of RMB 100,000 in a calendar year. The daily limit is the equivalent of RMB 10,000 per card for both RMB and foreign-currency cards.[6]

This replaces the earlier erroneous currency formulation. The annual figure is an RMB-denominated per-person aggregate across cards; the daily figure is an RMB-denominated per-card limit.[6]

If an individual exceeds the annual limit, SAFE states that overseas cash withdrawals with domestic bank cards are suspended for the current year and the following year; punishment may also follow under the FX regulations depending on severity. Borrowing another person's card, or lending one's own card, to evade the control is prohibited.[6]

The withdrawal control is separate from the USD 50,000 annual facilitation quota for personal FX purchases.[6]

8.4 Taking foreign-currency cash out of mainland China

Outbound carriage is not authorised merely by making a customs declaration. The operative SAFE–Customs rule uses a Carrying Permit for Foreign Currency Taken Abroad (《携带外汇出境许可证》, usually shortened to 《携带证》).[81]

For a person leaving mainland China:

- USD 5,000 equivalent or less: generally no Carrying Permit is required, and Customs releases the traveller under the rule.[81]
- More than USD 5,000 through USD 10,000 equivalent: the traveller must obtain a Carrying Permit from a designated FX bank before departure; Customs checks the bank-stamped permit.[81]
- More than USD 10,000 equivalent: generally may not be carried out. The limited exceptions listed by the rule include large outbound groups, long scientific expeditions, government-leader visits, travel to war-affected or tightly controlled/financially disrupted destinations, and other special circumstances. In such a case, the traveller applies to SAFE for the permit; this is not an ordinary personal-remittance option.[81]

Customs' April 2026 answer repeats these bands and also says travellers must truthfully declare currency cash above the prescribed amount under Customs Announcement No. 43 of 2025.[82] A declaration is a disclosure duty. It does not replace the required bank- or SAFE-issued permit and does not convert an otherwise impermissible export into a permitted one.[81][82]

8.5 Entry records, re-exit and frequent crossings

The detailed permit rules contain additional treatment for a traveller carrying back out foreign currency recently declared on entry, and for people who cross the border repeatedly within short periods. These exceptions are fact-specific and depend on the original stamped entry declaration, timing, and crossing history.[81]

Do not rely on a remembered summary. Before departure, take the original entry declaration and withdrawal records to the designated FX bank, ask which permit basis applies, and confirm the answer with Customs 12360 if the amount exceeds USD 5,000 equivalent. Never assume that possession of an inbound declaration alone authorises re-export.[81][82]

8.6 Withdrawing foreign-currency cash from a bank is a separate step

A personal bank cash withdrawal is not the same legal event as carrying that cash out of China. Under the modified Individual FX Implementing Rules, a person may withdraw up to USD 10,000 equivalent in foreign-currency cash cumulatively in one day directly at a bank; above that amount requires advance recordal with the local SAFE branch and a stamped Foreign Currency Cash Withdrawal Recordal Form.[7]

Even after lawful bank withdrawal, the outbound Carrying Permit bands still apply at the

border.[7][81]

For most readers, the safer and more auditable choice is a documented wire for transfers, a card for genuine merchant consumption, and only modest cash for immediate travel needs.

8.7 Traveller's cheques and mobile payments

Traveller's cheques are now uncommon and availability is bank- and destination-specific. Confirm current sale and encashment before relying on them. Buying any FX needed for the instrument remains subject to the applicable personal FX rules.

Mobile-payment acceptance abroad is likewise a payment-service feature, not a general remittance channel. Use it only for genuine supported purchases and check the provider's current terms.

8.8 Decision checklist

- ☐ I distinguish merchant card consumption, overseas ATM withdrawal, bank cash withdrawal, physical carriage and bank remittance.
- ☐ I use the RMB 100,000 per-person annual aggregate and RMB 10,000 per-card daily ATM limits.[6]
- ☐ If carrying more than USD 5,000 equivalent out, I will obtain the required Carrying Permit before departure.[81]
- ☐ I understand that more than USD 10,000 equivalent is generally prohibited except the rule's special cases.[81]
- ☐ I will not treat a customs declaration as permission to export cash.[81][82]
- ☐ I will not borrow or lend cards, split withdrawals or use cash to bypass a refused wire.[6]

Next: Chapter 9 — Chinese citizens and residents: trips, study, family support.

Chapter 9 — Chinese citizens and residents: trips, study, family support

What this chapter is for: this chapter walks through the four most common mainland-resident personal scenarios: tourism, self-funded study abroad, family support, and overseas medical treatment. Each scenario has a worked illustration of the documents, the workflow, and the common pitfalls.

9.1 Tourism (因私旅游) and visiting relatives (探亲)

Tourism is the simplest case. The reader buys foreign currency under the facilitation quota, takes it as cash or card, and spends it overseas. SAFE's monitoring system logs the purchase; the wire or cash purchase consumes the quota under the personal facilitation framework. [7]

The bank will ask for:

- The reader's resident ID card.
- A signed 个人购汇申请书 with the purpose code 因私旅游.
- The amount and currency.

There is no separate "no further documentation" rule for within-quota purchases. The bank's identification, signed application and CDD obligations still apply; for a single outbound wire of RMB 5,000 / USD 1,000 or more the 1 January 2026 measures require the bank to verify remitter-information accuracy. [2][12][83]

A common reader question is whether foreign currency can be bought at the airport before departure. Some airports have bank or licensed-exchange counters, but availability, currencies, opening hours, rates, fees and transaction limits vary. Check the operator's current terms before travelling; an airport location does not waive the ordinary identification, purpose-declaration or CDD requirements.[2][9]

A second common question is whether cash can replace a wire. It should not. Chapter 8 explains that outbound cash above USD 5,000 equivalent requires a Carrying Permit, while amounts above USD 10,000 are generally prohibited except specified special cases.[81]

A third question is whether a family may combine several people's facilitation quotas. It may not route several people's quotas to manufacture transfer capacity for one traveller or one underlying transaction. Each person's FX purchase must correspond to that person's own truthful, permitted current-account purpose; borrowing or lending another person's quota and splitting a transaction are prohibited risk patterns.[7][33]

The rules do allow agency in a narrower sense. A person may authorise a parent, child or spouse to handle a within-quota purchase or settlement on the person's behalf, using both parties' identification, an authorisation and proof of the close relationship. That changes who presents the application; it does not transfer the principal's quota to the agent or authorise consolidation. [7]

A fourth question is what happens when an overseas employer or family member funds the trip. The receiving bank may ask for the sender's identity, relationship, purpose and source of funds before crediting or settling the inbound payment. Receipt in mainland China does not itself authorise a later outward transfer; any subsequent FX purchase or remittance is assessed under its own purpose and documentation.[7][83]

9.2 Self-funded study abroad (自费留学)

For a mainland parent sending a child to study abroad, the workflow is:

The first year

1. Secure the documents. The acceptance letter (录取通知书) and tuition invoice from the overseas institution. For the first year, both are typically available in spring/summer before the autumn term. 2. Visit the bank with the parent and student (if applicable). Some branches ask both parent and student to be present at the first in-person wire because the bank's matrix needs to verify the remitter's relationship and the student's identity in person; some accept notarised copies plus a signed authorisation instead. Confirm the current requirement with the chosen branch before the visit. [7][10][12] 3. Complete the 个人购汇申请书 with the purpose code 自费留学. 4. Submit the documents. The bank processes the wire under the above-quota documented rule of SAFE Implementing Rules Article 12 (the documented-above-quota current-account route). [7][10][12] 5. Choose the wire details. Currency (typically the destination currency), amount (typically the invoice amount), charge code (OUR for tuition; SHA for living expenses), intermediary bank (if needed). 6. Confirm the wire. The SWIFT message is sent once the documentary check is complete; most banks surface an outbound status update in the mobile app after dispatch, not as a same-day arrival at the destination bank. Obtain a written estimate of arrival at the destination before relying on a date.

The wire does not consume the USD 50,000 quota. The parent's quota remains intact for living-expense wires. [12]

Subsequent years

- For second-year tuition, the parent submits the current-year tuition invoice and the student's current student ID (or current enrollment letter).
- For living expenses, the parent submits the acceptance letter (one-time) and a simple annual confirmation of the student's enrollment.
- The wire follows the same documentation logic.

Living expenses

Living expenses are also a documented above-quota transfer if supported by the acceptance letter or by an official cost-of-attendance letter from the institution. The bank's matrix varies: some banks accept an official cost-of-attendance letter from the registrar or finance office; some accept a self-prepared monthly budget letter accompanied by the acceptance letter and tuition invoice; some require notarised evidence. The institution's format and the bank's current matrix determine what is accepted. [7][10][12]

If the institution does not provide a cost-of-attendance letter, ask the handling branch in

advance whether a self-prepared letter is acceptable for the chosen remittance pattern. Do not assume acceptance.

Visa-application保证金 (security deposit)

Some consulates ask mainland residents to deposit a security sum in a Chinese bank as a condition of issuing a student visa, and to refund it on the student's return or upon proof of continued enrollment. Whether the deposit must be in RMB or in another currency, the exact refund conditions, and what evidence the consulate will accept are determined by the specific consulate and visa category. The bank's role is to handle the deposit instrument requested by the consulate; the bank does not convert the deposit into FX merely because a reader asks. Confirm the current consulate rules before depositing, and do not pay a sum denominated in a currency other than the one the consulate specifies.

9.3 Family support (赡家款)

Chapter 7 sets out the legal framework for an above-quota 赡家款 wire: SAFE Implementing Rules Article 12 governs current-account non-business purchase with transaction-amount evidence; Article 10 of the Implementing Rules is an inbound-settlement rule and is not the basis for an outbound family-support wire. This section covers the reader's decision tree in the four common 赡家款 scenarios and the structuring-language caution.

Within the quota

If support is within the facilitation quota, the bank may process the FX purchase on the customer's valid identification, but it still requires a truthful purpose declaration, may apply risk-based CDD, and may request information or evidence under the 1 January 2026 measures for a single wire of RMB 5,000 / USD 1,000 or more. "Within quota" is not a no-documentation guarantee. [7][83]

Above the quota (documented)

Above the facilitation quota, SAFE Implementing Rules Article 12 governs current-account non-business FX purchase by a mainland individual; it requires identification plus transaction-amount evidence but does not by itself guarantee acceptance of any particular 赡家款 wire. Whether a specific above-quota support wire is accepted depends on the bank's current documentation matrix, the relationship, recipient income and need evidence, and the absence of disguised capital outflow. [7]

Article 10 of the modified Implementing Rules addresses above-quota inbound settlement categories; it is not the legal basis for an above-quota outbound 赡家款 wire.[7]

A practical approach when above-quota support is contemplated (the document list is bank-specific; the working examples below illustrate the typical items, not a universal pack):

- Ask the handling bank in advance which current purpose code (typically 赡养 or 亲友间赠与, or a separate above-quota code) and document list applies to your remittance pattern. Ch 7.6 sets out the framework and the reasons bank practice varies.
- Recognise that some banks treat 赡家款 above the quota more cautiously than tuition because the bank is balancing a real need against the possibility of disguised capital outflow;

refusal is possible even with complete documents.

- A payment schedule must follow the genuine obligation (schooling term, monthly rent, recurring medical cost, retirement budget). It must not be engineered to stay below a review threshold, spread an annual obligation across multiple small wires, or align with the bank's internal review cut-offs in a way that reduces scrutiny. Article 12 transaction-amount evidence ties the schedule to a real obligation; structuring a schedule for evasion is a SAFE monitoring focus, not a credibility strategy. [7][33]

Common 赡家款 scenarios

- Adult child studying abroad. Already covered under study-abroad documentation.
- Adult child working abroad with low income. Relationship evidence + child's income evidence. The bank's matrix typically looks for evidence of genuine need.
- Elderly parents abroad (rare for mainland families; more common for emigrant families). Relationship evidence + parent's income evidence.
- Spouse abroad. Marriage certificate + spouse's income evidence.

9.4 Medical treatment abroad (境外就医)

Chapter 7 §7.5 sets out the legal basis for documented above-quota medical-treatment wires and the framework items typically expected. This section adds the reader-facing workflow and the issues that affect how the wire is processed in practice.

1. Get a mainland diagnosis. A formal diagnosis from a mainland hospital recommending overseas treatment is normally the bank's expected starting point, but the level of issuing institution (Class 3A, Class 2A or another), the exact wording, and whether a notarised translation is required depend on the destination institution and the bank's current matrix. Ask the chosen branch which domestic hospitals' diagnoses it will accept for the destination in question. [7] 2. Get a quote from the overseas institution. A letter from the overseas institution confirming admission and quoting the cost; some banks also require the institution's bank details and a medical-procedure description. 3. Confirm attendance and the document matrix. Ask the handling branch whether the patient, payer and any agent must attend, which purpose code applies, and whether originals, translations or notarisation are required. If the bank accepts the transaction under Article 12 as a documented above-quota current-account payment, the FX purchase is handled outside the facilitation quota; approval is not automatic.[7] 4. Choose the wire terms. Ask the medical institution whether it must receive the invoiced amount without deductions, then obtain the bank's written OUR/SHA quote and correspondent-chain estimate before submitting the instruction.

The reader should also consider:

- Travel expenses for the patient and an attendant. These are part of the medical-treatment transaction and may be wired under the same documentation if the bank's matrix accepts them. Whether attendant travel, accommodation, food and visa costs share the medical documentation or require separate evidence (ticket invoices, attendant ID, relationship proof) depends on the bank, the destination and the case facts. Confirm the current matrix before booking.

- Post-treatment recovery costs. Subsequent wires may require follow-up documentation (discharge summary, follow-up invoice). They are not automatically authorised by the first medical wire.
- Insurance reimbursement. If the patient has insurance that will reimburse, the bank may want to see the policy and the reimbursement arrangement before processing the wire.

9.5 The "I want to send my life savings" case

The hardest case is a mainland resident who has accumulated RMB savings over many years and wants to remit a lump sum abroad, perhaps for a child's housing deposit or for retirement abroad. There is no general rule that documented life savings may be remitted merely because their source is lawful; the destination purpose must itself fit an available current- or capital-account route, and Article 12 transaction-amount evidence must support the wire. [7]

- The source of funds. Over a multi-year period, this typically means bank statements showing income deposits, business income, sale proceeds, etc.
- Tax payment records for any income that should have been taxed.
- The destination purpose (housing deposit abroad for a child studying there; retirement funds for the parent themselves; etc.).

The bank may refuse if:

- The savings cannot be tied to a verifiable source.
- The tax history is incomplete.
- The destination purpose looks problematic (e.g. an overseas property purchase is not a permitted use).

The corrective actions:

- Bring the tax history up to date (file prior-year IIT returns with whatever penalties apply; pay the tax and penalties; obtain the 完税证明).
- Gather bank statements covering the accumulation period.
- Identify the destination purpose clearly and document it.

If both the purpose and source satisfy an available rule, the bank may process the documented transaction. Source-of-funds evidence alone does not create a remittance channel.[7]

9.6 What about gifting abroad?

Do not assume every outbound gift is automatically a current-account transaction. Article 10 of the modified Implementing Rules governs above-quota inbound settlement categories, not a blanket outbound-gift permission; it cannot be cited as the legal basis for an outbound 赡家款 wire above the quota. A bank must identify the actual outbound purpose under Article 12 and may refuse a purported gift that in substance funds property, securities or another unopened capital-account use. [7]

In practice:

- For small gifts, the wire can be processed under the facilitation quota with the purpose code 赡养 or 亲友间赠与 (depending on the bank's available codes).
- For a proposed larger gift, ask the bank for the exact current purpose code and document list before moving funds; a notarised agreement does not by itself make the outbound purpose permissible.[7]

A "gift" that is actually a capital outflow is a different matter; see Chapter 21 on prohibited practices.

9.7 The annual cadence: planning across the year

For a family with recurring overseas expenses, the year might look like January (new facilitation quota available), January–March (tuition wire for spring term if any), March–April (acceptance letter arrives for autumn term; documentation pack assembled), July–September (tuition wire for autumn term), monthly (living-expense wire to the student, typically smaller than tuition; often within quota), year-round (family-support wires, where the schedule follows the genuine obligation under Article 12 evidence), and ad-hoc (medical, emergency). The reader who plans ahead can use the documented above-quota route for tuition and the within-quota route for living expenses, leaving the full quota intact for emergencies. [7]

9.8 Worked example: a self-funded Master's degree abroad

The reader. A 50-year-old parent. Income: RMB 60,000/month salary; IIT paid via withholding. Child: 22-year-old starting a Master's in London. First-year cost: GBP 35,000 tuition + GBP 14,000 living expenses (paid monthly).

Quota impact. None. Both wires are documented above-quota, subject to Article 12 transaction-amount evidence and the bank's current matrix. [7][10][12]

Documentation pack. (Illustrative; the handling branch's current matrix is authoritative.)

- Parent's resident ID card.
- Child's passport + UK student visa.
- Acceptance letter (offer letter) from the UK university.
- Tuition invoice for GBP 35,000.
- A cost-of-attendance letter from the university, or a self-prepared budget letter if the bank accepts it (see §9.2).
- Household register (户口簿) showing parent-child relationship.

Wire sequence.

1. Wire 1 (July, before term starts): GBP 35,000 tuition. Charge code OUR (subject to the bank's written quote). Currency GBP. Recipient: university's bank account (provided in the invoice). 2. Wire 2 (monthly, starting September): GBP 1,167 living expenses (within monthly documentation pack). The bank may accept SHA for a small recurring wire; obtain a written

quote for each leg.

Cost and timing. The originating bank, the correspondent chain and the destination bank each set their own fee and FX-margin schedule, which change periodically and depend on the channel, currency, amount and any negotiated customer rate. Treat every published fee or spread figure as illustrative and obtain a same-day written quote from the handling branch before submitting the wire; do not rely on a remembered summary.

For orientation, published third-party references describe typical originating-bank wire fees in the low hundreds of RMB, intermediary-bank fees in the low tens of USD per hop, recipient-bank inbound fees in the low tens of USD or equivalent, and FX spreads of a few tenths of a percent for major currencies. These ranges are not promises; the same-day quote is the only number that should drive the decision. [58][60][61]

A reader can limit cumulative cost by choosing OUR for important wires, wiring in the recipient account's currency, using a Chinese bank with offshore branches to reduce correspondent hops, and consolidating smaller wires where the underlying obligation supports it.

9.9 Worked example: supporting elderly parents abroad

The reader. A 55-year-old mainland resident. Elderly parents (80+) in Toronto, Canada on family-reunification visas. The reader supports them with CAD 2,000/month for living expenses and an annual CAD 20,000 lump sum for medical costs.

Quota impact.

- Monthly CAD 2,000 (~USD 1,500): within the annual quota (CAD 24,000 ~ USD 18,000/year; well under USD 50,000). Identification, signed application declaring 赡养, risk-based CDD, and the 1 January 2026 verification above RMB 5,000 / USD 1,000 still apply. [7][83]
- Annual CAD 20,000 lump sum: within the quota for the assumed amounts; the family-support documentation is helpful because the bank may request evidence of need and the recipient's income, but the bank is not bound to accept any particular document list. The bank may also apply risk-based CDD even within the quota.

Documentation pack for the annual lump sum.

- Resident ID card.
- Household register or notarised birth certificates showing the relationship.
- Parents' Canadian residence documents (复印件).
- A brief letter explaining the purpose (medical costs).

Wire details. The choice between OUR and SHA depends on the destination bank's policy and the cost the reader is willing to absorb. The published fee references describe OUR as the safer default for an important annual wire because deductions by intermediary or recipient banks cannot then reduce the medical amount received. For smaller monthly transfers, SHA may be acceptable if the reader and recipient understand the math. Obtain the bank's written quote for each leg before deciding. [58][61]

9.10 The "splitting" trap

A common reader question: "My child's tuition is USD 80,000 per year. Can I split it into multiple wires to avoid the bank's scrutiny?" The answer is no.

SAFE's monitoring system is designed to detect split patterns. Multiple wires to the same beneficiary from the same remitter in a short period, or multiple wires across multiple banks, are exactly the patterns the system flags. [33][35]

The right approach is to wire the full documented amount in one transaction with the charge code that protects the gross amount received (commonly OUR for tuition). The bank processes the wire; the monitoring system records a single transaction. If a recurring schedule genuinely reflects the obligation (termly tuition, monthly stipend, recurring medical cost), it follows the obligation rather than the bank's review threshold; an engineered schedule that maps an annual obligation onto smaller wires spaced to stay below a review cut-off is the structuring pattern SAFE's bulletins describe, not a routine convenience. [7][33][35]

9.11 What about education savings plans?

Some mainland families contribute to overseas education savings plans or 529-style plans. From SAFE's perspective, an outbound contribution to such a plan is an overseas financial asset purchase — generally not a permitted use of the personal facilitation quota. [7][9][13]

The reader who wants to fund overseas education savings has two lawful options: pay the tuition directly to the institution each year (documented above-quota; the route described in this chapter), or invest via a regulated retail fund (e.g. QDII funds with education-related mandates — see Chapter 18). Direct purchase of overseas education savings plans is not straightforward.

9.12 Checklist

- [] I have identified my transaction type (tourism, study abroad, family support, medical treatment).
- [] I have asked the handling bank which current purpose code and document list apply to my remittance pattern.
- [] I have confirmed that documented above-quota transfers do not consume the USD 50,000 quota.
- [] I have selected the appropriate charge code after obtaining a same-day written quote (OUR for important wires; SHA for small recurring).
- [] I have planned the annual cadence to follow the genuine obligation, not to avoid review.
- [] I have retained copies of every document and form for my records.

Next: Chapter 10 — Foreign employees and expatriates: salary repatriation.

Chapter 10 — Foreign employees and expatriates: salary repatriation

What this chapter is for: salary is the most common reason a foreign national in mainland China wants to remit money abroad. The mechanics are simpler than for many other transactions because there is no quota cap on documented current-account income conversion. The documentation, however, is everything. This chapter walks through the workflow, the documentation, and the most common reasons the bank refuses.

10.1 The right way to think about foreign-employee salary repatriation

The reader's salary is earned in RMB, taxed in mainland China via individual income tax (IIT) withholding, and deposited in the reader's mainland RMB bank account. The wire back to the home country is a conversion of lawfully earned RMB into foreign currency followed by a cross-border remittance. [44]

SAFE Implementing Rules Article 13 specifically addresses this: a foreign national's lawful RMB income may be converted to FX with documentation including tax payment certificates. [7]

There is no annual facilitation quota applicable to documented income conversion by a foreign national. The reader can convert and remit the full salary if the documentation supports it. [4][7][44]

10.2 The documentation pack

For the first wire, the bank will ask for: [7][44]

- Passport + residence permit (work permit, family residence, etc.).
- Employment contract (or a current letter of employment from the employer).
- Recent salary slips (typically 3–6 months).
- IIT payment record (完税证明 / 个人所得税证明).
- Bank statements showing the salary deposits.
- The recipient bank details.

For subsequent wires, the bank typically accepts:

- The most recent salary slip.
- The IIT payment record for the relevant period.
- A brief confirmation that the employment continues.

10.3 The IIT payment record — the linchpin

The single most important document is the IIT payment record. The bank uses it to verify:

- That the income is real (a paying employer, on the books).

- That the income has been taxed (the reader has not been paid in cash off the books).
- That the amount being converted is consistent with the declared income.

A reader who has been receiving cash salary cannot produce an IIT record. The bank cannot verify the income; the wire is likely refused.

The corrective path:

- Going forward, insist on bank-deposit salary with IIT withholding.
- For prior periods, file the missing IIT returns with the local tax bureau; pay the tax and any penalties; obtain the 完税证明.
- Wait until the documentation history is sufficient (typically 3–6 months of clean bank-deposit + IIT records).

A reader who has been fully on the books throughout their employment has no difficulty; they have a continuous IIT record and can wire at any time.

10.4 The "year-end bonus" pattern

Many foreign employees receive large year-end bonuses. The wire for a year-end bonus is straightforward, but the bank may ask additional questions because the bonus is a one-off rather than recurring monthly salary.

The right approach:

- Wire the bonus separately from monthly salary.
- Provide the bonus payment record from the employer.
- Provide the IIT withholding record for the bonus.
- Confirm the amount is consistent with the employment contract (which often specifies the bonus formula).

10.5 Cumulative balance: the reader's RMB bank account

The reader may have accumulated substantial RMB savings over years of employment. The wire of these savings requires a multi-year IIT record showing the income that generated the savings, bank statements showing the savings accumulation, and (where the destination purpose is emigration, retirement or home purchase abroad) a brief explanation of why the funds are now being transferred. The bank's documentation matrix for this case is heavier than for monthly salary; plan for additional documentary requests and a written estimate from the handling branch on the day of submission. [7]

10.6 The Foreigner's Permanent Residence ID Card

A foreign national who has obtained the Foreigner's Permanent Residence ID Card (中国永居) enjoys parity with PRC nationals for the USD 50,000 annual facilitation quota. [4][5]

The practical effect:

- Within-quota purchases: the cardholder can purchase FX on the basis of identification, a signed purchase application declaring a permitted current-account purpose, and the bank's risk-based CDD; the bank still applies the 1 January 2026 verification above the RMB 5,000 / USD 1,000 single-wire threshold and may request additional information under its matrix. [4][5][83]
- Salary transfers: same as before (no quota cap; documentation-based).
- Property sale, investment, etc.: same as for PRC nationals (documented above-quota; property-sale tax recordal; etc.).

The card is issued by the public security bureau after a multi-year residency and integration test. Not every foreign national qualifies; the application takes 6–24 months.

10.7 The 1 January 2026 CDD rule for cross-border wires

Foreign employees' monthly salary wires are typically small (USD 1,000–5,000) and previously did not trigger enhanced CDD. From 1 January 2026, the PBOC/NFRA/CSRC joint CDD measures require verification for any single cross-border wire of RMB 5,000 / USD 1,000 or above. [83]

For the foreign employee, the implication is:

- The bank's mobile-app wire flow now includes a slightly heavier identity-verification step.
- The verification is procedural; it does not change the substantive rules.
- The foreign employee should expect no change in the speed or success rate of monthly salary wires, just slightly more captured information.

10.8 The bank-selection problem revisited

Foreign employees frequently find that one branch refuses to process their salary wire while another branch of the same bank processes it smoothly. The variance is real.

Causes:

- Branch-level interpretation of "lawful income."
- Bank-internal documentation matrices that vary by branch.
- Officers who are unfamiliar with non-mainland individual documentation.

The foreign employee's response:

- Try a different branch of the same bank.
- Try a different bank (especially international banks: HSBC, Standard Chartered, Citibank).
- Engage a local accounting firm that has worked with the bank.
- Document the wire attempt at the refusing branch in case it is needed for an escalation.

The bank's refusal is not necessarily final. It can be escalated to:

- The branch manager.
- The bank's customer-relationship manager for foreign clients (where one exists).
- The bank's headquarters FX compliance team.

10.9 Cross-border tax considerations

A foreign employee's IIT in mainland China is governed by the IIT Law. Whether the employee is a mainland tax resident depends on the residency test (presence in mainland China for 183+ days in a tax year, or other criteria). [44]

The wire of post-tax salary abroad is not, by itself, a taxable event in the destination country in most cases — but the destination country may require reporting of foreign income. The reader must comply with:

- US: FBAR for foreign accounts above USD 10,000; FATCA reporting; income reporting on the US tax return.
- UK: Self-assessment for foreign income; SA106 for foreign income.
- Other jurisdictions: equivalent rules.

This is destination-side compliance, not SAFE-related. We address it in Chapter 22.

10.10 The special case of the foreign employee who is leaving China

A foreign employee whose assignment in China is ending faces a tighter documentation challenge:

- The employer may have issued a final settlement payment.
- The bank may want to confirm the final settlement is consistent with the employment contract.
- The foreign employee may want to wire out the cumulative RMB savings in one large transaction.

The right approach:

- Wait for the final settlement and the final IIT withholding.
- Obtain the comprehensive IIT record from the tax bureau (the 年度完税证明 is available through the IIT app).
- Wire the cumulative savings with the IIT record as the documentary basis.
- Expect the bank to ask for additional documentation (employment termination letter, departure date confirmation, etc.).

A reader who has been on full bank-deposit + IIT-withheld salary throughout will have a clean documentation history and will find this straightforward. A reader with mixed cash-on-books and bank-deposit salary will find this difficult.

10.11 The freelance foreign worker / consultant

Some foreigners in mainland China work as freelancers (independent contractors) rather than as employees of a single employer. Their situation is different: they may not have an IIT-withheld payroll, pay IIT via self-declaration (季度预缴 + 年度汇算清缴) and may have business income (经营所得) rather than employment income (工资薪金所得). The bank's matrix for freelance foreign workers is generally heavier than for employees; obtain a written estimate of processing time before submission. [44]

10.12 Special considerations for Hong Kong/Macao/Taiwan passport holders

HK/Macao/Taiwan passport holders are treated as non-mainland individuals under SAFE rules. They have access to a wider set of cross-border channels — for example, the Faster Payment System (FPS) for HK-denominated transfers, or specific HK-mainland dual-currency cards.

For salary wires from a mainland employer:

- Same documentation pack as for any non-mainland individual.
- No quota cap for documented income conversion.
- The HK/Macao/Taiwan-side bank may apply its own CDD.

10.13 Worked example: a 4-year expat assignment ending

The reader. A 40-year-old US citizen, 4 years in Shanghai, departing for Singapore. Salary USD 15,000/month (paid in RMB equivalent, fully IIT-withheld). Cumulative RMB savings: RMB 4,000,000 (about USD 560,000 at current rates). (Hypothetical illustration; processing time, fee and FX figures below are not promises.)

Quota impact. None. Documented current-account income conversion under Implementing Rules Article 13. [7]

Documentation pack.

- Passport + residence permit.
- Employment contract + termination letter.
- Final settlement payment record.
- 完税证明 (annual) for all 4 years.
- Bank statements showing the salary deposits and the cumulative savings.
- The recipient bank details in Singapore.
- Possibly a tax advisor's letter confirming the IIT history.

Wire. Single transaction or several tranches over a few months; total wire about USD 560,000. The bank may want the wire to be in tranches or to consult with SAFE's local branch. The choice between a single wire and tranches, and the timing of each, depends on the bank's documented approach and the destination bank's inbound CDD. [7]

A reader who has done this with full documentation should obtain a written processing

estimate from the handling branch and the recipient bank on the day of submission, then keep evidence of every approval, hold notice and documentary request. A reader who needs to expedite should engage a tax advisor early.

10.14 Checklist

- ☐ My salary is paid via bank deposit with IIT withholding.
- ☐ I have a continuous IIT record (完税证明) covering my period of employment.
- ☐ I have bank statements covering the period of savings accumulation.
- ☐ I have selected a bank and branch with experience processing foreign-employee salary wires.
- ☐ I understand that documented income conversion has no quota cap.
- ☐ I will comply with destination-side reporting (FBAR, FATCA, etc.) as required.

Next: Chapter 11 — Property: buying and selling, and getting the proceeds out.

Chapter 11 — Property: buying and selling, and getting the proceeds out

What this chapter is for: property is the most common large-ticket item in a reader's balance sheet. This chapter covers the two directions: buying property in mainland China (mostly relevant for foreigners, with restrictions), and selling property and getting the proceeds out (relevant for anyone selling).

11.1 The two-direction problem

Real-estate transfers touch FX rules in two ways: buying property in mainland China by a foreign national or HK/Macao/Taiwan resident (which is permitted but subject to city-specific residency, single-property-per-married-couple and proof-of-employment-or-study restrictions and is an inbound capital flow from the foreign buyer's perspective) [5][7]; and selling property in mainland China by any owner, which triggers mainland tax obligations and, for non-mainland sellers or emigrants, requires documented outbound remittance of the net proceeds under SAFE rules. [15]

11.2 Buying property in mainland China as a non-mainland individual

The rules for foreign buyers vary by city. General framework: [5][7]

- A foreign national who has worked or studied in mainland China for at least one year (sometimes two years for some cities) may purchase one property for personal use.
- HK/Macao/Taiwan residents have similar but slightly different rules; some cities are more permissive for HK/Macao residents.
- The buyer must show: passport / residence permit, employment or study documentation, marriage certificate if applicable.
- The buyer brings funds into mainland China for the purchase; the inbound wire is subject to standard SAFE rules but is normally a current-account capital flow (an "outward" investment from the foreigner's perspective, but an inbound investment into mainland China).

The purchase funds can come from:

- An overseas account (the foreigner's home-country bank).
- A mainland bank account already held by the foreigner (e.g. salary deposits).
- A combination.

For the buyer, the FX side is relatively easy; the immigration and city-specific restrictions are the harder part. The buyer should engage a local real-estate lawyer and confirm the rules for their specific city before committing.

11.3 Selling property — the tax recordal and tax clearance

For any seller (mainland or foreign), the sale triggers mainland VAT, individual income tax or deed tax depending on holding period, property type and the seller's status. Mainland-resident sellers of personal property are typically subject to VAT exemption if held 5+ years; otherwise VAT applies, and IIT applies to the gain at 1% or 20% depending on the property type and holding. [15][49] The seller pays tax at the local tax bureau and obtains a 完税证明; if the seller wants to remit the proceeds abroad and the remittance exceeds USD 50,000 (and certain other thresholds), the seller must file the tax recordal form for outbound payments for trade in services and other items (对外支付税务备案表) with the local tax bureau. The 2024 SAFE/SAT Announcement No. 40 replaced most prior tax-clearance certificates with this tax recordal filing for qualifying categories. [69][70]

The tax recordal filing is not a clearance of the seller's tax liability; it is a recordal that the bank uses to verify the tax-paid status of the sale. The seller pays the actual tax at the tax bureau; the recordal is the next step.

For amounts below the threshold (USD 50,000 in a single payment), the recordal may not be required; the bank will wire on the strength of the 完税证明 and the sale contract. [15]

11.4 The Shanghai / Bank of China five-step procedure

The Shanghai government's English FAQ, drawn from the Bank of China's published procedure, outlines the following steps for buying FX with property-sale proceeds and remitting abroad: [15]

Step 1. The seller finalises the property sale with the buyer; obtains the property transfer registration (不动产登记).

Step 2. The seller visits the local tax bureau to settle the tax on the sale; obtains the 完税证明.

Step 3. If the remittance exceeds USD 50,000 (and certain other thresholds), the seller visits the local tax bureau to obtain the tax recordal form (对外支付税务备案表).

Step 4. The seller visits the bank with the documents:

- Passport or other valid ID.
- Sale contract (商品房转让合同).
- Property registration certificate.
- 完税证明.
- Tax recordal form (if required).
- Power of attorney + agent's ID, if applicable.

Step 5. The bank purchases the FX and remits the proceeds.

This is the canonical procedure. Other cities follow the same pattern with minor variations. [15][49]

11.5 What "net proceeds" means for the wire

The bank's wire is for the net proceeds after tax. The reader should not include the gross sale price in the wire application. The bank will:

- Verify the 完税证明 and the tax-paid amount.
- Wire up to (sale price – tax – bank fees – reasonable deductions).
- Not wire more than the documented net proceeds.

If the seller has outstanding mortgages on the property, those are settled before the seller sees the net proceeds. The bank's wire is on the net amount after mortgage settlement.

11.6 The original-funds-evidence problem for foreign sellers

A foreign seller who originally purchased the property with foreign-currency funds brought in from abroad has a relatively easier time getting the proceeds out: the original inbound wire is documented, the sale proceeds correspond to the original investment, and the remittance is a return of capital plus gain.

A foreign seller who originally purchased with RMB funds sourced domestically faces more scrutiny: the bank wants to know where the original RMB came from, whether the funds were lawfully sourced, and whether the inbound was correctly documented at the time. [48]

A foreign seller who is selling inherited property has a different documentation chain (notarised inheritance; see Chapter 12).

11.7 Property sale by a mainland individual — outbound remittance of proceeds

A mainland Chinese citizen selling property in mainland China has the same tax obligations as any seller. If the seller wants to remit the proceeds abroad (for example, for emigration), the bank wire requires the tax-paid status and the sale contract. SAFE Implementing Rules Article 12 (current-account non-business purchase with transaction-amount evidence) is the documented-above-quota route; the emigration-transfer route under the 2004 Measures becomes available once the seller's hukou is cancelled and the SAFE branch approves the asset transfer. [7][16]

A mainland citizen selling property without emigrating typically has no business need to remit the proceeds abroad; the proceeds remain in the mainland RMB account. If the seller wants to buy another property or invest in something else, they do so within the mainland.

11.8 Tax recordal vs. tax clearance certificate — the 2024 change

Until 2024, the seller making an outbound remittance above USD 30,000 (in some categories) needed a tax clearance certificate (完税凭证) from the tax bureau. The bank's wire depended

on this.

SAFE/SAT Announcement No. 40, effective 1 September 2024 for many payments, replaced most tax clearance certificates with a tax recordal filing (税务备案). The new rule is: [69][70]

- For payments above USD 50,000 in qualifying categories (including property-sale proceeds), the payer completes a tax recordal filing with the local tax bureau. The tax bureau does not review the tax position; it records the filing.
- For payments below the threshold, the bank may wire on the strength of the 完税证明 and the sale contract without a separate recordal.
- For payroll remittances, the rule was further loosened in 2024/2025; some categories are exempt from recordal altogether. [69][70]

The reader's bank will tell them which categories currently require recordal. The rule is evolving; the reader should check the current SAFE/SAT joint announcement before acting.

11.9 Foreign buyers and the property-tying-up rules

Foreign buyers of mainland property should be aware that:

- Some cities require a minimum holding period (often 5 years) before resale.
- Some cities restrict foreigners to one property per married couple.
- The mortgage rules for foreigners vary; some mainland banks do not lend to foreigners; foreign banks' mainland branches (HSBC, Standard Chartered, Citibank) often do.
- The buyer's right to use the property is subject to mainland real-estate law; disputes are governed by mainland courts.

A foreign buyer who plans to hold the property for many years and then sell needs to plan the exit from the beginning. The exit documentation chain starts with the original purchase.

11.10 The "I inherited a property in China" case

If the property was inherited rather than purchased, the documentation chain is different:

- Notarised inheritance documents (继承公证书).
- Death certificate of the deceased.
- Family-relationship evidence.
- Possibly a court judgment if the inheritance was disputed.

The sale proceeds can then be remitted using the inheritance transfer route (Chapter 12) combined with the property-sale procedure above. The two routes can interact; the reader should consult a Chinese inheritance/property lawyer.

11.11 The "vacation property" case

Some overseas readers own a vacation property in mainland China (e.g. a Hainan apartment).

The sale procedure is the same as any other property sale. The wire is the same.

The complication is often: the owner has not been physically present in mainland China for years, the title is registered in the owner's name (perhaps an old passport), and the owner is now using a new passport or has changed citizenship. The documentation pack should be assembled carefully:

- Current passport.
- Title certificate in the current name.
- Evidence of any name change.
- Power of attorney if the owner is using an agent.

11.12 Worked example: foreign seller of a Shanghai apartment

The reader. A British citizen, age 60, retiring back to the UK. Owns a Shanghai apartment purchased 12 years ago for RMB 3,200,000 (originally funded by an inbound wire of GBP 350,000). Sale price: RMB 6,800,000. Tax (VAT/IIT, based on holding period and gain): roughly RMB 270,000. Net proceeds: RMB 6,530,000 (~GBP 730,000 at current rates).

Wire route. Documented above-quota, with property-sale documentation. Not the facilitation quota.

Documentation pack.

- Passport.
- Original sale/purchase records (showing the original GBP inbound wire).
- Current sale contract.
- Title transfer record.
- 完税证明.
- Tax recordal form (the remittance is above USD 50,000).
- UK recipient bank details.
- Power of attorney if the reader is using an agent in Shanghai.

Wire details. Charge code OUR (large amount; the recipient should not be surprised by deductions) subject to the bank's written quote. Currency GBP. Intermediary bank likely required (CNY clearing or correspondent chain).

Total cost. Ask the handling branch for a dated, all-in quotation showing the RMB debit, conversion rate, originating fee, charge code and any expected correspondent deductions. Ask the receiving bank separately about its inbound fee and evidence requirements. Published fee discussions can identify the cost categories, but only the transaction-day quotations should be used to budget this transfer.[58][61][62]

Timing. Documentation assembly and bank process depend on the branch's current approach and the destination bank's CDD. Treat published time ranges as illustrative and obtain a written estimate on the day of submission. Keep evidence of every approval, hold notice and documentary request.

11.13 Checklist

- ☐ I have identified my role: buyer, seller, heir, or combination.
- ☐ For a sale: I have the sale contract, the title transfer record, and the 完税证明.
- ☐ For a sale with outbound remittance above USD 50,000: I have completed the tax recordal filing.
- ☐ I have original-funds evidence if I am a foreign seller.
- ☐ I have assembled the bank's documentation pack.
- ☐ I have allowed sufficient time (1–2 months) for the process.

Next: Chapter 12 — Inheritance and gifts.

Chapter 12 — Inheritance and gifts

What this chapter is for: the Interim Measures for the Administration of Foreign Exchange Sales and Payment for Transfer of Personal Property Abroad (《个人财产对外转移售付汇管理暂行办法》), issued by the PBOC in 2004 (PBOC Announcement No. 16), establishes two routes by which a foreign national, HK/Macao/Taiwan resident, or emigrated mainland citizen can remit inheritance or pre-emigration assets abroad. This chapter walks through both routes.

12.1 The two routes in the 2004 Measures

The 2004 Measures establish: [16][17][37]

- Emigration transfer (移民财产转移). A person who has emigrated from mainland China and obtained foreign nationality or HK/Macao/Taiwan permanent residency may, after hukou cancellation, apply to remit their pre-emigration mainland assets abroad. The asset must be the emigrant's own lawful property; must be realised (变现); and may be remitted in phases. [16]
- Inheritance transfer (继承财产转移). A foreign national, HK/Macao/Taiwan resident (or, in some cases, a mainland citizen inheriting from a foreign decedent) may apply to remit lawfully inherited mainland assets abroad after the inheritance has been realised and the related taxes have been paid. [16]

These routes are separate from the personal facilitation quota and from the documented above-quota current-account transfers. They have their own application, documentation, and approval process.

The legal basis is in the 2004 Measures, supplemented by SAFE implementing rules and operational guidance. The SAFE branch with jurisdiction is the SAFE branch in the hukou's pre-cancellation jurisdiction (for emigration transfer) or in the deceased's last hukou jurisdiction (for inheritance transfer). [16][17]

12.2 Who is eligible for each route

For emigration transfer:

- A mainland citizen who has obtained foreign nationality.
- A mainland citizen who has obtained permanent residency in a foreign country.
- A mainland citizen who has obtained permanent residency in HK/Macao/Taiwan.
- Conditional on: the hukou has been cancelled (this is the practical trigger; obtaining the foreign status is necessary but not sufficient). [16][38]

For inheritance transfer:

- A foreign national.
- A HK/Macao/Taiwan permanent resident.

- In some interpretations, a mainland citizen who inherits from a foreign decedent (less common; depends on the circumstances). [16][17][37]

Inheritance transfer can also be used by an emigrant who inherits after emigrating; the eligibility is based on the heir's status, not the decedent's status. [16]

12.3 What can be remitted under each route

The 2004 Measures cover the transfer of personal property abroad. Eligible assets include: [16][17][37]

- Real estate (房产).
- Cash deposits (银行存款).
- Securities (有价证券) — but only those lawfully held by the applicant at the time of application.
- Other personal property (其他财产).

The asset must be the applicant's own property. Jointly held property must be apportioned; only the applicant's share can be transferred under these routes.

12.4 What must be done before applying

The asset must be realised (变现) before being remitted. This means:

- Real estate must be sold; the sale proceeds are what is remitted.
- Securities must be sold.
- Cash deposits can be wired directly (they are already in cash form).

Foreign currency may not be withdrawn in cash from the realised assets. The bank wires the funds directly to the applicant's overseas account. [16]

This is a key constraint: the emigrant or heir cannot arrive in mainland China, sell a property, take a briefcase of USD cash out of the country, and then move it. The bank wires the funds; the funds go directly to the foreign account.

12.5 The application process

For both routes, the application is to the SAFE branch in the relevant jurisdiction. The application requires: [16][17][37]

For emigration transfer:

- Written application.
- 《个人财产对外转移外汇业务申请表》 (signed by applicant or agent).
- Identity documents (foreign passport, foreign PR card, hukou cancellation record from public security).
- Marriage certificate (if applicable).
- hukou cancellation record (户口注销证明).

- Property documents (real estate certificate; bank deposit certificate; securities account statements).
- Tax payment certificates for the realised assets.
- Source-of-funds evidence for the underlying assets (how the property was bought, where the deposits came from).

For inheritance transfer:

- Written application.
- 《个人财产对外转移外汇业务申请表》.
- Identity documents (foreign passport, HK/Macao/Taiwan ID).
- Notarised inheritance documents (继承公证书).
- Death certificate of the deceased.
- Family-relationship evidence (birth certificates, marriage certificate).
- Property documents of the deceased (real estate certificate, bank deposit certificate).
- Tax payment certificates for the realised assets.

Documents that are in a foreign language must be notarised and translated. Documents executed abroad typically need apostille or consular legalisation. [16][17]

12.6 The phased remittance rule

For emigration transfer, the 2004 Measures established a phased remittance pattern. Although the practical application has evolved, the rules historically are: [16]

- First remittance: not to exceed half of the total approved transfer.
- One year after first remittance: not to exceed half of the remaining.
- Two years after first remittance: the full remaining amount.

For total transfers below RMB 200,000 equivalent, the entire amount can be remitted in one transaction after approval.

For inheritance transfer, the remittance is typically in one transaction or as agreed with the SAFE branch. The phased rule applies differently.

12.7 Thresholds and approval authority

The approval authority depends on the total transfer amount: [16][17]

- Up to RMB 500,000 equivalent: approved by the local SAFE branch.
- Above RMB 500,000 equivalent: local SAFE branch's initial review, then SAFE headquarters' approval.

The approval process typically takes 20 working days from the date of complete application. [17]

12.8 The "I am a foreign national who inherited" case

A foreign national whose mainland-resident relative has died may apply under the inheritance transfer route if:

- The foreign national is the legal heir under mainland inheritance law (or under the law of the deceased's habitual residence, with proper conflict-of-laws analysis).
- The inheritance has been established (notarised, possibly through court).
- The inherited assets have been realised (sold, if real estate).
- The applicable taxes have been paid.

Common scenarios:

- Foreign adult child inheriting from mainland parent. If the foreign child is the sole heir, the inheritance transfer proceeds straightforwardly. If there are multiple heirs (e.g. a mainland sibling and a foreign sibling), the inheritance must be apportioned; only the foreign sibling's share goes through the inheritance-transfer route. [16][36][37]
- Foreign spouse inheriting from mainland spouse. The foreign spouse's share is determined under mainland inheritance law. The transfer proceeds under the inheritance route.
- HK/Macao/Taiwan resident inheriting from mainland relative. Same logic.

12.9 The "I have emigrated and have residual assets" case

A mainland citizen who emigrated years ago and now has mainland assets to deal with:

- Property still owned in the hometown.
- Bank accounts not closed at the time of emigration.
- Securities holdings not transferred at the time of emigration.

The emigrant applies under the emigration-transfer route. The procedure is:

1. Confirm hukou is cancelled. If not, cancel it first (this can be done through the local public security bureau with the foreign citizenship/PR certificate). 2. Identify and value the assets. 3. Sell/realise the assets. 4. Pay any applicable tax. 5. Apply to SAFE branch with the documentation pack. 6. Receive SAFE approval (typically 20 working days). 7. Wire the funds under the approved schedule.

For property that has appreciated significantly, the tax cost is meaningful. The emigrant should engage a tax advisor before selling.

12.10 The interaction with property-sale documentation

If the inherited or pre-emigration asset is real estate, the inheritance/emigration transfer process must be combined with the property-sale procedure:

- Property title must be transferred to the heir or emigrant first (this requires the inheritance

documentation or, for the emigrant, the change of name/identity).

- Property is then sold; tax is paid; 完税证明 is obtained.
- Tax recordal filing (if remittance exceeds USD 50,000).
- Application to SAFE branch for inheritance/emigration transfer approval.
- Wire the funds.

The full process takes several months. The reader should engage a Chinese inheritance/property lawyer.

12.11 Gifts during lifetime

The 2004 Measures do not establish a "gift transfer" route. Lifetime gifts from a mainland resident to a foreign national are not generally eligible for the special inheritance/emigration transfer procedures.

Gifts may be made within the personal facilitation quota (current-account, small amount) or as documented above-quota current-account transfers (e.g. as family support or donation with appropriate documentation). [7]

A mainland resident who wants to gift large amounts to a foreign national during lifetime does not have a dedicated SAFE route. The reader should consider:

- Making the gift in compliance with mainland tax rules (gift tax has been abolished but IIT or other taxes may apply to large transfers).
- Using the documented current-account route (donation with notarised donation agreement).
- Engaging a tax advisor for the optimal structure.

12.12 Worked example: an emigrant's residual property

The reader. A 65-year-old former mainland citizen, now a Canadian citizen. Emigrated 10 years ago. Owns a Beijing apartment, currently rented out, with an estimated value of RMB 8,000,000. Has a mainland bank account with RMB 500,000.

Documentation needed.

- Canadian passport + PR card from the time of emigration.
- hukou cancellation record from 10 years ago.
- Marriage certificate (if spouse is included).
- Property certificate for the Beijing apartment.
- Bank statements for the RMB account.
- Source-of-funds evidence (where did the original apartment purchase money come from?).

Procedure.

1. Engage a Beijing property lawyer. 2. Sell the apartment. Pay IIT (likely 1% or 20% of the gain, depending on circumstances). Pay VAT (if applicable based on holding period). 3. Obtain 完税证明. 4. Tax recordal filing (the remittance will exceed USD 50,000). 5. Apply to SAFE

Beijing branch for emigration transfer. 6. Receive SAFE approval (~20 working days). 7. Wire the net proceeds to a Canadian account under the approved schedule.

Timing. 3–6 months for the full process.

Key risk. If the original apartment purchase was not properly documented (e.g. funded with mixed sources, some undocumented), the SAFE branch may require additional evidence. The reader should assemble source-of-funds evidence carefully.

12.13 Worked example: a foreign heir

The reader. A 35-year-old US citizen, single, whose mainland-resident father has died. Father left a Shanghai apartment (sole ownership) and RMB 1,200,000 in a mainland bank account. The reader is the sole heir under mainland inheritance law (no will; both parents had the same residency).

Documentation needed.

- US passport + US residence.
- Notarised inheritance documents (继承公证书) from a mainland notary.
- Death certificate of father (notarised translation).
- Birth certificate proving the parent-child relationship.
- Property certificate for the Shanghai apartment.
- Bank deposit certificate for the RMB account.
- hukou of the deceased (showing Shanghai as last registered residence).

Procedure.

1. Engage a Shanghai inheritance lawyer. 2. Obtain notarised inheritance (involves going to the notary with documents; possibly multiple trips). 3. Title transfer of the apartment to the heir. 4. Sell the apartment. Pay IIT (1% of sale price is the de facto standard for inheritance-and-sale). 5. Obtain 完税证明. 6. Tax recordal filing. 7. Apply to SAFE Shanghai branch for inheritance transfer. 8. Receive SAFE approval. 9. Wire the net proceeds to a US account.

Timing. No universal timetable applies. Notarisation, title transfer, sale, tax settlement, SAFE review and bank execution each have separate dependencies. Before committing to a deadline or travel plan, obtain current written estimates from the notary, property registry, tax authority, competent SAFE branch and handling bank.[16][17]

12.14 A note on the deceased's outstanding liabilities

If the deceased had outstanding debts in mainland China (mortgages, loans, unpaid taxes, etc.), the inheritance is applied to those debts first. The SAFE branch will want to see evidence that the debts have been settled before approving the remittance.

12.15 Checklist

- ☐ I have identified whether I am eligible for the emigration-transfer or inheritance-transfer route.
- ☐ I have verified that my hukou has been cancelled (for emigration transfer).
- ☐ I have obtained notarised inheritance documents (for inheritance transfer).
- ☐ I have realised the assets (sold the property, etc.) and paid the tax.
- ☐ I have obtained the 完税证明 and completed the tax recordal filing (if required).
- ☐ I have assembled the SAFE branch application pack.
- ☐ I have obtained current written estimates for notarisation, asset realisation, tax, SAFE review and bank execution, and allowed contingency time.

Next: Chapter 13 — Emigration and the move-out process.

Chapter 13 — Emigration and the move-out process

What this chapter is for: emigration is a specific use case that triggers the 2004 Measures' emigration-transfer route. This chapter walks through the full life-cycle: from the decision to emigrate to the final remittance of remaining assets.

13.1 The full emigration timeline

Emigration from mainland China touches many authorities:

1. Public security bureau (公安局). Cancellation of hukou; surrender of PRC passport if naturalising abroad (although this is not always required).
2. Exit-and-entry administration (出入境管理局). Cancellation of residence permit if relevant.
3. Immigration authority of destination country. Visa / PR / citizenship.
4. SAFE branch. Application for emigration transfer (after hukou cancellation).
5. Local tax bureau. Tax settlement (final IIT return; IIT clearance certificate for some purposes).
6. Customs. Cash declaration at the border if applicable.
7. Bank. Account closure and remittance under the SAFE approval.

This chapter focuses on the SAFE-side process. The non-SAFE steps are mentioned for context; the reader should engage a mainland emigration lawyer.

13.2 The hukou cancellation — the critical trigger

The 2004 Measures' emigration-transfer route becomes available only after the hukou has been cancelled. Until that happens, the emigrant remains a mainland individual for SAFE purposes. [16][38]

The hukou cancellation process:

1. The emigrant obtains foreign citizenship or foreign PR.
2. The emigrant visits the local public security bureau with: passport (PRC and foreign), foreign citizenship certificate or foreign PR card, evidence of relocation.
3. The public security bureau processes the cancellation and issues a 户口注销证明 (household-registration cancellation record).
4. The emigrant receives a new residence status; the mainland ID card is surrendered.

Some emigrants are surprised at this step; they expected that holding a foreign passport was sufficient. It is not. The hukou is the operational trigger.

A practical complication: a PRC citizen who has held a foreign PR for many years but never formally cancelled the hukou may have lost touch with the local public security bureau. The cancellation can still be processed but may require additional documentation.

13.3 The pre-application asset inventory

Before applying to SAFE, the emigrant should assemble an inventory of mainland assets:

- Real estate. Property certificates, current valuations, mortgage status.
- Bank deposits. Account numbers, balances, the bank's name.
- Securities. Stock accounts, fund accounts, bond holdings.
- Insurance policies. Cash value, surrender value.
- Business interests. Equity in mainland companies.
- Vehicles, art, jewellery. Anything of value.
- Receivables. Money owed to the emigrant.
- Payables. Money the emigrant owes in mainland China.

The emigrant should also identify the destination bank account details where the funds will be wired.

13.4 What can and cannot be transferred under the emigration-transfer route

Eligible:

- The emigrant's own lawful mainland assets, acquired before the emigration.
- Real estate (must be sold first).
- Bank deposits (can be wired directly).
- Securities (must be sold first).
- Other personal property.

Not eligible:

- Assets acquired after emigration (these are no longer pre-emigration assets).
- Assets jointly held where the emigrant's share has not been legally apportioned.
- Assets subject to a mainland judicial or regulatory hold.
- Assets of unclear source or provenance.

The SAFE branch will review each asset and may exclude items that don't meet the criteria.

13.5 The application process

The application is filed with the SAFE branch in the hukou's pre-cancellation jurisdiction. SAFE branches decide applications up to RMB 500,000 equivalent; larger applications are routed to SAFE headquarters after initial review. The phased-remittance schedule under PBOC Order No. 16 (2004) applies unless SAFE grants a one-shot approval: first instalment up to half the approved amount, a further instalment after one year up to half of the remaining, and the final balance after two years. Applications up to RMB 200,000 may be remitted in one instalment after approval. [16][17]

The application pack:

- Written application (free-form; explains the emigrant's status, the assets, the request).

- 《个人财产对外转移外汇业务申请表》 (the standard form).
- Emigrant's foreign passport + foreign PR / citizenship certificate.
- hukou cancellation record.
- Marriage certificate (if spouse is jointly transferring).
- Asset-by-asset documentation (real estate certificates, bank deposit certificates, securities account statements).
- Tax payment certificates.
- Source-of-funds evidence for each asset.
- The recipient bank details (foreign bank, account number, SWIFT/BIC).

Documents in foreign languages need notarisation + Chinese translation. Documents executed abroad typically need apostille or consular legalisation.

The SAFE branch has 20 working days to decide (for applications up to RMB 500,000 equivalent; larger applications take longer due to SAFE headquarters review). [17]

13.6 The phased remittance schedule

The 2004 Measures originally required phased remittance: [16]

- First remittance: $\leq 50\%$ of total approved.
- One year later: $\leq 50\%$ of remaining.
- Two years later: the balance.

In practice, many SAFE branches have become more flexible in recent years, and some allow one-shot remittance for amounts below certain thresholds (RMB 200,000 equivalent) or for documented above-quota transfers.

The applicant should confirm the schedule with the local SAFE branch during the application.

13.7 Interaction with tax obligations

The emigrant's final tax settlement is a separate process from the SAFE approval. The emigrant should:

- File the final IIT return (年度汇算清缴 if leaving mid-year).
- Pay any outstanding IIT.
- Obtain a comprehensive IIT record (完税证明).

The tax bureau and SAFE branch communicate loosely. The SAFE branch does not require a tax clearance certificate per se, but the tax-paid status of the assets is part of the documentation pack.

For property sales that occur after emigration, the IIT obligation continues; the emigrant must file and pay tax as a non-resident individual (if no longer a mainland tax resident). The non-resident IIT rate for property gains is 20% (or as reduced by a tax treaty).

13.8 The interaction with property sale

If the emigrant's assets include real estate:

- The property must be sold before the SAFE approval.
- The IIT/VAT on the sale is paid; 完税证明 is obtained.
- Tax recordal filing is done (if remittance > USD 50,000).
- The net sale proceeds are eligible for the SAFE approval.

A complicating factor: the emigrant may want to defer the property sale (e.g. for tax reasons or for a stronger sale market). In that case, the SAFE approval can be obtained for the non-real-estate assets first, and the real estate added later. The SAFE branch will issue a single approval covering all assets.

13.9 What if the emigrant wants to return

A mainland citizen who has emigrated and used the emigration-transfer route can, in principle, return to mainland China in the future. The reverse process is more complex than the forward process:

- New residence status (returning to mainland China as a permanent resident, if eligible; or as a foreign national with a residence permit).
- Tax residency re-establishment.
- New hukou (typically not possible; the emigrant who has cancelled the hukou does not easily get a new one).

This is outside the scope of this book but is a planning consideration.

13.10 What about emigrants with only foreign PR (not foreign citizenship)?

A mainland citizen who has obtained foreign PR but has not naturalised is in an unusual position:

- They are a PRC citizen (PRC passport holder) who also holds foreign PR.
- Their hukou may still be active.
- They are subject to mainland tax residency rules based on presence (183+ days).

For SAFE purposes:

- If hukou is active: standard mainland-individual rules apply. The USD 50,000 facilitation quota is theirs.
- If hukou is cancelled: the emigration-transfer route is available (the 2004 Measures cover PR status, not just citizenship). [16]

A reader who is unsure of their hukou status should visit the local public security bureau.

13.11 Common pitfalls

- Late application. Many emigrants wait until years after emigration to deal with their mainland assets. By then, the documentation may be hard to assemble. Better to start the hukou cancellation and asset transfer process within a year or two of emigration.
- Mixed-source assets. A property bought partly with documented income and partly with undocumented cash is difficult to clear. The SAFE branch may require additional evidence or may deny approval for the unclear portion.
- Unrealised assets. The emigrant cannot apply for an asset that has not been realised. Selling the property is a prerequisite.
- Spousal property. Jointly held property must be apportioned. A spouse who is not emigrating (or who has different emigration status) requires separate handling.

13.12 The interaction with social security and pension

A separate consideration for emigrants: mainland social security and pension. The emigrant may have:

- A mainland social-security account with contributions.
- A pension entitlement (or prospective entitlement).

These are not automatically transferable abroad. The emigrant may be able to:

- Withdraw the social-security account balance (subject to certain conditions).
- Receive a pension if eligible (typically requires reaching mainland retirement age and having a sufficient contribution history; some tax treaties address double taxation of pensions).

This is a separate workflow from SAFE. The reader should consult a mainland tax advisor.

13.13 Worked example: a full emigration-transfer

The reader. A 50-year-old couple. Husband has obtained Canadian citizenship; wife has Canadian PR. Both have cancelled their mainland hukou (Beijing). They own:

- A Beijing apartment, current value RMB 8,000,000, mortgage paid off.
- RMB 1,500,000 in a mainland bank account.
- Some RMB 200,000 in a stock account.

They plan to sell the apartment, pay the tax, and remit the total to Canada.

Procedure.

1. Confirm hukou cancellation (already done). 2. Sell the apartment. Net proceeds after IIT (~1%): approximately RMB 7,920,000. 3. Pay tax; obtain 完税证明. 4. Sell the stocks; net proceeds ~RMB 200,000. 5. Tax recordal filing for the wire. 6. Apply to SAFE Beijing branch with the full pack. 7. Receive SAFE approval (~20 working days; total amount > RMB 500,000, so SAFE headquarters will also be involved). 8. Wire the funds to a Canadian account under the

approved schedule (likely phased over 2 years; or one-shot if the SAFE branch allows).

Total value. Approximately RMB 9,620,000 (~CAD 1.8 million at current rates).

Key risk. The original apartment purchase (15 years ago) was funded with a mix of salary and savings; documentation is clear. SAFE approval likely straightforward.

13.14 Checklist

- ☐ I have confirmed my hukou has been cancelled.
- ☐ I have inventoried all my mainland assets.
- ☐ I have decided which assets to transfer under the emigration-transfer route.
- ☐ I have realised the assets (sold property, sold securities).
- ☐ I have paid the tax and obtained the 完税证明.
- ☐ I have completed the tax recordal filing.
- ☐ I have assembled the SAFE branch application pack.
- ☐ I have allowed 3–6 months for the SAFE approval and 2+ years for phased remittance (if applicable).

Next: Chapter 14 — Insurance, pensions, and capital-account investments that are not yet open.

Chapter 14 — Insurance, pensions, and capital-account investments that are not yet open

What this chapter is for: insurance and pensions are areas where reader expectations and the rules frequently diverge. This chapter explains what is permitted, what is not, and what the lawful alternatives are.

14.1 The general rule: insurance payments are classified by purpose

SAFE Implementing Rules Article 19 addresses insurance: [7][79]

- 境内个人向境内经批准经营外汇保险业务的保险经营机构支付外汇保费。 A mainland individual paying FX-denominated premiums to a mainland insurer licensed to write FX insurance can do so with documentation (insurance contract, payment notice from the insurer). The bank processes the purchase under documented above-quota rules.

- 境内个人作为保险受益人所获外汇保险项下赔偿或给付的保险金。 A mainland individual receiving FX-denominated insurance proceeds (as a beneficiary) may deposit them in their FX savings account or convert them to RMB.

- 境内个人到境外购买的人寿保险和投资返还分红类保险均属于金融和资本项下的交易，现行的外汇管理政策尚未开放。 Mainland-resident purchase of life insurance and investment-linked insurance abroad is a capital-account transaction; the FX policy is not yet open. [73]

The same Dah Sing Bank (China) Q&A explicitly states: "境内个人到境外购买的人寿保险和投资返还分红类保险均属于金融和资本项下的交易，现行的外汇管理政策尚未开放，因此相应资金也不能入账。" [73]

In plain English: mainland individuals cannot, under the personal facilitation quota or the documented above-quota route, purchase investment-linked life insurance abroad. The SAFE Implementing Rules explicitly include this prohibition. [7][73]

14.2 What kinds of insurance are permitted

The permitted categories: [7][9][74]

- Personal accident insurance for overseas travel — permitted (current-account; consumption).
- Personal medical insurance for overseas travel — permitted.
- Personal medical insurance for overseas medical treatment — permitted.
- Cross-border insurance compensation received as a beneficiary of insurance (whether mainland or overseas-issued) — can be received into a mainland FX account or converted to RMB.

The prohibited categories:

- Investment-linked life insurance (投资连结型寿险 / 投资性返还分红类保险) issued abroad.
- Whole-life savings insurance with a guaranteed cash value, issued abroad.
- Annuities with capital accumulation issued abroad.
- Any insurance product whose primary purpose is investment return rather than risk protection.

The line between risk protection and investment is drawn by the regulator, not by the product marketing. The Junzejun commentary is direct: "投资类保险从未被纳入合法购汇的用途范围。" [74]

14.3 Why investment-linked insurance is not permitted

The reason is policy-level, not technical. Investment-linked insurance issued abroad is functionally a capital-export channel:

- The premium leaves the mainland as FX.
- The cash value accumulates abroad in foreign currency.
- The eventual surrender or maturity payout is also foreign currency.
- The mainland resident accumulates foreign-currency assets, in a product not directly accessible through other channels.

SAFE's view is that allowing such products would create a parallel capital-export route outside the regulated ODI/portfolio-investment framework. Hence the prohibition.

14.4 What mainland readers can do for retirement and long-term saving

The lawful alternatives:

- QDII funds. Mutual funds that invest abroad within a SAFE-granted quota. Subject to investment restrictions; available to retail investors through mainland banks and brokerages. See Chapter 18.
- Hong Kong Stock Connect Southbound. Mainland residents can buy selected HK-listed stocks through the Southbound channel. See Chapter 18.
- Bond Connect Southbound. Selected mainland institutional investors can access HK bond market through Bond Connect.
- Domestic long-term savings products. Insurance products from mainland insurers (in RMB), bank wealth-management products (in RMB), mutual funds (in RMB).

The reader who wants offshore asset allocation has regulated routes; the reader who wants to put USD into a HK insurance policy does not.

14.5 Pensions

Pensions are complex because they involve:

- Mainland social security. A mainland resident's social-security account balance may be withdrawable in certain circumstances (e.g. upon emigration and cancellation of social-security relationship).
- Mainland corporate pensions (企业年金 / 职业年金). Subject to specific rules.
- Overseas corporate pensions. If a mainland resident works for a multinational that has a global pension scheme, the contributions to the overseas scheme are subject to mainland employment-tax and FX rules.
- Overseas state pensions. If the emigrant receives a foreign state pension (e.g. Canadian OAS, UK state pension), the pension is paid into the emigrant's foreign account; SAFE is not involved.

For social-security withdrawals upon emigration:

- The emigrant must apply to the local social-security bureau.
- The application typically requires the hukou cancellation record and the foreign PR / citizenship.
- The withdrawal is in RMB; the emigrant converts to foreign currency via the bank under standard rules.

14.6 The grey-zone reality

Many mainland residents continue to hold overseas investment-linked insurance policies issued before the rules tightened, or purchased via channels that did not surface the FX-source issue. The status of these policies:

- They remain in force; the insurer continues to manage them.
- Future premium payments may be problematic (the bank will refuse to wire the premium under current rules).
- Surrender proceeds are returned to the policyholder; remitting the surrender proceeds abroad from a mainland bank is also problematic (because the underlying asset is the policy itself, not a permitted asset class).

A reader who has such a policy should engage a mainland tax/insurance advisor. The options are:

- Surrender the policy and accept the inability to remit the surrender proceeds abroad.
- Allow the policy to mature; the maturity proceeds are similarly restricted.
- Some practitioners argue that the original purchase was lawful (under rules then in force); the policy can be maintained with existing foreign-currency funds (i.e. paid from an already-realised foreign-currency balance, not via new SAFE-approved FX purchases). This is a high-stakes legal interpretation and not a safe assumption for the reader to make without counsel.

14.7 Insurance compensation (inbound)

The other direction: a mainland resident who is the beneficiary of insurance compensation from an overseas insurer (e.g. a deceased relative's life insurance policy). The compensation is

wired to the mainland by the overseas insurer; the mainland recipient receives it in their mainland FX account and can convert to RMB.

This is permitted; the bank will want to see the insurance contract and the death certificate (or other claim document). [7]

14.8 Insurance premiums paid through underground channels

Some mainland residents have used underground banking (地下钱庄) to fund investment-linked insurance policies abroad. This is:

- A violation of SAFE's foreign-exchange rules.
- A violation of PBOC's AML rules.
- A violation of criminal law (非法经营罪 / 洗钱罪 depending on the facts).

Recent enforcement actions have been severe. We discuss this in Chapter 21; readers who have used underground channels should not assume that because it has worked so far it will continue to work. The SAFE monitoring system has improved substantially since 2018. [33][35]

14.9 Pensions from overseas employers

A foreign employer of a mainland employee may maintain a global pension scheme that includes the mainland employee. The contributions to the overseas scheme are subject to:

- Mainland employment-tax rules. Whether the contribution is taxable in mainland China depends on the structure.
- Mainland FX rules. Whether the contribution can be wired abroad as part of an employment-package payment.

The standard treatment:

- Employer contributions to a foreign pension scheme for a mainland employee are subject to IIT (the contribution is an employment benefit).
- The employer's wire abroad of the contribution is a service trade or capital transaction; the documentation pack is heavier than a personal wire.

Readers in this situation should engage a mainland employment-tax specialist.

14.10 Insurance product disclosure for banks

Mainland banks that offer cross-border FX services must, by SAFE rule, ask the customer about the purpose of the FX purchase. The 个人购汇申请书 explicitly forbids:

不得用于境外买房、证券投资、购买人寿保险和投资性返还分红类保险等尚未放开的资本项目。

The bank clerk who processes a purchase under "境外旅游" or "境外探亲" when the actual purpose is investment-linked insurance premiums is participating in a false declaration. [9][13]

A reader who is asked by an insurance agent to "declare it as travel" should refuse and find a different agent.

14.11 The future direction

The Chinese mainland has, since 2014, periodically discussed the QDII2 programme (Qualified Domestic Individual Investor) which would allow mainland individuals to invest abroad directly, with relaxed FX treatment. As of the writing of this book, QDII2 has not been launched. [23][24]

Until QDII2 or a similar programme launches, mainland residents' direct outbound investment remains restricted to the regulated retail channels (QDII funds, Stock Connect, etc.) and the institutional route (corporate ODI).

14.12 A note for readers who already hold such policies

For the reader who already holds an overseas investment-linked insurance policy (purchased in earlier years), the practical questions are:

- How is the policy currently funded? If the policy has been paid up (no further premiums due), there is no current FX problem. The policy continues to mature.
- Is the policy still active? If so, are future premiums funded from foreign-currency balances outside mainland China? If yes, SAFE is not involved; the wire is from an overseas bank to the overseas insurer.
- What about the surrender or maturity proceeds? If the proceeds need to come back to mainland China, the inbound is permitted (current-account). If they need to go from mainland China to abroad, the wire is problematic.

The reader who wants to wind down the policy and consolidate proceeds should engage a tax/insurance advisor.

14.13 Checklist

- ☐ I understand that investment-linked insurance issued abroad is not a permitted use of the personal facilitation quota.
- ☐ I am not using the personal quota or documented current-account transfers to fund overseas investment-linked insurance.
- ☐ For inbound insurance compensation, I have the necessary documentation (insurance contract, claim document).
- ☐ If I have an existing overseas investment-linked policy, I have consulted an advisor about the practical options.
- ☐ If I want offshore long-term savings, I am using a regulated retail channel (QDII funds, Stock Connect Southbound).

Next: Chapter 15 — Entrepreneurs, freelancers, the self-employed, and small businesses.

Chapter 15 — Entrepreneurs, freelancers, the self-employed, and small businesses

What this chapter is for: this chapter addresses the reader who earns money in mainland China outside a formal employment relationship — individual industrial and commercial households (个体工商户), freelancers, consultants, traders, and small-business owners. Their situation is between "personal" and "company," and the rules reflect that.

15.1 The four common forms

- 个体工商户 (individual industrial and commercial household). A self-employed business registered with the local administration for market regulation. Has a business licence (营业执照); can issue fapiao (invoices) to clients; pays individual income tax (typically under 经营所得, business income, with simplified assessment for small operators). [7]
- Freelancer / consultant (no business registration). Earns service-trade income from overseas clients; pays IIT under 综合所得 (comprehensive income) or via 经营所得 (if the operation is large enough to warrant registration). [7]
- Small trader (e.g. e-commerce seller). Trades in goods with domestic or overseas customers; may or may not be registered as an 个体工商户. [7]
- Self-employed professional. Doctor, lawyer, accountant, designer, etc., with a single practice; typically registered. [7]

Each form has different documentation requirements for cross-border wires under SAFE Implementing Rules Article 12 (current-account non-business purchases with transaction-amount evidence) and the SAFE branches' published service-trade and goods-trade procedure notes. [7]

15.2 The 个体工商户 with overseas clients

A mainland 个体工商户 with overseas clients is, for SAFE purposes, a current-account trader. The cross-border wire is for the settlement of trade in services (服务贸易) or, for goods sellers, trade in goods (货物贸易).

The wire is processed as documented above-quota if the amount exceeds USD 50,000; below that, the bank may accept simpler documentation. [7]

The documentation pack for service trade:

- Business licence (营业执照).
- Service contract with the overseas client.
- Invoice issued (fapiao).
- For amounts above USD 50,000 (and certain other thresholds): tax recordal filing

(对外支付税务备案). [69][70][72]

- The recipient bank details.

The documentation pack for goods trade:

- Business licence.
- Export customs declaration (出口报关单).
- Sales contract.
- Invoice.
- Foreign-exchange receipt record (from SAFE's system or the bank's records).

15.3 The freelance consultant

A freelance consultant with overseas clients but without an 个体工商户 registration is, for tax purposes, a comprehensive-income individual (综合所得) or, for higher-volume operations, an 经营所得 taxpayer after registration.

The cross-border wire for service income follows the same documentation logic as for 个体工商户, but the documentation pack includes:

- The consultant's ID.
- Service contract(s).
- Invoice(s) issued.
- Bank statements showing the receipt of foreign currency (or the foreign-currency receipts into a mainland FX account).
- IIT payment records.
- Tax recordal filing (if applicable).

The bank's documentation matrix for un-registered freelancers may be stricter; some banks process wires more slowly. A tax advisor's letter confirming the IIT history is often useful.

15.4 The e-commerce seller

A mainland e-commerce seller with overseas customers is a trade in goods exporter. The wire for the export proceeds follows the goods-trade documentation logic:

- E-commerce platform records (order confirmations, shipping records).
- Export customs declaration (where applicable; small parcels may be exempt).
- Foreign-exchange receipt record.

For small-ticket e-commerce (where each order is below USD 5,000 and the platform handles customs clearance), the bank may accept platform records as the primary documentation.

Some platforms (e.g. Amazon, eBay, AliExpress) have specific cross-border settlement arrangements with mainland banks; the seller can receive foreign currency directly into a mainland account via the platform's payment processor.

15.5 The 5万美元 threshold and tax recordal

For amounts above USD 50,000 in a single payment, the tax recordal filing is generally required for service-trade and other-trade payments. [69][70][71]

The tax recordal is filed with the local tax bureau (not SAFE). The bank requires the recordal receipt before processing the wire above the threshold; below it, the bank may wire on the strength of the 完税证明 and the service contract without a separate recordal. [69]

For recurring smaller payments (e.g. monthly service fees), the tax recordal may be filed periodically rather than per-transaction.

15.6 The "I have a lot of small overseas customers" case

A consultant or small trader with many small overseas customers accumulates many small wires. The cumulative documentation burden is high.

Practical approaches:

- Aggregate invoicing. Issue one monthly invoice to each client; receive one monthly wire.
- Payment-processor aggregation. Use a payment processor (PayPal, Payoneer, PingPong, WorldFirst, etc.) that aggregates small receipts and pays you in batches. Be careful: some of these processors do not have full SAFE coverage for receiving; the reader should use a mainland-licensed processor or a SAFE-approved cross-border payment institution.

For many readers, the right payment processor is more important than the right bank.

15.7 Cross-border e-commerce: the special channels

The mainland has specific channels for cross-border e-commerce that simplify the FX side:

- Cross-border e-commerce comprehensive pilot zones. Specific cities (Shenzhen, Guangzhou, Hangzhou, Shanghai, etc.) with streamlined customs and FX procedures for e-commerce.
- Pilot payment institutions. SAFE-licensed payment institutions (支付宝, 微信支付, 连连支付, PingPong, etc.) that handle cross-border e-commerce settlement under specific SAFE rules.
- Market-purchase trade (市场采购贸易). For small commodity exporters in designated markets.

A reader who is engaged in cross-border e-commerce should check whether their operation qualifies for any of these channels.

15.8 The freelancer's tax dilemma

A mainland freelancer who earns overseas income without IIT compliance has a documentation problem at the bank. The bank's documentation matrix requires IIT records. The freelancer who has not filed or paid has two options:

- Catch up. File the missing IIT returns, pay the tax and any penalties, obtain the records. This

can be expensive (penalties + interest) but clears the documentation.

- Use the emigration-transfer route. If the freelancer is emigrating, the catch-up can be combined with the SAFE emigration-transfer application.

The freelance reader who has been compliant throughout has no problem; the wire is straightforward.

15.9 The small-business owner who is also an employee

Some readers run a small business and are also employed by another entity (e.g. a part-time employee with a separate consulting business). The SAFE treatment is per-source:

- Salary from the employer: current-account, documented with the standard pack (Chapter 10).
- Business income from the consulting work: current-account, documented with the service-trade pack.

The two sources should not be commingled in a single wire application; each requires its own documentation.

15.10 The individual industrial and commercial household's bank relationship

Many 个体工商户 have business bank accounts (对公账户 or basic individual accounts with business capabilities). The bank may process trade-related wires more smoothly for known 个体工商户 customers than for ad-hoc freelancers.

The 个体工商户's bank account should be opened with the full business documentation (business licence, ID, business scope, etc.); the bank will then have a matrix for processing trade-related wires.

15.11 Worked example: a freelance translator with overseas clients

The reader. A 40-year-old mainland resident, full-time freelance translator. No 个体工商户 registration. Annual overseas income: USD 40,000 from three overseas clients. IIT filed quarterly + annually; tax paid.

Wire pattern. Monthly wires of USD 3,300 from each client (some monthly, some quarterly). Total wires: ~12 per year.

Documentation pack (per wire).

- ID card.
- Service contract(s) (consolidated or per-client).
- Invoice(s) issued.
- IIT payment record (cumulative for the year or for the quarter).
- The client bank details.

Documentation burden. The reader should assemble a quarterly pack (service contracts, invoices, IIT record, bank statements showing the receipts). The bank's matrix can then process each wire against the quarterly pack.

Wire details. Currency USD (most common for translation clients). Charge code OUR for larger wires. Intermediary fees absorbed via OUR.

15.12 Worked example: a small e-commerce seller on Amazon

The reader. A 30-year-old mainland resident. Sells consumer electronics on Amazon US. Annual export revenue: USD 200,000. Registered as 个体工商户. Pays IIT via simplified assessment.

Wire pattern. Amazon deposits USD into a mainland account via a payment processor (e.g. PingPong). Each receipt is logged; the reader accumulates a balance and wires quarterly to a personal FX account.

Documentation pack.

- 个体工商户 business licence.
- Amazon seller account records.
- Payment processor statements.
- Customs declarations (for shipments above threshold).
- IIT payment record.
- For wires above USD 50,000: tax recordal filing.

Wire details. Multiple smaller wires (under USD 50,000 each) to avoid tax recordal per wire. Quarterly aggregation. Currency USD.

15.13 The bookkeeper / accountant relationship

For an 个体工商户 or freelancer with overseas income, a bookkeeper familiar with cross-border trade is essentially required. The bookkeeper's role:

- Issuing fapiao for the income.
- Filing IIT returns.
- Maintaining documentation of foreign-currency receipts.
- Preparing the tax recordal filings.
- Liaising with the bank.

The cost of a bookkeeper (RMB 1,000–3,000/month) is small relative to the documentation headaches it prevents.

15.14 The "I want to scale up" transition

A reader who is doing well as a freelancer or 个体工商户 may want to transition to a formal company (有限责任公司 or WFOE). The transition has implications for:

- Bank account structure (separate personal and business accounts).
- Cross-border wire process (corporate route becomes available; see Chapter 16).
- Tax structure (CIT instead of IIT for the business; IIT for salary as an employee/director).

The reader who is approaching this transition should engage a corporate-services firm.

15.15 Checklist

- ☐ I have identified my form (个体工商户, freelancer, small trader, etc.).
- ☐ I have an IIT record that covers my income.
- ☐ I have a documentation pack ready for each wire (service contract, invoice, fapiao, IIT record).
- ☐ For amounts above USD 50,000: I have completed the tax recordal filing.
- ☐ I am using a SAFE-licensed payment processor if I am aggregating receipts.
- ☐ I have a bookkeeper or accountant familiar with cross-border trade.

Next: Chapter 16 — Companies: dividends, service fees, royalties, capital.

Chapter 16 — Companies: dividends, service fees, royalties, capital

What this chapter is for: for a foreign-invested enterprise (FIE) or a Chinese company with offshore parents, the cross-border wires are corporate, not personal. The rules are different: corporate income tax (CIT), withholding tax (WHT), SAFE registration, statutory audit, and the bank's higher documentation threshold. This chapter walks through the main corporate routes.

16.1 The four corporate routes

For a Chinese company sending money abroad, the routes are dividend repatriation to a foreign shareholder (the most common route for FIEs), service fees and royalties to an offshore affiliated entity (common for multinational groups), intercompany loans (境内机构境外放款) from a Chinese entity to an offshore parent or affiliate, and capital reduction or equity repatriation for an FIE returning capital to its foreign investor (less common; specific procedures apply). Each route has its own documentation requirements and tax consequences. [39][40][42]

16.2 The four sequential compliance gates

For any of these corporate routes, the company passes through four compliance gates in sequence: statutory audit and tax settlement (annual audit, CIT settlement, IIT settlement for any salary payments, and the annual CIT return filed with the tax bureau); tax clearance for the specific transaction (withholding tax where applicable; tax recordal filing for service fees and similar above-threshold payments); SAFE registration and filing (for capital-account items, SAFE registration is required, e.g. the basic information registration of an FIE, the dividend remittance filing); and bank FX purchase and wire (the bank processes the wire after the prior gates are cleared). [39][41][42]

16.3 Dividend repatriation — the typical FIE flow

For a foreign-invested enterprise (FIE) — wholly foreign-owned (WFOE), equity joint venture (EJV), or cooperative joint venture (CJV) — the typical dividend flow is: [39][40][42]

1. The FIE has been operating for at least one year and has completed its annual audit. The audit confirms the after-tax profit available for distribution. 2. The board (or shareholder meeting) approves the dividend distribution. A board resolution is required; for joint ventures, the equity percentages determine the dividend split. 3. The FIE prepares the dividend documentation:

- Board resolution.
- Audited financial statements.
- CIT payment record (showing the CIT has been paid on the profit).

- Statutory reserve allocation (10% of after-tax profit until reserves reach 50% of registered capital; required for some entity types).
- The dividend calculation worksheet.

4. The FIE withholds the dividend WHT. Default WHT rate: 10%. Treaty rate: 5% or 0% depending on the parent company's status and the treaty. [40] 5. The FIE files the dividend remittance with SAFE (where required). Most routine dividend remittances by FIEs are processed by the bank under the bank's SAFE-granted authority; SAFE-branch review is for larger or unusual amounts. 6. The FIE instructs the bank to wire the dividend. The bank purchases FX (RMB → USD or other currency) and wires to the offshore parent's account. The dividend remittance is above-quota and does not consume any personal facilitation quota.

16.4 The dividend withholding tax

The default dividend WHT is 10% under mainland China's domestic law (Article 25 of the CIT Law; the Implementing Regulations). [40]

Reductions are available under bilateral tax treaties (DTA) when the parent company qualifies as the beneficial owner and meets the treaty's ownership threshold (often 25% direct ownership). [40]

Common treaty rates (as of late 2025 / early 2026, to be verified against the current SAT list): [40]

- 5% — most treaties where the parent holds the qualifying stake (e.g. Australia, Canada, France, Germany, Japan, Korea, Singapore, UK, US, etc., subject to specific conditions).
- 0% — rare; specific cases in some treaties.
- 10% — default.

To claim the reduced rate, the foreign parent must obtain a tax residency certificate from its home-country tax authority and complete the SAT's Certificate of Residence for DTA purposes. The certificate is then provided to the FIE's bank via the FIE.

The FIE's failure to withhold the correct WHT, or failure to obtain the Certificate of Residence in time, results in over- or under-withholding and may trigger penalties.

16.5 Beneficial owner status

To claim a reduced treaty rate, the parent company must be the beneficial owner (实际受益人 / 受益所有人) of the dividend. SAT scrutiny focuses on whether the parent has the substantive business activity to qualify. Pure holding companies with no employees, no office, and no business operations may be denied beneficial-owner status. [40]

The reader who is using a holding-company structure should engage a tax advisor to confirm beneficial-owner status before applying the treaty rate.

16.6 The reinvestment tax credit (2025)

Since 1 January 2025, foreign investors reinvesting qualifying China-sourced profits domestically (in encouraged industries) can claim a tax credit against future dividend WHT. The credit equals 10% of the reinvested amount (or the applicable treaty rate if lower), available for dividends distributed between 1 January 2025 and 31 December 2028. [39][41]

The credit replaces (or supplements) the prior deferral-only regime. Unused credit carries forward; can be combined with deferral; offsets WHT on future income from the same Chinese subsidiary.

This is a meaningful upgrade. The reader considering reinvestment should engage a tax advisor to optimise.

16.7 Service fees and royalties

For a Chinese company paying service fees or royalties to an offshore affiliate:

1. A service agreement / royalty agreement must be in place, signed by both parties. 2. The agreement must reflect arm's-length pricing. If the offshore affiliate is in a low-tax jurisdiction or the pricing is inflated, the tax bureau may adjust. 3. Withholding CIT applies at the default 10% rate (or treaty rate). Royalty WHT often reduces to 7% or lower under treaties. 4. Tax recordal filing is required for amounts above USD 50,000 (or USD 30,000 for certain categories). [69][70][71] 5. The bank processes the wire under documented above-quota service-trade rules.

The tax recordal filing under SAFE/SAT Announcement No. 40 (effective 1 September 2024) streamlined the process; for amounts below the threshold, no recordal is needed. For amounts above, the recordal is filed and the bank uses the recordal receipt. [69][70]

A common pitfall: the agreement lacks an arm's-length-pricing analysis or has vague service descriptions. The bank or tax bureau may refuse or adjust.

16.8 Intercompany loans

A Chinese company lending to its offshore parent or affiliate (境内机构境外放款) is subject to:

- SAFE registration of the loan.
- Loan limit. Typically capped at 30% of the Chinese company's equity (as shown in the latest report); higher amounts may be considered under the macro-prudential framework.
- Interest rate must reflect arm's-length pricing (above 0%; typical commercial rates).
- Loan term typically expected to be within 5 years (some flexibility exists).
- WHT on interest. 10% default; treaty rate often reduces to 7% or lower.

The SAFE registration is filed with the SAFE branch; the loan agreement and supporting documents are required.

16.9 Capital reduction and equity repatriation

For an FIE returning capital to its foreign investor:

- Capital reduction. The investor's registered capital is reduced; the FIE wires the reduction amount to the investor. Subject to MOFCOM, SAMR (State Administration for Market Regulation), and SAFE procedures.
- Equity transfer proceeds. An FIE shareholder selling equity to another party receives the proceeds; if the buyer is offshore, the wire is outbound and is subject to CIT settlement and WHT.
- Liquidation proceeds. When an FIE is being wound down, the remaining equity is distributed; the wire is subject to full tax settlement.

Each of these is a multi-month, multi-agency process. The reader should engage a corporate-services firm.

16.10 The bank's documentation matrix for corporate wires

The bank's documentation matrix for corporate wires is more elaborate than for personal wires. Typical pack: [42][39]

- Board resolution authorising the wire.
- Capital verification (registered capital has been injected).
- Annual audit report.
- CIT payment record.
- WHT payment record (where applicable).
- Tax recordal filing (where applicable).
- Service agreement / royalty agreement (where applicable).
- The recipient bank details.

The bank also runs its own checks: sanctions screening; counterparty risk; the wire's purpose code.

16.11 The cross-border cash pooling

A multinational corporation with multiple Chinese entities can apply for cross-border cash pooling (跨国公司跨境资金集中运营), allowing centralised liquidity management. The pilot programme has been progressively expanded since 2019. SAFE/PBOC released an optimised version in December 2024. [57]

The cash pooling allows:

- Foreign-currency cash pooling among the multinational's Chinese entities.
- Cross-currency lending among Chinese entities for current-account cross-border payments.
- Streamlined FX receipts and payments.

The corporate reader considering cash pooling should engage a corporate-services firm with SAFE experience.

16.12 What can go wrong with corporate wires

- Insufficient profit allocation to statutory reserves. Some entity types require 10% allocation to reserves until reserves reach 50% of registered capital. Failure to allocate restricts the dividend.
- Outstanding tax liabilities. The tax bureau may block a wire if the company has unpaid taxes.
- Losses carried forward. After-tax profit must first be applied to prior-year losses before being available for distribution.
- Currency mismatch. The wire in USD requires FX purchase; the FX may not be available at the bank's posted rate the day the company wants.
- Bank's documentation matrix. Different banks have different documentation requirements; the wire may be delayed while the bank requests additional documentation.

16.13 Worked example: an FIE dividend remittance

The entity. A WFOE in Suzhou, owned by a Singapore parent. 2025 after-tax profit: RMB 12,000,000. Statutory reserve allocation: 10% of after-tax profit = RMB 1,200,000 (capped at 50% of registered capital; assume not yet reached). Distributable profit: RMB 10,800,000.

Treaty rate. China-Singapore DTA provides 5% WHT on dividends when the parent holds at least 25% of the Chinese subsidiary directly. The Singapore parent qualifies.

Procedure.

1. Board resolution authorising the dividend distribution. 2. Statutory reserve allocation. 3. WHT calculation: 5% of RMB 10,800,000 = RMB 540,000. 4. WHT payment to the tax bureau. 5. Obtain the WHT payment record. 6. Obtain a tax residency certificate from the Singapore tax authority (IRAS) for the parent. 7. Tax recordal filing with the local tax bureau (the wire is above USD 50,000). 8. Bank processes the wire: RMB 10,800,000 → SGD (or USD, depending on parent preference), wires to the parent's Singapore account. 9. Net amount received by parent: RMB 10,260,000 equivalent in SGD/USD.

Timing. No single timetable applies across tax authorities, treaty-benefit review and banks. The company should obtain current written estimates from its tax adviser, competent tax authority and handling bank before setting a payment date.[39][71]

16.14 Worked example: a royalty payment

The entity. A Chinese company paying royalties to its US parent for use of a trademark.

Annual royalty. USD 500,000.

Treaty rate. China-US DTA: 10% WHT on royalties (treaty does not reduce).

Procedure.

1. Royalty agreement in place (signed, registered with the relevant authority if required). 2. Arm's-length-pricing analysis (the royalty rate must be commercially reasonable). 3. WHT calculation: 10% of USD 500,000 = USD 50,000. 4. WHT payment. 5. Tax recordal filing. 6. Bank wires USD 500,000 to the US parent; WHT of USD 50,000 is withheld and paid to the tax bureau.

16.15 Checklist

- ☐ I have identified the corporate route (dividend, service fee, royalty, intercompany loan, capital reduction).
- ☐ I have completed the statutory audit and tax settlement.
- ☐ I have the board resolution and supporting documentation.
- ☐ I have calculated and withheld the WHT.
- ☐ I have the tax residency certificate for treaty-rate claims.
- ☐ For amounts above USD 50,000: I have completed the tax recordal filing.
- ☐ I have the bank's documentation matrix pack.

Next: Chapter 17 — Outbound direct investment (ODI) by individuals and companies.

Chapter 17 — Outbound direct investment: companies, resident individuals and Circular 37

What this chapter is for: outbound investment is a capital-account matter. This chapter separates the established enterprise ODI framework from the narrower, fact-specific Circular 37 SPV registration and explains the new framework effective 1 July 2026.

17.1 The starting point

Direct investment means acquiring ownership, control, management or related rights in an overseas enterprise or asset. Portfolio investment means buying securities without that control. Neither becomes an ordinary personal current-account remittance merely because the amount is below USD 50,000.[7][84]

Mainland retail investors ordinarily use regulated channels such as QDII products rather than wiring personal facilitation-quota FX to an overseas company or brokerage.[7]

17.2 State Council Order No. 837

The State Council's Provisions on Outbound Investment (国务院关于对外投资的规定), Order No. 837, took effect on 1 July 2026.[84]

The official NDRC-hosted Q&A says the regulatory definition of “investor” includes mainland enterprises, other organisations and resident individuals. The Provisions also require any legally applicable approval/recordal, information-reporting and cross-border-funds registration procedures to be completed truthfully.[84][85]

That inclusion must not be read as a new personal remittance licence. Article 33 expressly says that specific management measures for outbound investment by mainland resident individuals and others are to be formulated by the State Council's investment and commerce authorities.[84] As of this book's research cutoff, 9 August 2026, the cited official materials do not supply a generally available implementing route allowing a resident individual to purchase FX and remit capital for an ordinary overseas company, property or securities investment.

Article 14 also preserves the operation of separate rules for currency exchange, cross-border services, tax, data, export control and other regulated matters. One filing therefore does not prove compliance with every competent authority's requirements.[84]

17.3 Enterprise ODI remains a coordinated regulatory process

A mainland enterprise contemplating ODI must determine which current NDRC and commerce approval or recordal rules apply, then complete the cross-border-funds registration and bank procedures required for the specific project. [84][85]

Order No. 837 requires applicable procedures and truthful materials but does not reduce

every project to one universal sequence. Competent level, ordering, sensitivity classification, documents and bank execution depend on the investor, destination, sector, amount, transaction form and current implementing rules. [84]

A prudent enterprise workplan is:

1. obtain PRC counsel's written classification of the investment and sensitive-sector/destination issues; 2. identify the NDRC and commerce procedures and competent filing level that apply on the application date; 3. reconcile investor identity, ownership, amount, destination, funding source and transaction documents across every filing; 4. complete the applicable cross-border-funds registration and bank authenticity review before remittance; and 5. maintain information reporting, change filings and post-investment compliance required for the project. [84][85]

Do not rely on a single fixed "MOFCOM, then NDRC, then SAFE" timeline; obtain current procedure-specific estimates from the competent authorities and the handling bank.

17.4 What Circular 37 actually covers

SAFE Circular 37 (汇发〔2014〕37号) concerns overseas investment and financing, and round-trip investment, by domestic residents through special-purpose vehicles. It defines an SPV as an overseas enterprise directly established or indirectly controlled by a domestic resident for investment or financing using legally held assets or equity in domestic enterprises, or legally held overseas assets or equity.[86]

It is therefore not a general invitation to create any offshore company and fund any overseas investment. Its definitions, the assets or equity contributed, the investment/financing purpose and any round-trip structure matter.[86]

Before contributing eligible assets or equity to the SPV, the resident applies for the Circular 37 FX registration and supplies the prescribed identity, SPV, control, corporate-decision and asset/equity evidence; SAFE may request further authenticity evidence.[86] Changes in shareholders, capital or other important matters require change registration.[86]

Most importantly, Circular 37 itself says that SPV registration does not prove that the investment or financing complies with the requirements of the relevant industry authorities.[86] Order No. 837 likewise preserves other approval, recordal, funds, tax, data and sectoral regimes.[84]

Circular 37 also penalises false or constructed transactions, failure to register or disclose, false commitments and non-compliant cross-border reporting.[86]

17.5 No do-it-yourself personal-SPV playbook

This book deliberately does not provide a sequence such as “incorporate in Cayman, register, inject savings, then invest.” That sequence could be mistaken for a broadly available remittance channel and omits threshold legal questions:

- Does the structure fit Circular 37's SPV definition and asset/equity basis?[86]

- What resident-individual measures apply under Article 33 of Order No. 837 when action is proposed?[84]
- Which NDRC, commerce, SAFE/bank, sector, tax, data and destination-country requirements apply?[84]
- Is any proposed personal FX purchase or remittance actually authorised under a current capital-account rule?[7][84]

A resident individual considering an offshore holding, financing, employee-equity or round-trip structure should obtain specialist PRC foreign-exchange and outbound-investment advice before incorporation, contribution, contractual commitment or remittance. A bank's willingness to open an account, an offshore incorporation certificate or a Circular 37 registration cannot be treated as a complete legal clearance.[84][86]

17.6 Source of funds is necessary but not sufficient

Lawful, taxed funds and truthful evidence are essential. They do not create an investment channel by themselves. The transaction still needs a substantive legal basis and all applicable registrations or approvals.[7][84]

Never relabel an investment as travel, family support, consulting or another current-account purpose. Never use several people's quotas, false invoices or constructed transactions to fund an SPV.[7][86]

17.7 Decision checklist

- ☐ I have classified the transaction as enterprise ODI, portfolio investment, employee equity, a Circular 37 fact pattern or another category.
- ☐ I have read Order No. 837, effective 1 July 2026, and checked whether resident-individual implementing measures have since been issued.[84]
- ☐ I understand that Order No. 837 does not itself create a general personal ODI/remittance channel.[84]
- ☐ If Circular 37 may apply, specialist PRC counsel has confirmed the SPV definition, asset/equity basis and registration consequences.[86]
- ☐ I understand that Circular 37 registration does not prove compliance with other authorities.[86]
- ☐ I will not commit or remit until all applicable NDRC, commerce, FX/bank, tax, sector, data and destination requirements have been mapped.[84][85]
- ☐ I will not use the personal facilitation quota or a false current-account purpose to fund an overseas investment.[7]

Next: Chapter 18 — QDII, Hong Kong Stock Connect, and other indirect outbound-investment channels.

Chapter 18 — QDII, Hong Kong Stock Connect, and other "indirect" outbound investment channels

What this chapter is for: most mainland residents cannot directly buy overseas stocks or bonds. The regulated retail channels — QDII funds, Stock Connect Southbound, Bond Connect, and a handful of others — provide lawful access to overseas markets. This chapter explains how each works and who can use it.

18.1 The QDII programme

QDII (Qualified Domestic Institutional Investor, 合格境内机构投资者) is the programme under which approved Chinese financial institutions (banks, fund managers, securities firms, insurance companies) can invest in offshore securities within SAFE-granted quotas. [23][24][25]

The mechanics:

- SAFE grants quotas to approved institutions. The quotas have been progressively increased. By end-March 2026, total approved QDII quotas exceeded USD 176 billion. [28]
- The institutions issue QDII products to retail and institutional investors — QDII funds, QDII bank wealth-management products, QDII insurance products.
- The retail investor subscribes to the QDII product in RMB.
- The QDII product invests abroad in foreign currency (USD, HKD, EUR, etc.).
- The retail investor holds the product in RMB; the product's foreign-currency exposure is reflected in the product's NAV.
- Redemption is in RMB (or in the original subscription currency).

The retail investor never directly wires money abroad. The QDII product does the FX purchase and the overseas investment. The retail investor's quota is not consumed.

18.2 What QDII products exist

- QDII public mutual funds. Issued by mainland fund managers. Invest in overseas stocks, bonds, REITs, commodities. Many funds target specific themes (global tech, global healthcare, global bonds).
- QDII bank wealth-management products. Issued by mainland banks. Similar underlying exposures.
- QDII insurance products. Less common; offered by some mainland insurers.
- QDII private funds. For qualified investors (high-net-worth); access to less common strategies.

The retail investor's experience is the same as investing in any mainland mutual fund: subscribe, hold, redeem. The difference is the underlying assets.

18.3 QDII limitations

- Investment scope. Restricted to specified overseas securities within the SAFE-granted mandate. Some QDII products can invest broadly; others are restricted.
- Quota availability. Even though total quota is large, individual product subscriptions can be rationed during periods of high demand (e.g. 2025 saw purchase limits on many QDII funds). [27]
- Currency hedging. Some QDII products hedge RMB/FX risk; others don't. The retail investor should understand the FX exposure.
- Tax. Gains may be taxable under mainland rules; the QDII product typically withholds any applicable tax.

18.4 QDII product selection

A retail investor considering a QDII product should:

- Read the product prospectus.
- Understand the investment mandate and restrictions.
- Compare fees (subscription fee, management fee, custody fee, redemption fee).
- Understand the currency exposure.
- Consider the tax treatment.

A financial advisor can help; some banks offer QDII wealth-management products to retail customers directly.

18.5 Hong Kong Stock Connect (Southbound)

Hong Kong Stock Connect (沪港通 / 深港通) is the cross-boundary trading link that allows mainland investors to buy selected HK-listed stocks ("Southbound trading") and HK/international investors to buy selected A-shares ("Northbound trading"). [26]

Southbound trading allows a mainland investor to:

- Open a HK Stock Connect account at a mainland brokerage.
- Buy specified HK stocks (those eligible under Stock Connect; typically large-cap HKEX-listed companies).
- Hold the stocks in the Stock Connect account.
- Sell and receive proceeds in RMB (converted from HKD).

The mainland investor's FX exposure is implicit: the investor buys with RMB, the system converts to HKD to buy the HK stock, and on sale converts back to RMB.

18.6 Stock Connect limitations

- Eligible stocks. Not all HK stocks are eligible; the list is maintained by HKEX and the mainland exchanges.
- Daily quota. Southbound trading has a daily quota per stock. If the quota is exhausted, trading in that stock is suspended for the day.
- Settlement. T+2 settlement (similar to A-share settlement).
- Currency. Transactions are nominally in HKD but settled in RMB (the system handles the FX).
- Tax. Dividends may be subject to HK withholding tax; capital gains on HK stocks via Stock Connect are currently exempt from mainland IIT under the Stock Connect tax policy (but the policy is periodically reviewed; the reader should check current rules).

18.7 Bond Connect (Southbound)

Bond Connect (債券通) is the cross-boundary bond-trading link. Southbound trading allows qualified mainland institutional investors to access HK bond market.

Retail investors generally do not have direct Bond Connect access. Institutional investors (banks, insurers, fund managers) do.

For most retail readers, Bond Connect is not directly accessible. The reader who wants RMB-denominated overseas bond exposure can do so via QDII bond funds.

18.8 Other regulated channels

A few additional retail-access channels:

- QDLP (Qualified Domestic Limited Partner). A pilot programme in selected cities (Shanghai, Beijing, Shenzhen, etc.) allowing qualified investors to invest in overseas private-equity funds.
- QDIE (Qualified Domestic Investment Enterprise). A similar pilot in Shenzhen and other cities.
- 跨境理财通 (Cross-boundary Wealth Management Connect). A pilot allowing residents of the Greater Bay Area (Guangdong, HK, Macao) to invest in wealth-management products across the boundary.

These pilots are geographically restricted and have investor-eligibility thresholds. Most retail readers do not qualify.

18.9 What about direct stock trading via an overseas broker?

Some mainland readers use overseas brokers (Interactive Brokers, Futu, Tiger Brokers, etc.) to trade overseas stocks. The legal position:

- The broker opens an overseas brokerage account in the reader's name.
- The reader funds the account with a wire from a mainland bank.
- The wire is for the purpose of "overseas securities investment."

This is not a permitted use of the personal facilitation quota. The reader who wires to an

overseas brokerage account using a false purpose (e.g. "travel") or even a truthful purpose (e.g. "investment") is in violation of SAFE's rules. [9][13]

Recent SAFE bulletins have specifically mentioned this kind of activity. The bank may refuse the wire; if the wire is processed, the reader's SAFE monitoring record reflects a securities-investment purchase, which is a violation.

The regulated routes (QDII, Stock Connect) are the lawful way to access overseas securities.

18.10 What about crypto for investment?

Cryptocurrency is illegal in mainland China. PBOC reaffirmed the ban in November 2025 and has consistently flagged stablecoin risks because they fail to meet customer-identification and AML requirements. Mainland residents cannot use crypto as a vehicle for overseas investment; even if a mainland resident could purchase crypto offshore, the inbound or outbound wire would be subject to SAFE's rules, and the bank would refuse the wire if it identified it as crypto-related. [29]

This is covered in detail in Chapter 21.

18.11 What about gold?

Mainland residents can buy and sell gold via:

- Shanghai Gold Exchange (上海黄金交易所).
- Bank gold products.
- Physical gold (jewellery, bars, coins).

For overseas gold investment (e.g. buying gold stored in London or Zurich), the SAFE framework treats this as a capital-account transaction. The personal facilitation quota does not authorise it. The lawful route for overseas gold exposure is via QDII products that invest in gold-related assets.

18.12 Real-estate investment abroad

Direct purchase of overseas real estate by a mainland individual is not a permitted use of the personal facilitation quota. [9][13]

The regulated route:

- QDII REITs. Some QDII products invest in overseas REITs (US REITs, Singapore REITs, etc.).
- Stock Connect REITs. Some HK-listed REITs are eligible under Stock Connect Southbound.

A mainland individual who wants overseas real estate exposure should consider:

- Buying HK REITs through Stock Connect Southbound (regulated).
- Buying global REIT QDII funds (regulated).
- Buying a property directly (not regulated; the personal facilitation quota does not authorise it;

using a corporate ODI requires a substantive overseas operation).

18.13 Insurance-based overseas investment

The discussion in Chapter 14 applies here. Direct purchase of investment-linked life insurance abroad is not permitted under the personal facilitation quota. [9][13][74]

The regulated route: some QDII products include insurance-related underlying assets.

18.14 A portfolio approach for the retail investor

A mainland retail investor building overseas exposure should consider:

- Stock Connect Southbound for HK-listed stocks (no quota; subject to daily per-stock limits).
- QDII funds for global stocks, bonds, REITs.
- Bank QDII wealth-management products for additional diversification.
- Domestic funds with overseas exposure (some mainland funds invest in HK via Stock Connect or in global markets via QDII).

Each of these routes is RMB-denominated; the FX conversion happens inside the product. The investor's personal facilitation quota is not consumed.

18.15 The practical experience

The mainland retail investor's experience in 2026:

- Open a brokerage account at a mainland broker (or use a bank wealth-management platform).
- Apply for Stock Connect Southbound trading (most brokers offer it).
- Subscribe to QDII funds through the bank's wealth-management app or the fund manager's platform.
- Build a diversified portfolio across these channels.

The complexity is comparable to investing in any diversified global portfolio. The constraint is the eligible product universe, not the operational difficulty.

18.16 Checklist

- [] I want overseas investment exposure.
- [] I have considered QDII funds and Stock Connect Southbound.
- [] I am not using the personal facilitation quota to wire funds to an overseas brokerage.
- [] I have read the product prospectus for any QDII product I am considering.
- [] I understand the FX exposure and hedging characteristics.
- [] I have considered the tax treatment.

Next: Chapter 19 — Anti-money-laundering rules you will actually meet.

Chapter 19 — Anti-money-laundering rules you will actually meet

What this chapter is for: the SAFE rules determine what the bank may do; the AML rules determine what the bank must do. Both layers apply to every cross-border wire. This chapter explains the AML rules the reader will actually meet, what triggers enhanced scrutiny, and how to make the bank's process easier.

19.1 The legal basis

Three layers of AML law apply to cross-border wires from mainland China: the PBOC AML Law (反洗钱法, effective 1 January 2025) which establishes the framework, broadens scope and raises penalties [19]; the PBOC/NFRA/CSRC joint Customer Due Diligence and Customer Identity Materials and Transaction Recordkeeping Management Measures (《金融机构客户尽职调查和客户身份资料及交易记录保存管理办法》, effective 1 January 2026) which set the cross-border wire threshold and the bank's verification step [83]; and SAFE's individual monitoring system which tracks individual FX activity across banks and is a separate but overlapping layer.

The SAFE rules and the AML rules overlap but are not identical. SAFE is concerned with FX; PBOC is concerned with AML; the bank is the front-line gatekeeper for both.

19.2 The CDD threshold for cross-border wires

Effective 1 January 2026, the joint CDD measures require financial institutions to verify remitter identity for: [83]

- Any single cross-border wire of RMB 5,000 or above.
- Any single cross-border wire of foreign-currency equivalent USD 1,000 or above.

The verification includes:

- Identity document (ID card, passport, etc.).
- Purpose of the wire.
- Source of funds.
- Beneficiary details.

The verification is procedural; the bank captures and checks the information. It does not change the substantive rules (e.g. the USD 50,000 facilitation quota is unchanged). The bank must verify but does not refuse merely because the threshold is exceeded.

For mobile-app wires, the verification happens as part of the app flow. For counter wires, the bank asks for additional documentation. For payment-institution wires (Alipay, WeChat Pay), the platform's CDD must be aligned.

19.3 The enhanced CDD thresholds

Above the basic CDD threshold, certain transactions trigger enhanced due diligence (EDD): higher-value transactions (typical thresholds: USD 50,000 in a single wire; USD 200,000 cumulative in a month; varying by bank), transactions involving high-risk jurisdictions, transactions involving politically exposed persons (PEPs), transactions with unusual patterns (splitting, multiple accounts, etc.) and transactions involving sanctioned entities or jurisdictions. [83]

For a routine small wire from a salary-paying employee to a child's overseas account, EDD is not typically triggered. For a larger, more complex transaction, EDD may be required.

19.4 Source of funds vs. source of wealth

The bank distinguishes source of funds (where the money for this transaction came from: salary, sale proceeds, dividend, etc.) from source of wealth (the underlying wealth that produced the funds: employment, business ownership, inheritance, etc.). For a small current-account transaction, source of funds is usually sufficient (for example, "monthly salary deposit"); for a large capital-account transaction (property sale, inheritance, ODI), the bank may want source-of-wealth evidence (for example, "the property was purchased in 2010 with savings from 2005–2010; supporting documents attached"). [7]

19.5 The bank's monitoring technology

Mainland banks use multi-layer monitoring:

- Rule-based. Pattern-matching against known indicators (splitting, round-number amounts, multiple accounts into one beneficiary, etc.).
- Statistical. Models that score each transaction against the customer's historical behaviour.
- List-based. Sanctions screening; PEP screening; adverse-media screening.

A reader who has a long, clean compliance history will find the bank's process smooth. A reader with a recent history of unusual transactions may find enhanced scrutiny.

19.6 What the bank will ask for

For a typical cross-border wire, the bank asks for ID card or passport, purpose code (selected from the bank's published list), beneficiary details (name, address, account, SWIFT/BIC), additional verification above the CDD threshold (RMB 5,000 / USD 1,000 per single wire under the 1 January 2026 measures), supporting documents for documented above-quota transactions, and enhanced due diligence for large or unusual transactions. [83]

19.7 What the bank will not ask for

The bank will not ask for the recipient's passport (usually), the recipient's source of wealth (usually; the recipient's bank handles that) or the recipient's tax records (the destination's tax authority handles that). The bank is concerned with the outbound side; the inbound side is the recipient bank's concern. [62][64]

19.8 PEP and sanctions screening

The bank screens all customers (at onboarding and continuously) against mainland and foreign PEP lists (including PBOC's National Government Officials database and publicly available foreign PEP lists), UN Security Council / OFAC SDN / EU consolidated / UK HMT consolidated / HKMA / MOFCOM Unreliable Entity List sanctions lists, adverse-media lists and domestic watchlists (SAFE's 关注名单, PBOC's AML blacklist and court enforcement lists). [33][64]

A reader who has a name similar to a sanctioned person will be asked for additional identifying details (DOB, address). The reader who is actually a sanctioned person cannot transact.

19.9 The 1 January 2025 PBOC AML Law — what's new

The revised PBOC AML Law (effective 1 January 2025) expanded the AML framework:

- Broader scope. Covers more types of financial institutions and more types of activities.
- Higher penalties. Both for individuals and for institutions.
- Stronger CDD requirements. Aligned with the 2026 CDD measures.
- Better coordination. PBOC, NFRA, CSRC, SAFE share more information.

For the retail reader, the practical impact is more thorough information requests at the bank, not a fundamental change in what the reader may do.

19.10 What readers can do to make the AML process easier

- Maintain a single banking relationship. Multiple banks mean the SAFE monitoring system sees the reader's total activity across banks; multiple banks can also mean inconsistent documentation.
- Keep documentation organised. Salary slips, IIT records, sale contracts, tuition invoices — all in one place.
- Build a history. A reader who has been on the books for years will find cross-border wires easier than a reader with a recent change in status.
- Avoid patterns that trigger scrutiny. Splitting transactions; routing through multiple accounts; sudden changes in transaction size or destination.
- Declare the truth. False declarations are the single most common AML violation; they also trigger SAFE's 关注名单. [33]

19.11 What to do if the bank refuses the wire

The bank may refuse a wire for many reasons. The reader's response:

- Ask for the specific reason (the bank should be able to articulate it).
- Provide additional documentation if requested.
- Consider whether the transaction is actually lawful (if the bank is right, the reader should not push).
- Escalate to the branch manager or the bank's compliance contact.
- File a complaint with NFRA (the bank supervisor) if the bank is unresponsive.

The reader who is in a genuine dispute with the bank has formal channels; the reader who is trying to evade rules does not.

19.12 The relationship between AML and destination-side compliance

The destination-side bank applies its own AML rules. A wire that the mainland bank processes may still be held by the destination bank under its own framework; the two are independent layers of compliance. [62][64]

19.13 The FinCEN advisory on Chinese money laundering networks

In 2024, FinCEN issued an advisory specifically about Chinese money laundering networks (CMLNs). The advisory notes that CMLNs process billions of dollars annually for Mexican drug cartels and other transnational criminal organisations, using methods such as trade-based laundering, cash smuggling, underground banking and crypto, and urges US financial institutions to apply enhanced scrutiny to transactions with Chinese-counterparty characteristics. [64]

19.14 The reader's discipline

For most readers, AML compliance is not a major burden:

- Provide truthful information.
- Maintain documentation.
- Avoid splitting.
- Don't accept false-purpose declarations.

These four disciplines keep the AML process smooth. The reader who does all four rarely encounters an AML problem.

19.15 Checklist

- [] I have read the AML disclosures on my bank's app.

- ☐ I have my ID and documentation ready for any cross-border wire.
 - ☐ I understand the RMB 5,000 / USD 1,000 CDD threshold from 1 January 2026.
 - ☐ I am not splitting transactions or providing false information.
 - ☐ I am not acting on behalf of another person for cross-border wires.
 - ☐ I have a single banking relationship (or a few) and keep documentation organised.
-

Next: Chapter 20 — Watchlist management: how SAFE tracks and what triggers the penalties.

Chapter 20 — Watchlist management: how SAFE tracks and what triggers the penalties

What this chapter is for: SAFE's Individual FX Business Monitoring System has been operating nationwide since 2016. [33] It tracks every purchase, sale, and remittance across all banks, against each mainland individual. The 关注名单 (monitoring list / watchlist) is the consequence layer. This chapter explains how the system works and what readers can do to stay off it.

20.1 The Individual FX Business Monitoring System

Since January 2016, SAFE has run a national system that aggregates individual FX activity across all banks. The system tracks every FX purchase, every FX sale (settlement), every cross-border remittance, the purpose code for each transaction, the bank, branch and date, and the individual ID. [33]

The system cross-references:

- Within-bank patterns (the same customer's history at one bank).
- Cross-bank patterns (the same customer's history across multiple banks).
- Counterparty patterns (the same beneficiary across multiple remitters).
- Aggregate patterns (multiple remitters into one beneficiary).

The system does not publicly disclose its specific triggers; SAFE branches publish periodic violation bulletins to convey the general patterns. [33][35]

20.2 What triggers scrutiny

The published SAFE violation cases illustrate the patterns that trigger scrutiny. Representative examples from the 2018 and 2019 bulletins: [33][35]

- Quoting false documentation. A reader presents inflated tuition invoices to justify a wire of an amount that exceeds the documented need.
- Splitting transactions. A reader wires USD 5,000 per day for 30 days to avoid triggering a threshold; the system detects the pattern.
- Quoting multiple individuals. A reader uses family members' quotas to send a larger amount; the system detects the pattern (multiple remitters, one beneficiary).
- False-purpose declarations. A reader declares the wire as "travel" but the wire goes to an overseas brokerage or property account; the bank's documentary check (or the monitoring system's pattern analysis) flags the mismatch.
- Underground banking participation. A reader uses an underground banker to convert RMB to USD abroad; the underground banker's patterns trigger the system.
- Repeated small transactions. A reader makes many small wires close in time; the aggregate pattern is flagged.

The system's accuracy is improving; in earlier years, false positives were more common. Today, the system is more selective.

20.3 The two stages of enforcement

The SAFE bulletin process is typically: [33]

1. First violation. Risk warning letter (风险提示函) from the bank. The reader is informed that the transaction or pattern has triggered scrutiny. The reader is given a chance to explain or correct. 2. Subsequent violations, or severe first violation. Placement on the 关注名单. SAFE notifies the bank; the bank implements the restrictions.

In practice, the first-warning-to-watchlist transition is not automatic; SAFE considers the specifics. A single minor irregularity may result only in a warning; a serious or repeated violation triggers the watchlist.

20.4 The watchlist consequences

Being placed on the 关注名单 has these consequences: loss of facilitation quota (the reader loses access to the USD 50,000 annual facilitation quota for the current year and the next two calendar years; documented above-quota transactions may still be possible at the bank's discretion), enhanced scrutiny on every subsequent transaction, entry in PBOC's credit reference system, and fines up to 30% of the illegal amount (or higher for serious violations). [33][35]

For a reader with routine remittance needs, being on the watchlist is materially inconvenient — they cannot buy FX for travel, family support, etc., within the quota.

20.5 The publication of violation cases

SAFE publishes periodic bulletins naming individuals and entities that have been penalised. The bulletins are public; the names, amounts, and violation types are disclosed. [33][34][35]

The purpose of the publication is deterrence; the data is real. A reader considering evasion should expect that if they are caught, their name may appear in a SAFE bulletin.

20.6 The PBOC credit reference system

PBOC runs the Credit Reference System (征信系统). Adverse information from SAFE (including watchlist placement) is reported to PBOC and reflected in the reader's credit record.

A reader with a watchlist record may find:

- Loan applications refused or delayed.
- Credit-card applications refused.
- Other financial services affected.

The record is retained for 5 years (per the rules as of 2015).

20.7 The interaction between SAFE watchlist and bank internal records

The bank's own internal risk rating is also affected by SAFE watchlist placement. A reader on the watchlist may find:

- The bank's customer service is more reserved.
- Future wires are processed more slowly.
- Some bank products are restricted.

This is not a formal SAFE rule; it is the bank's risk-management reaction. But it is consequential for the reader's banking experience.

20.8 What to do if you are placed on the watchlist

If the reader receives a SAFE risk warning or watchlist notification:

- Do not panic. Read the notification carefully.
- Identify which transaction triggered the warning.
- Provide any additional documentation that supports the transaction's legitimacy.
- Cooperate with the bank's inquiry.
- Engage a mainland lawyer if the violation is contested.
- For genuine violations, accept the consequences; the watchlist period is typically 2 years.

The reader who has been genuinely wronged by the bank's misclassification can appeal. SAFE branches have complaint channels.

20.9 How to stay off the watchlist

The four disciplines are simple:

- Truthful declarations. Always.
- Documented transactions. Always.
- No splitting. The system detects it.
- No lending or borrowing of quota. The system detects it.

A reader who follows these four disciplines will not encounter the watchlist.

20.10 The post-watchlist path

After the watchlist period (typically the current year plus the next two), the reader's quota access is restored and the credit record is updated. A second watchlist placement (within a

short period) is treated more seriously than a first; the post-watchlist reader should resume normal banking with extra care. [33]

20.11 The case of the small-business owner

Small-business owners with irregular income may find themselves at higher risk of watchlist placement because:

- Their FX receipts are irregular (some months large, some months small).
- Their counterparty mix is irregular.
- Their documentation may be incomplete (some invoices missing, some fapiao absent).

The corrective discipline: keep documentation tight; use a single banking relationship where possible; engage a bookkeeper; consult a tax advisor.

20.12 The case of the emigrant

Emigrants who have cancelled their hukou but continue to use mainland bank accounts may face unusual scrutiny — the bank may question the customer's status. The emigrant should:

- Update the bank with the new ID (foreign passport).
- Close mainland accounts where possible.
- Use the emigration-transfer route for major asset transfers.

The watchlist risk for emigrants is low if the documentation is clean.

20.13 The case of the foreign national

Foreign nationals in mainland China have a different relationship to the watchlist. SAFE's monitoring system tracks mainland-ID activity; foreign nationals' activity is tracked at the bank level but is not directly comparable to mainland customers. However, banks have their own internal watchlists for foreign customers, the cross-border wire scrutiny is the same as for mainland customers, and a foreign national who violates AML rules faces criminal exposure under the PBOC AML Law. [19]

20.14 What the watchlist means for the reader's family

If the reader's family members (spouse, adult children) have lent their quota to the reader, the family members may also be flagged. The system tracks patterns; multiple remitters into one beneficiary is a known trigger.

The corrective discipline: family members should not lend their quota. Documented above-quota transactions should be in the name of the actual remitter.

20.15 The reader's discipline, again

The watchlist is not a manifestation of arbitrary enforcement; it is a consequence of a violation. The reader who follows the rules — truthful declarations, documented transactions, no splitting, no lending — will not encounter it.

The reader who has been unfortunate enough to encounter it should treat the period as a learning experience; the system's rules are designed to be clear.

20.16 Checklist

- ☐ I am not engaging in any of the published trigger patterns.
- ☐ I am not lending or borrowing quota.
- ☐ I am not declaring false purposes.
- ☐ I am not splitting transactions.
- ☐ I am not providing false documentation.
- ☐ If I have been warned, I have cooperated with the bank and addressed the issue.

Next: Chapter 21 — What you must NOT do: underground banking, crypto/stablecoin, quota arbitrage.

Chapter 21 — What you must NOT do: underground banking, crypto/stablecoin, quota arbitrage

What this chapter is for: this chapter exists to help the reader avoid the worst mistakes. We discuss the prohibited methods only to explain what they are, why they fail, and what lawful alternatives exist. We do not give operational instructions.

21.1 Underground banking (地下钱庄)

Underground banks are informal RMB↔FX conversion networks that operate outside the regulated banking system. They typically:

- Accept RMB from mainland customers (often via cash deposit or bank transfer to a domestic account).
- Provide foreign currency to the customer abroad (via a foreign bank account, a cash handoff at a border crossing, or increasingly, USDT).
- Charge a premium or fee (often 1–5% above the official rate).

Underground banking is illegal under PRC law. [33][35]

The legal exposure for participants:

- Criminal. Underground banking operators can be prosecuted under Article 225 of the PRC Criminal Law (非法经营罪, illegal business operations) for severe cases. Sentences of 5–10 years are common; longer for very large amounts. [32]
- Administrative. Customers can be fined, placed on SAFE's watchlist, and have their quota access suspended. [33][35]
- Civil. Money laundered through underground banking may be confiscated. The customer has no recourse.
- Reputational. A SAFE violation bulletin names the customer publicly.

Recent enforcement:

- A 2024 case in Chengdu involved USD 1.9 billion in underground banking using USDT; the network was dismantled and participants prosecuted. [30][31]
- A 2025 case in Beijing involved USD 166 million in cross-border crypto-based laundering; five defendants received prison sentences of 2–4 years. [32]

The enforcement technology has improved. Underground banks that previously operated with relative impunity are now subject to detection via:

- Banking-system monitoring (unusual cash flows, structuring patterns).
- Crypto-blockchain analytics (USDT transactions are traceable on the blockchain).
- Cross-border cooperation with foreign FIUs.

The reader who is considering using an underground bank should expect to be caught and to

face consequences.

21.2 The "对敲" USDT pattern

"对敲" (duì kǎo, "knocking against each other") is the term for cross-border crypto-based laundering: a mainland party sends RMB to a domestic account, an overseas counterparty (typically the same operator or a coordinated party) sends USDT to the mainland party's crypto wallet, and the mainland party sells the USDT for foreign currency abroad (or holds the USDT as offshore asset). This pattern is a violation of SAFE's FX rules (the offshore USDT transaction is not a regulated FX route), a violation of PBOC's crypto ban (crypto transactions are illegal in mainland China), and a likely criminal offence under 非法经营罪. The blockchain trail is more permanent than cash; the 2024 Chengdu case involved USDT transactions that were traced on the blockchain and used as evidence. [29][30][31]

21.3 Quota borrowing and lending

Some mainland residents with unused quota have offered to "lend" it to others for a fee: the lender purchases FX under their quota, transfers the foreign currency to the borrower's overseas account (or sometimes gives cash abroad), and the borrower pays a fee (often 1–3% of the amount). This is illegal under SAFE's rules; the system detects it via multiple remitters into one beneficiary (the family-member or friend pattern), repeated small amounts that aggregate to large totals, and beneficiary account names that do not match the typical family-support pattern. Consequences include watchlist placement for both lender and borrower, administrative fines (typically 30%+ of the illegal amount) and potential criminal exposure for the fee-charging party. [33]

21.4 Sham trade and false invoices

Some mainland entities evade FX rules via sham trade: a mainland company issues fake export invoices to receive FX from an offshore entity, the offshore entity "pays" for non-existent goods or services, and the mainland company uses the received FX to make unauthorised outbound payments (for example, for investment-linked insurance premiums). This is a violation of SAFE's FX rules, tax fraud (evading CIT, VAT, IIT) and potentially a criminal offence (虚开增值税专用发票罪 for fraudulent VAT invoice issuance; 逃税罪 for tax evasion). The enforcement is aggressive; banks, tax bureaus and customs share information on trade mismatches. [33][35]

21.5 Crypto for outbound value transfer

The PRC's stance on crypto is absolute: cryptocurrency activities are illegal in mainland China. [29][66][67]

PBOC's November 2025 statement reaffirmed:

> "Virtual currencies do not hold the same legal status as fiat currency and cannot be used as legal tender in the market... The central bank specifically highlighted concerns about stablecoins, saying they fail to meet requirements for customer identification and anti-money-laundering controls."

For the mainland resident, this means:

- No mainland-based crypto exchange (none exists; mainland crypto exchanges have been shut down since 2021).
- No mainland-based crypto trading (illegal).
- No use of crypto for outbound value transfer (the bank would refuse the wire if it identified it as crypto-related).

The reader who tries to use crypto for outbound transfers is operating outside the law.

21.6 The Hong Kong stablecoin note

In May 2025, Hong Kong's Legislative Council passed the Stablecoins Bill, creating a licensing regime under the HKMA for fiat-backed stablecoin issuers. [67]

This is a Hong Kong regulatory development. It does not change the mainland rules:

- Mainland residents cannot use crypto (including stablecoins) for outbound value transfer under mainland law.
- A mainland resident who tries to use a HK-licensed stablecoin for an outbound transfer is still in violation of mainland rules.

The HK regime matters for:

- HK-based stablecoin issuers and their compliance obligations.
- International stablecoin issuers who want to access HK-based users.
- Investors who want exposure to regulated stablecoin issuers.

It does not create a lawful channel for mainland-resident outbound value transfer via crypto.

21.7 Sham emigration transfers

Some mainland residents attempt to use the emigration-transfer route for assets that are not really "pre-emigration":

- Buying foreign PR shortly before applying for emigration transfer.
- Reorganising assets to look like pre-emigration holdings.
- Using the emigration transfer route to remit funds that were earned post-emigration.

SAFE's review of emigration transfer applications includes:

- The date of the foreign PR or citizenship relative to the asset acquisition.
- The asset's acquisition history.
- The source of the asset.

A reader who tries to use the emigration-transfer route improperly may find the application denied and may face administrative or criminal penalties.

21.8 The "use a relative's quota" trap

A common reader question: "Can I just have my spouse wire the money?" The answer depends:

- If the spouse's wire is for their own purpose (the spouse's own savings, the spouse's own tuition, etc.) and uses the spouse's quota: yes.
- If the spouse's wire is for the reader's purpose but using the spouse's quota to evade the reader's quota restriction: no. This is quota lending.

The bank monitors for the second pattern. The system tracks cross-spouse patterns; multiple remittances from different individuals to the same beneficiary are flagged.

The right approach is for each individual to make their own wires from their own quota, with their own documentation.

21.9 The "false declaration" trap

The reader who is told by an agent, advisor, or bank clerk to "declare it as something else" is being told to commit a false declaration. The legal exposure is on both the customer and the bank staff member.

Recent SAFE bulletins have specifically named cases where the false declaration was triggered by an agent or advisor. The penalties applied to both the customer and the agent.

The reader should refuse false declarations, regardless of who suggests them.

21.10 What the reader should do instead

The lawful alternatives cover almost every legitimate need:

- Travel, family support, small recurring transfers → USD 50,000 facilitation quota.
- Tuition, medical treatment, larger documented transfers → documented above-quota.
- Salary → documented current-account conversion (no quota cap).
- Property sale → documented above-quota with tax recordal.
- Inheritance → inheritance-transfer route.
- Emigration → emigration-transfer route.
- Corporate dividends, service fees, royalties → documented corporate route with WHT.
- Outbound direct investment → ODI registration.
- Outbound investment by retail individuals → QDII funds, Stock Connect Southbound.

Almost every reader with a legitimate need has a lawful route. The reader who is told that "no route exists" is being lied to — usually by someone who profits from the evasion channel.

21.11 The risk-management perspective

The risk calculus for using prohibited channels:

- Detection. Improving steadily. The 2018, 2019, 2024, and 2025 enforcement actions show that the system catches more over time.
- Penalties. Have not decreased. Fines, watchlist placement, and criminal exposure remain real.
- Reputational cost. SAFE violation bulletins are public.
- Recoverability. Funds confiscated in enforcement actions are not returned.
- Operational fragility. Underground banks and USDT operators have no recourse; if the operation collapses or is seized, the customer has no way to recover funds.

The reader who thinks they are paying a "small fee" for an underground service is also paying in risk. The expected value of using a prohibited channel is negative.

21.12 The "I was told it was legal" defence

A reader who was advised by an agent or advisor that a particular channel was legal cannot use this defence against a SAFE enforcement action. The reader is responsible for understanding the rules.

This is also why this book emphasises verifying against primary sources (SAFE, PBOC, banks) rather than relying on agent advice alone.

21.13 What to do if you have used prohibited channels in the past

A reader who has previously participated in underground banking, false declarations, or other violations should:

- Stop. Immediately.
- Bring future transactions into compliance.
- For prior violations that may not yet have been detected: be aware that the system may eventually flag them; the consequences will be real.
- Consult a mainland lawyer about disclosure options (in some cases, voluntary disclosure may mitigate penalties; in others, it may accelerate enforcement).

This book does not advise on how to disclose past violations; that requires a lawyer.

21.14 Checklist

- [] I am not using, and will not use, underground banking channels.
- [] I am not using, and will not use, crypto or stablecoins for outbound value transfer.
- [] I am not lending or borrowing quota.
- [] I am not declaring false purposes.

- ☐ I am not involved in sham trade or false invoices.
- ☐ I am following one of the lawful channels for my transfer need.

Next: Chapter 22 — The destination side: foreign bank, foreign tax, and reporting.

Chapter 22 — The destination side: foreign bank, foreign tax, and reporting

What this chapter is for: once your money leaves mainland China, it is subject to another set of rules in the destination jurisdiction. This chapter gives the destination-side picture: what the receiving bank does, what tax reporting may apply, and what common destination-side pitfalls to avoid.

22.1 The receiving bank's compliance

When your wire arrives at a foreign bank, the receiving bank applies its own AML/CTF rules: identity verification, sanctions screening and hold/trace procedures if anything is unclear. [62][64]

This is independent of SAFE's rules. The mainland bank's CDD and the destination bank's CDD are separate layers, each governed by its own jurisdiction's AML law.

A reader who has had a smooth experience with the mainland bank may find the destination bank is the source of delay or refusal. This is normal; it reflects the destination's AML framework, not a problem with the wire itself.

22.2 Foreign-exchange margin and intermediary deductions at the destination

Even if the wire is denominated in the recipient account's currency, the receiving bank may apply:

- Incoming-wire fee. Published references describe recipient-bank inbound wire fees in the low tens of USD or equivalent. [62]
- FX margin if the wire is in a different currency than the account.
- Hold period. Some banks hold new wires for 24–72 hours; some hold indefinitely pending CDD.

The recipient should be aware of these and budget for them.

22.3 The recipient's AML obligations

Some jurisdictions require the recipient to report large inbound wires. US banks generate Currency Transaction Reports (CTRs) or Suspicious Activity Reports (SARs) for large or unusual flows; the UK applies equivalent rules under the Money Laundering Regulations; EU member states apply their own AML rules; Australia applies AUSTRAC rules. The recipient should be prepared to provide documentation of the source of funds to the destination bank; the same documentation the mainland bank asked for is useful at the destination bank. [62][64]

22.4 Tax reporting — the US example

For US tax residents receiving large inbound wires, the framework includes income tax (foreign-source income may be taxable in the US; the recipient reports it on Form 1040), FBAR (foreign accounts above USD 10,000 in aggregate at any point in the year, FinCEN Form 114 filed separately from the tax return), FATCA (US persons with specified foreign financial assets above certain thresholds report them on Form 8938), and Forms 3520/3520-A for foreign gifts or inheritances above certain thresholds. [64]

22.5 Tax reporting — the UK example

For UK tax residents, the framework is the UK self-assessment return with the SA106 foreign-income supplementary page; the UK does not have an FBAR equivalent, so foreign-account reporting happens through the tax return. Foreign-source inheritances may be subject to UK inheritance tax. The UK framework is generally simpler than the US; the recipient files via self-assessment.

22.6 Tax reporting — other jurisdictions

Most developed jurisdictions have analogous reporting: Canada (CRA reporting of foreign income, Form T1135 for foreign property above CAD 100,000), Australia (ATO reporting of foreign income and assets), Singapore (IRAS reporting of foreign-source income for tax residents), and Hong Kong (no capital gains tax; salaries tax may apply to HK-source employment; foreign-source income generally not taxed). The recipient should engage a tax advisor in the destination jurisdiction.

22.7 CRS — the global common reporting standard

The Common Reporting Standard (CRS) is the OECD's framework for automatic exchange of financial account information between jurisdictions; mainland China and Hong Kong have committed to it, while the US uses FATCA for a similar function.

Under CRS:

- The recipient's bank in the destination reports the recipient's account information to the destination's tax authority.
- The destination's tax authority automatically exchanges the information with the recipient's tax-residency jurisdiction.

For the mainland-resident sender, this means:

- If you are a tax resident of Country X and you have an account there, the bank in Country X will report your account to Country X's tax authority.
- Country X's tax authority may exchange this with mainland China's SAT (if both have CRS agreements).

The CRS framework is increasingly comprehensive; the reader with cross-border accounts should expect their information to be shared.

22.8 FATCA — the US-specific framework

For US tax residents (or US persons), the FATCA framework requires foreign banks to report US-person accounts to the US IRS; failure to comply with FATCA can result in the foreign bank withholding 30% on US-source payments. The mainland resident who is a US tax resident must comply with FATCA; the foreign bank they use will have a FATCA-compliance programme and will ask for the reader's US tax status.

22.9 The destination-side bank's hold

Some destination-side holds are common:

- First-time sender. The first wire from a new sender may be held for verification.
- Unusual amount. A wire much larger than the recipient's typical pattern may be held.
- High-risk corridor. Wires from China may be held for additional scrutiny (FinCEN advisory). [64]
- Incomplete remitter information. Wires without full remitter details may be held.

The recipient's response:

- Provide additional documentation (passport, address, source-of-funds statement).
- Wait for the hold to clear (typically 24–72 hours; sometimes longer).
- Inquire with the bank's compliance team.

22.10 Practical destination-side tips

- Tell your recipient in advance. The recipient's bank may hold the wire; the recipient should know to expect it.
- Use the recipient's preferred currency. If the recipient's account is in USD, send USD. FX conversion at the recipient bank is usually more expensive.
- Provide complete remitter information. Include your full name, address, ID number, and purpose. This helps the destination bank's compliance.
- Consider intermediary banks. For some destinations, the intermediary bank matters. The originating bank can advise.
- Document everything. Keep records of every wire — amount, date, reference numbers, beneficiary details.

22.11 The recipient who is also a mainland tax resident

A common scenario: the recipient is a mainland tax resident (e.g. a child studying abroad who maintains mainland tax residency). In this case:

- The child's foreign bank account may be reported to mainland China's SAT under CRS.
- The child may have mainland tax filing obligations on the foreign account.
- The child's foreign income (if any) may be subject to mainland IIT.

This is an emerging area; the framework is evolving. The reader who has a family member in this situation should consult a mainland tax advisor.

22.12 The recipient who has immigrated

A recipient who has emigrated from mainland China and cancelled their hukou is no longer a mainland tax resident (subject to the 183-day test). They:

- Are not subject to mainland IIT on worldwide income.
- Are subject to the destination's tax rules.
- May still be subject to mainland IIT on mainland-source income (e.g. mainland rental income).

The recipient's tax situation is now primarily destination-side. They should engage a destination-side tax advisor.

22.13 The "I received a wire from China — what do I do?" checklist

The recipient who has just received a wire from a mainland sender should:

- Verify the wire has been credited (check with the bank).
- Identify the source of the wire (the remitter).
- Document the source of funds (the same documents the mainland bank asked for).
- Retain records for tax and AML purposes.
- Report the wire if required by the destination's tax rules.
- Be prepared to provide additional documentation to the destination bank if requested.

22.14 Checklist

- ☐ I have informed my recipient about the wire and its expected timing.
- ☐ I have provided complete remitter information in the wire.
- ☐ I have used the recipient's preferred currency.
- ☐ I have budgeted for the receiving bank's fees.
- ☐ I understand the destination's tax reporting obligations.
- ☐ I have engaged a destination-side tax advisor if needed.

Next: Chapter 23 — Rejections, returns, escalations, and appeals.

Chapter 23 — Rejections, returns, escalations, and appeals

What this chapter is for: even with good preparation, the reader may encounter a rejection. This chapter explains what to do when a wire is refused, returned, or held, and how to escalate when the bank's response is unsatisfactory.

23.1 The three categories of rejection

A wire can be refused at three stages, each with a different remedy and a different set of evidence the reader should keep: pre-execution (the bank's CDD or documentation matrix finds a problem before the wire is initiated), during execution (the originating bank halts it pending further documentation) and post-execution (the receiving bank refuses or returns it after the wire is sent). The reader's documentary file is the foundation of every remedy: every form, application, supporting document, branch response and rejection notice should be retained. [7][83]

23.2 Pre-execution refusals

The most common cause is documentary mismatch or insufficient documentation. The reader's response:

- Ask the bank officer what specifically is missing.
- Provide the requested documentation.
- Confirm the purpose code matches the documentation.
- Re-submit.

If the bank officer is unable to articulate a clear reason, the reader can:

- Ask for the bank's documentation matrix for the specific transaction type.
- Request the bank's written explanation for the refusal.
- Ask to speak with the branch manager or the bank's compliance team.

A pre-execution refusal is the easiest to address because the funds have not moved.

23.3 During-execution holds

The bank may hold the wire after initiation pending additional documentary verification, SAFE branch consultation or internal escalation. [7]

The reader's response:

- Cooperate with the bank's documentation requests.
- Ask for a case or complaint number, the exact outstanding item, the team responsible and the bank's current written response estimate.
- Engage a qualified tax adviser or lawyer when the issue is legally or tax-sensitive, when the

bank cannot identify the missing item, or when the bank misses its stated response date.

A during-execution hold may result in the wire eventually being processed or being returned. The funds are not lost; they are in transit or in the bank's suspense account.

23.4 Post-execution returns

The wire is sent, but the receiving bank returns it. Common causes:

- Beneficiary name mismatch.
- Beneficiary account closed.
- Receiving bank compliance hold (recipient's documentation insufficient).
- Sanctions match.

The reader's response:

- Verify the recipient details with the recipient.
- Re-submit with corrected details.
- For compliance holds, the recipient may need to provide additional documentation to their bank.

The returned wire is credited to the originator's account less any intermediary fees consumed during the original transaction. The reader's quota is restored.

23.5 The bank's complaint channels

If the reader believes the bank has refused the wire in error, the channels are:

- Branch manager. First escalation.
- Bank's customer service hotline. File a formal complaint.
- Bank's headquarters compliance team. For unresolved issues.
- NFRA (the bank supervisor). External complaint channel.
- SAFE branch. For FX-specific issues.

The complaint should be in writing, with the transaction details, supporting documents, the bank's response and the remedy requested. Ask the channel to identify the applicable complaint-handling deadline and retain the tracking number; do not assume one universal response period across institutions and complaint types.

23.6 SAFE complaint channels

SAFE branches accept complaints about unfair refusal of FX transactions, unfair watchlist placement, misapplication of SAFE rules and a bank's failure to provide required services. [33]

The complaint process:

- Identify the SAFE branch with jurisdiction (typically the branch in the city of the bank's branch).

- Submit the complaint in writing with supporting documents.
- Receive SAFE's response (typically within 30 days).

SAFE's complaint channels are publicly listed on its portal.

23.7 The PBOC complaint channels

PBOC (and NFRA) handle:

- AML-related complaints.
- Bank service-quality complaints.

The complaint process is similar to SAFE.

23.8 The bank's appeal of an SAFE decision

If the reader has been placed on the 关注名单 and believes it was in error, the appeal process is:

- Submit a written appeal to the SAFE branch with supporting documentation.
- Provide evidence that the underlying transactions were lawful.
- Receive SAFE's response.

The appeal may result in the watchlist placement being lifted, modified, or upheld.

23.9 The legal route

For unresolved disputes, the reader can:

- Engage a mainland lawyer to draft a formal complaint or appeal.
- File an administrative lawsuit (行政复议) against SAFE's decision.
- File a civil lawsuit against the bank for damages.

The legal route is typically a last resort; most disputes are resolved at the bank-customer interface.

23.10 Time limits

Administrative appeals and lawsuits have strict time limits (typically 60 days for administrative appeals). The reader who misses a time limit loses the right to that remedy; the relevant statute is the PRC Administrative Procedure Law and its implementing rules, with SAFE-specific complaint channels listed on the SAFE portal. [1]

The reader who is considering legal action should engage a lawyer promptly.

23.11 The role of a tax advisor or lawyer

For complex cases — large transactions, capital-account items, suspected violations — a tax advisor or lawyer is essential:

- A tax advisor can structure the transaction to minimise legal exposure.
- A lawyer can interface with the bank or SAFE on the reader's behalf.
- Both can review the documentation pack before the transaction is initiated.

The cost of professional advice is small relative to the legal exposure of a major transaction.

23.12 The escalation matrix

A simple escalation matrix for the reader:

1. Bank officer at the branch. 2. Branch manager. 3. Bank's customer service hotline. 4. Bank's headquarters compliance team. 5. NFRA complaint. 6. SAFE complaint (for FX issues). 7. Tax advisor / lawyer. 8. Administrative appeal. 9. Court action.

Each step typically follows if the previous step is unresolved.

23.13 The "what not to do" escalation list

The reader should not:

- Threaten the bank officer.
- Use abusive language.
- File false complaints.
- Use social media to threaten the bank.
- Engage in public shaming of the bank.

These actions damage the reader's position and may accelerate enforcement against the reader.

23.14 The case of the rejected real-estate wire

A common scenario: a mainland resident tries to wire funds for an overseas property purchase. The bank refuses.

The reader's options:

- Refuse to use false declarations (e.g. "it's for travel").
- Accept that the wire is not lawful under the personal facilitation quota.
- Consider lawful alternatives:
 - Use the corporate ODI route (if the property is for a business purpose).
 - Use a regulated retail channel (QDII fund that invests in REITs).
 - Do not buy overseas property directly.

The reader who insists on the direct purchase will not find a lawful route under the personal

facilitation quota. The book explicitly does not assist with this.

23.15 The case of the held inheritance-transfer wire

A reader who has received SAFE branch approval for an inheritance transfer but whose bank holds the wire:

- Verify the bank's documentation pack is complete.
- Provide the SAFE approval letter and supporting documents.
- Escalate to the branch manager and to the bank's compliance team.
- If unresolved, engage a lawyer.

Most such holds are resolved at the bank-customer interface.

23.16 What the reader should remember

The reader who has prepared well — documented transactions, truthful declarations, no splitting — will rarely encounter a rejection. The reader who is told "no" by the bank is usually being told the truth about the lawfulness of the transaction.

The reader who pushes back on a legitimate refusal may face additional scrutiny. The reader who accepts the refusal and seeks a lawful alternative is in the right position.

23.17 Checklist

- [] I have asked the bank for the specific reason for the refusal.
- [] I have provided all requested documentation.
- [] I have escalated through the appropriate channels if needed.
- [] I have not threatened the bank or used abusive language.
- [] I have considered whether the refusal is correct and a lawful alternative exists.
- [] I have engaged a tax advisor or lawyer if the case is complex.

Next: Chapter 24 — Pre-transfer worksheet and a worked example.

Chapter 24 — Pre-transfer worksheet and a worked example

What this chapter is for: this chapter pulls everything together into a single worksheet the reader can use to plan any cross-border transfer, and walks through a single composite example end-to-end.

24.1 The pre-transfer worksheet

Before initiating any cross-border transfer, the reader should fill in this worksheet and confirm every box with the handling branch on the day of submission. Pre-transfer discipline reduces rejections, holds and re-submissions. [7][83]

Section A: Profile

1. What is my personal status? The reader's status drives which SAFE, tax and bank rules apply: mainland Chinese citizens (with active or cancelled hukou) are subject to the personal facilitation quota under SAFE Implementing Rules Article 12 and the personal CDD measures; foreign nationals without permanent residence are tracked under different matrix rules; foreign nationals with the Foreigner's Permanent Residence ID Card (中国永居) enjoy parity with mainland citizens for the USD 50,000 quota. [4][5][7]

- ☐ Mainland Chinese citizen with mainland hukou
- ☐ Mainland Chinese citizen, foreign PR, hukou still active
- ☐ Mainland Chinese citizen who has emigrated and cancelled hukou
- ☐ Foreign national with residence permit (no permanent residence)
- ☐ Foreign national with Foreigner's Permanent Residence ID Card (中国绿居)
- ☐ HK/Macao/Taiwan resident
- ☐ Company representative (please specify role)

2. What is my current household-registration status?

- ☐ Mainland hukou active (city: ____)
- ☐ Mainland hukou cancelled (date: ____)
- ☐ Never had mainland hukou

Section B: Purpose

3. What is the purpose of my transfer? (Select one.)

- ☐ Tourism / visiting relatives
- ☐ Self-funded study abroad
- ☐ Family support (赡家款)
- ☐ Overseas medical treatment
- ☐ Salary / employment income (foreign national in China)
- ☐ Property-sale proceeds
- ☐ Inheritance (deciding to receive or send)

- ☐ Emigration transfer
- ☐ Service-trade income (consulting, freelancing)
- ☐ Goods-trade income (export)
- ☐ Corporate dividend
- ☐ Service fee / royalty
- ☐ Intercompany loan
- ☐ Outbound direct investment (ODI)
- ☐ Retail investment via QDII / Stock Connect (no transfer abroad; FX handled by the product)
- ☐ Other: ____

Section C: Documentation status

4. Do I have the required documentation? The bank's documentation matrix for each transaction type is set out in SAFE Implementing Rules Article 12 (current-account non-business purchases with transaction-amount evidence), the bank's product page and the bank's branch-specific matrix. [7]

- ☐ Valid ID card / passport / residence permit / permanent residence card
- ☐ For study abroad: acceptance letter, tuition invoice, student visa, household register
- ☐ For family support: relationship evidence, recipient's income evidence
- ☐ For medical: diagnosis, overseas treatment quote
- ☐ For salary: employment contract, salary slips, IIT payment record
- ☐ For property sale: sale contract, title transfer, 完税证明, tax recordal (if applicable)
- ☐ For inheritance: notarised inheritance documents, death certificate, property documents
- ☐ For emigration: foreign citizenship/PR, hukou cancellation record, asset documents
- ☐ For corporate dividend: board resolution, audited statements, CIT payment, WHT
- ☐ For service fee/royalty: agreement, arm's-length-pricing analysis, WHT
- ☐ For ODI: MOFCOM certificate, NDRC filing, SAFE registration
- ☐ Other: ____

5. Is the documentation complete?

- ☐ Yes, originals
- ☐ Yes, notarised copies
- ☐ No, missing: ____

Section D: Quota and threshold

6. Have I checked my facilitation quota status?

- ☐ I have used ____ USD of my USD 50,000 quota this year.
- ☐ This transfer is within quota. Identification, signed purchase application declaring a permitted current-account purpose, risk-based CDD and the 1 January 2026 verification above RMB 5,000 / USD 1,000 still apply. [7][83]
- ☐ This transfer is above quota but documented (does not consume quota).
- ☐ I am not eligible for the quota (foreign national without permanent residence).

7. Is this transfer above any bank or tax threshold?

- ☐ Above USD 50,000 (tax recordal may apply)
- ☐ Above RMB 5,000 / USD 1,000 (CDD threshold from 1 January 2026)
- ☐ Above USD 30,000 (legacy tax-clearance threshold in some categories)
- ☐ Below all thresholds

Section E: Wire details

8. The wire (matching the bank's published remittance screen fields): [7][83]

- Beneficiary name: _____
- Beneficiary account number: _____
- Beneficiary bank SWIFT/BIC: _____
- Beneficiary bank name and address: _____
- Currency: _____
- Amount: _____
- Purpose code (from bank list): _____
- Charge code: ☐ OUR ☐ SHA ☐ BEN

Section F: Cost estimate (illustrative; obtain a same-day written quote)

9. Estimated costs (illustrative only; obtain a same-day written quote from the handling branch; published references are typical ranges for major Chinese banks and major currencies, not promises). [58][59][60][61][62]

- Originating bank wire fee: _____
- Intermediary bank fees (in OUR or estimated SHA deduction): _____
- Receiving bank inbound fee: _____
- FX spread (if buying FX): _____
- Total cost: _____

Section G: Timing

10. Timing:

- Need the funds by: _____
- Bank documentary review: depend on bank, branch, channel and destination corridor; obtain a written estimate on the day of submission.
- Wire itself: depend on correspondent chain and recipient-bank CDD; same-bank or same-group corridors typically settle same-day to next business day; major-bank to major-bank wires typically settle in a few business days; smaller banks or high-risk corridors can take materially longer. [58][59][61]
- Total expected: build a buffer; do not rely on a single day count across institutions.

Section H: Verification

11. Before initiating, I have:

- ☐ Confirmed the current rule on SAFE's portal or via my bank's product page.

- [] Verified the bank's documentation matrix for my transaction type.
- [] Confirmed my quota status.
- [] Confirmed the recipient details with the recipient.
- [] Considered destination-side reporting requirements.

24.2 The composite worked example

The reader. Mr. Zhang, 52, a mainland Chinese citizen with a Beijing hukou. He has a daughter, Xiaoli, 21, who is starting a Master's degree at University College London in September. Tuition for the first year is GBP 32,000, with a GBP 3,000 deposit due by August. Living expenses are estimated at GBP 1,400 per month.

Mr. Zhang has been working at a Beijing company for 25 years; his salary is fully on the books with IIT withholding. His current facilitation quota has not been used this year.

Mr. Zhang also has elderly parents in Toronto, Canada (Canadian citizens); he sends CAD 1,500 per month as family support.

Mr. Zhang's bank is ICBC, where he has a long-standing RMB account and an FX savings account.

Section A: Profile

- Mainland Chinese citizen with mainland hukou (Beijing).
- Status: standard mainland individual.
- Quota access: USD 50,000/year.

Section B: Purposes (multiple)

- Tuition for daughter (study abroad, first-year).
- Living expenses for daughter (study abroad, monthly).
- Family support for parents (赡养, monthly).
- A planned family vacation next summer (tourism, lump sum).

Section C: Documentation

- Resident ID card.
- Household register showing parent-child relationship with daughter.
- Daughter's passport + UK student visa.
- Acceptance letter from UCL.
- Tuition invoice for GBP 32,000.
- Deposit invoice for GBP 3,000.
- Marriage certificate and household register showing relationship with parents.
- Parents' Canadian residence documents.

Section D: Quota and threshold

- Tuition + deposit GBP 35,000 (~USD 44,000): documented above-quota under Article 12; does not consume quota.

- Living expenses GBP 1,400/month (~USD 1,750): documented above-quota under Article 12; does not consume quota.
- Family support CAD 1,500/month (~USD 1,100): within quota, subject to identification, signed application declaring 赡养, risk-based CDD and the 1 January 2026 verification. [7][83]
- Family vacation (next summer): within quota, same within-quota rules.

Section E: Wires

Wire 1: Tuition and deposit (July, before term starts).

- Beneficiary: UCL (bank details in the invoice).
- Currency: GBP.
- Amount: GBP 35,000.
- Purpose code: 自费留学.
- Charge code: OUR (subject to the bank's written quote).

Wires 2 onwards: Living expenses (monthly, starting September).

- Beneficiary: daughter's UK account.
- Currency: GBP.
- Amount: GBP 1,400.
- Purpose code: 自费留学 (or 赡养, depending on bank matrix).
- Charge code: confirm with the bank's written quote; SHA may be acceptable for small recurring amounts.

Wires monthly: Family support.

- Beneficiary: parents' Canadian account.
- Currency: CAD.
- Amount: CAD 1,500.
- Purpose code: 赡养 (within quota for the assumed amounts; bank matrix governs).
- Charge code: confirm with the bank's written quote.

Section F: Cost estimate (illustrative; obtain a same-day written quote)

- Originating-bank wire fee: published third-party references describe major Chinese banks' cross-border wire fees in the low hundreds of RMB; the handling branch's written quote is authoritative.
- Intermediary fees (in OUR for Wire 1, or estimated SHA deduction): published references describe fees in the low tens of USD per hop. [58][59][60][61]
- Receiving bank inbound fee: published references describe fees in the low tens of USD or equivalent. [62]
- FX spread (RMB → GBP): published references describe a few tenths of a percent for major currencies; the bank's posted rate at the moment of purchase is authoritative.

For Wire 1 (~GBP 35,000 ≈ RMB 320,000), the cumulative bank-side costs depend on the written quote obtained on the day of submission; published references describe low-hundreds-of-RMB originating fees plus low-tens-of-USD intermediary and inbound fees plus

a small FX spread. For recurring wires (~GBP 1,400 / CAD 1,500), cumulative cost scales roughly with the number of wires and any negotiated customer rate. Do not treat these figures as commitments.

Section G: Timing

- Wire 1: submit early July; obtain a written processing estimate from both banks on the day of submission.
- Recurring wires: monthly; obtain a written estimate for each leg.

Section H: Verification

Mr. Zhang has:

- Read ICBC's personal FX product page for the current procedure.
- Confirmed the bank's documentation matrix for study abroad.
- Verified his quota status (unused this year).
- Confirmed UCL's bank details with the invoice.
- Confirmed his parents' bank details with them.
- Considered destination-side reporting (his daughter will need to declare the account in her UK tax return, if applicable).

Section I: After-action

After each wire, Mr. Zhang:

- Retains copies of every document and form.
- Updates his record of facilitation-quota usage.
- Files the destination-side compliance (his daughter reports the account in her UK tax return; his parents do not face Canadian reporting on inbound family support).

24.3 A more complex case: Mr. Wang, who is selling a property and emigrating

The reader. Mr. Wang, 60, sold his Shanghai apartment for RMB 7,200,000 (net of tax: RMB 6,840,000). He and his wife have obtained Canadian PR; their Shanghai hukou has been cancelled. They have RMB 4,000,000 in a Shanghai bank account and RMB 800,000 in another account.

Section A: Profile

- Mainland Chinese citizen who has emigrated and cancelled hukou.
- Status: eligible for emigration-transfer route.
- Personal facilitation quota: not the primary route.

Section B: Purpose

- Remit all mainland assets to Canada under the emigration-transfer route.

Section C: Documentation

- Canadian PR cards (both Mr. and Mrs. Wang).
- hukou cancellation records.
- Marriage certificate.
- Property documents (sold apartment).
- Bank statements.
- Source-of-funds evidence (employment history, savings history).
- Tax payment records.
- Tax recordal filing for the wire.
- Canadian bank account details.

Section D: Quota and threshold

- Personal facilitation quota: not the primary route. Some banks may apply it for small wires; the emigration-transfer route is for the bulk.

Section E: Application

- Apply to SAFE Shanghai branch for emigration transfer approval.
- Approval timelines depend on the case and on the SAFE branch's current workload; do not rely on a fixed number of working days.
- Phased remittance rules under PBOC Order #16 (2004) apply unless the SAFE branch grants a one-shot approval: first instalment not exceeding half the approved total; a further instalment after one year not exceeding half the remaining; the final balance after two years. RMB 200,000 or below may be remitted in one go after approval. [16]

Section F: Cost estimate (illustrative; obtain a same-day written quote)

- SAFE branch approval: no fee.
- Bank wire fee per remittance: published references describe major Chinese banks' cross-border wire fees in the low hundreds of RMB; the handling branch's written quote is authoritative.
- FX spread (RMB → CAD): published references describe a few tenths of a percent for major currencies; the bank's posted rate at the moment of purchase is authoritative.
- Intermediary fees (in OUR): published references describe fees in the low tens of USD per hop.

Section G: Timing

- Application to SAFE: depends on case facts, SAFE branch workload and the documentation pack; do not rely on a fixed number of working days.
- Wire after approval: depends on correspondent chain and recipient-bank CDD; obtain a written estimate on the day of submission.
- Phased remittance: 2+ years total under PBOC Order #16 unless the SAFE branch grants a one-shot. [16]
- Total process: 2+ years under the phased schedule.

Section H: Verification

Mr. Wang has:

- Confirmed hukou cancellation with the local public security bureau.
- Engaged a Shanghai lawyer to assist with the SAFE application.
- Confirmed the documentation pack with the lawyer.
- Verified Canadian bank account details.

Section I: After-action

Mr. Wang:

- Retains all SAFE branch approvals and supporting documents.
- Closes mainland bank accounts after remittance.
- Files Canadian tax reporting as required.

24.4 The pre-flight checklist

Before initiating any cross-border transfer, the reader should be able to answer:

- What is my personal status?
- What is my transfer's purpose?
- What documentation do I need?
- Is my documentation complete?
- Is the transfer within or above the quota?
- What wire details do I need?
- What will the total cost be?
- When do I need the funds to arrive?
- Have I verified the rules on SAFE's and PBOC's portals?
- Have I considered destination-side reporting?

If the reader cannot answer all ten, the transfer is not ready.

24.5 Checklist

- ☐ I have filled in the pre-transfer worksheet for my transaction.
- ☐ I have identified my reader profile and chapter.
- ☐ I have the documentation required by the bank's documentation matrix.
- ☐ I have verified my quota status and the transaction's threshold implications.
- ☐ I have the recipient details and the cost estimate.
- ☐ I have allowed sufficient time for the process.
- ☐ I have considered destination-side reporting.

Next: Chapter 25 — How to verify rules on your own.

Chapter 25 — How to verify rules on your own

What this chapter is for: this book is current as of 9 August 2026, but rules change. The reader who can verify rules independently does not need to wait for the next edition of any guide. This chapter gives the reader the tools to verify.

25.1 The five portals to know

For SAFE rules, PBOC rules, tax rules, customs rules, and bank practice, the five authoritative portals are: SAFE [1], PBOC, NFRA, SAT and the General Administration of Customs. Treat the Chinese-language original as authoritative; the English SAFE portal is a convenience reference and does not control where the Chinese text says otherwise.

| Portal | Authority | URL | |---|---|---| | SAFE | FX rules | <https://www.safe.gov.cn> (Chinese; English portal at <https://www.safe.gov.cn/en/>) | | PBOC | Monetary policy, AML, cash rules | <http://www.pbc.gov.cn> (Chinese) | | NFRA | Bank and insurance supervision | <http://www.nfra.gov.cn> | | SAT | Tax rules | <https://www.chinatax.gov.cn> | | General Administration of Customs | Border cash rules | <http://www.customs.gov.cn> |

For industry interpretations and procedural detail, major Chinese banks publish product pages with current procedures:

- Bank of China: <https://www.boc.cn>
- ICBC: <https://www.icbc.com.cn>
- CCB: <https://www.ccb.com>
- ABC: <https://www.abchina.com>
- Metrobank (首都银行): <https://www.bankcomm.com>
- CITIC Bank: <https://www.citicbank.com>
- HSBC China: <https://www.hsbc.com.cn>
- Standard Chartered China: <https://www.sc.com/cn>
- Citibank China: <https://www.citibank.com.cn>

25.2 Reading a SAFE circular

SAFE issues rules in several forms, each with a citation format that lets the reader retrieve the rule from the SAFE portal. [1][8]

- 汇发 (Huìfā) — "SAFE Issuance" — the most common form. E.g. 汇发〔2024〕12号.
- SAFE Notice — typically shorter operational guidance.
- SAFE Bulletin — publicised cases, statistics.

A SAFE circular's structure:

- Number and date.
- Issuing body (SAFE headquarters or a branch).

- Subject (a one-line summary).
- Recipient (the entities to which it applies).
- Body (the substantive rules).
- Effective date.
- Interpretation authority.

To find a specific SAFE circular, the reader can use the SAFE portal's search function, browse the SAFE branch websites (provincial SAFE branches publish their own circulars), or consult the SAFE catalog of effective FX regulations, which SAFE Xiamen published as of 30 June 2025. [1][8]

25.3 Reading a PBOC notice

PBOC rules come in several forms. PBOC Orders (中国人民银行令) are formal regulations issued by the PBOC governor; PBOC Notices (通知) are operational guidance; PBOC Announcements (公告) are typically procedural or informational; and PBOC also issues joint rules with NFRA, CSRC or SAFE that share authority across agencies. The 1 January 2026 Customer Due Diligence and Customer Identity Materials and Transaction Recordkeeping Management Measures (《金融机构客户尽职调查和客户身份资料及交易记录保存管理办法》) is an example of a joint PBOC/NFRA/CSRC rule. [83]

A PBOC rule's structure is similar to SAFE's. The PBOC portal allows browsing by topic and year.

25.4 Verifying a SAFE rule

When verifying a rule, the reader should:

1. Identify the rule's citation (e.g. 汇发〔2024〕12号). 2. Search the SAFE portal for the citation. 3. Confirm the rule is still operative (some circulars are superseded). 4. Read the operative provisions. 5. Cross-check with the SAFE catalog of effective FX regulations. [8] 6. Confirm with the relevant bank's product page.

For a high-stakes rule, the reader should also:

- Check the SAFE branch's local implementation guidance.
- Check the bank's documentation matrix.
- Engage a mainland lawyer for interpretation if needed.

25.5 Verifying a PBOC rule

The procedure is similar:

1. Identify the rule's citation. 2. Search the PBOC portal. 3. Confirm the rule is still operative. 4. Read the operative provisions. 5. Cross-check with NFRA, CSRC if the rule is joint.

25.6 Verifying a tax rule

For SAT rules:

1. Identify the rule's citation. 2. Search the SAT portal. 3. Confirm the rule is operative. 4. Read the operative provisions. 5. For treaty-related issues, check the SAT's list of effective DTAs.

25.7 The translation gap

Some PRC rules are issued only in Chinese; English translations (where they exist) are unofficial. The SAFE English portal has selected English translations of selected circulars (for example, the bank-card overseas cash-withdrawal Q&A [6] and the multinational cash pooling pilot [57]) but the Chinese originals control. The reader should treat the Chinese original as authoritative, use the English translation only for orientation, and engage a translator or a mainland lawyer if in doubt. [1][6]

25.8 The "verify at the moment of action" practice

The reader should make a habit of checking the relevant portal at the moment of action — not relying on memory of what the rule was when they first read about it.

The pre-flight verification:

- For SAFE rules: check SAFE's portal for any recent updates to the relevant circular.
- For PBOC rules: check PBOC's portal for any recent updates.
- For bank practice: check the bank's product page for current procedures.

This takes 5 minutes; it can save weeks of delay due to outdated knowledge.

25.9 The "ask the bank" question

The reader who is unsure of the current rule can ask the bank directly:

- "What is the current documentation requirement for [transaction type]?"
- "Is there a current quota restriction on [purpose]?"
- "What is the current bank's CDD threshold?"

The bank's response may not be comprehensive (the bank officer may not know the latest rules), but the response gives the reader a baseline.

For complex cases, the reader can ask for a meeting with the bank's compliance team. This is more formal and typically gives a more reliable answer.

25.10 The "engage a lawyer" question

For complex transactions, the reader should engage a mainland lawyer. The lawyer can:

- Interpret the SAFE/PBOC/SAT rules.
- Confirm the documentation pack.
- Interface with the bank or SAFE on the reader's behalf.
- File administrative appeals if needed.

For high-stakes transactions (large amounts, capital-account items, sensitive industries), the cost of a lawyer is small relative to the legal exposure.

25.11 The reader's verification routine

A practical routine the reader can adopt:

1. Before any major transaction, check SAFE's portal for current rules. 2. Before submitting any wire, check the bank's product page for current procedures. 3. Quarterly, review the SAFE catalog of effective FX regulations for changes. 4. Annually, review the bank's documentation matrices for the reader's transaction types. 5. When in doubt, ask the bank or engage a lawyer.

25.12 The reader's library

A small reference library for the reader:

- The SAFE catalog of effective FX regulations (updated periodically). [8]
- The SAFE Implementing Rules for Individual FX Management (汇发〔2007〕1号). [7]
- The 2004 Measures for Personal Property Outward Transfer. [16]
- The PBOC AML Law (2025 revision).
- The bank's product page for the reader's transaction types.

These documents are all publicly available; the reader can download and store them.

25.13 The limits of self-verification

The reader should be aware of the limits:

- SAFE's published rules are the rules; bank practice may diverge in details.
- Bank practice may differ across branches.
- New rules may not be reflected in older summaries.
- Translation issues can mislead.

For high-stakes or unusual transactions, the reader should not rely solely on self-verification. A lawyer's review is appropriate.

25.14 A final word

The PRC FX framework is rule-based and rule-published. The reader who learns to read the rules themselves is the reader who can act with confidence.

This book is a starting point. The reader who masters the verification routine can extend the book's coverage as new rules emerge and as their personal situation evolves.

25.15 Checklist

- [] I have bookmarked the SAFE, PBOC, NFRA, SAT, and Customs portals.
- [] I have downloaded the SAFE catalog of effective FX regulations.
- [] I have read the SAFE Implementing Rules for Individual FX Management.
- [] I know my bank's product page for my transaction types.
- [] I have established a quarterly review routine for rule changes.
- [] I know when to engage a lawyer.

You have reached the end of the body of the book. The appendices and sources follow.

Appendix A — Glossary

This glossary collects the working vocabulary of the book, with English renderings, Chinese characters (中文), pinyin where useful, and short explanations. Page references are to chapters.

Authorities and policy bodies

- SAFE — State Administration of Foreign Exchange (国家外汇管理局). FX rule-setter and senior approver for high-value and capital-account transfers. [Chapter 2, 17]
- PBOC — People's Bank of China (中国人民银行). Central bank. AML, monetary, and cash rule-setter. [Chapter 2, 19]
- NFRA — National Financial Regulatory Administration (国家金融监督管理总局). Bank and insurer supervisor.
- CSRC — China Securities Regulatory Commission (中国证券监督管理委员会). Securities regulator.
- SAT — State Taxation Administration (国家税务总局). Tax authority. Issues tax recordal filings for outbound payments.
- MOFCOM — Ministry of Commerce (商务部). ODI certificate issuer.
- NDRC — National Development and Reform Commission (国家发展和改革委员会). ODI project approver.
- NIA — National Immigration Administration (国家移民管理局). Residence-permit issuer; publishes FX guidance for foreigners.

- Customs — General Administration of Customs (海关总署). Border cash declarations.

Concepts and rules

- Foreign exchange (外汇, wàihuì). The broader PRC framework covering FX purchase, sale, cross-border remittance, and FX-denominated deposits.
- Purchase of foreign exchange (购汇, gòuhuì). Converting RMB into foreign currency. Subject to SAFE rules and, for individuals, the facilitation quota.
- Sale of foreign exchange (结汇, jiéhuì). Converting foreign currency into RMB.
- Cross-border remittance (跨境汇款 / 汇出境外). Sending funds from a domestic account to a foreign account.
- Current account (经常项目). IMF category: goods, services, primary income, secondary income, current transfers.
- Capital account (资本项目). IMF category: capital transfers, FDI, portfolio investment, financial derivatives.
- Annual facilitation quota (年度便利化额度). The USD 50,000/year/person convenience ceiling for purchases by mainland individuals.
- Designated FX bank (外汇指定银行 / 外汇授权银行). A bank authorised by SAFE to handle FX business.
- Individual FX Business Monitoring System (个人外汇业务监测系统). SAFE's national system tracking individual FX activity.
- Watchlist / Monitoring list (关注名单, guānzhù míngdān). SAFE's list of individuals penalised for FX violations.
- Customer Due Diligence (CDD, 客户尽职调查). The KYC and identity-verification regime applied by banks.
- AML (反洗钱, fǎn xǐqián). Anti-money-laundering.
- CFT (反恐怖融资, fǎn kǒngbù róngzī). Countering the financing of terrorism.
- Tax recordal filing (对外支付税务备案). The act of recording an outbound payment above USD 50,000 with the tax bureau; replaced the older tax-clearance requirement for many payments.
- Source of funds (资金来源). Documentary evidence of how the money was obtained.
- Beneficial owner (受益所有人 / 实际受益人 / 实际控制人). The natural person who ultimately owns or controls an entity or asset.

Banking instruments

- SWIFT. Global interbank messaging network.
- Correspondent bank (代理行). A bank in an intermediary jurisdiction that holds accounts with both the originating and the receiving bank.
- OUR / SHA / BEN. SWIFT charge codes. OUR = sender pays all; SHA = shared; BEN = beneficiary pays all.

- Demand draft (汇票, D/D). Bank-issued instrument the beneficiary presents for payment.
- Telegraphic transfer (T/T). Standard cross-bank wire.
- FX savings account (外汇储蓄账户). RMB-resident's FX-denominated deposit account.
- SWIFT / BIC. 8- or 11-character bank identifier code.

Investor and corporate instruments

- ODI — Outbound Direct Investment (对外直接投资). Equity or controlling investment abroad by a Chinese entity.
- QDII — Qualified Domestic Institutional Investor (合格境内机构投资者). Programme for approved Chinese financial institutions to invest abroad in SAFE-granted quotas.
- QDLP — Qualified Domestic Limited Partner. Pilot for qualified investors to access overseas private-equity funds.
- QDIE — Qualified Domestic Investment Enterprise. Pilot similar to QDLP.
- Stock Connect (沪港通 / 深港通). Cross-boundary trading links (Shanghai-HK and Shenzhen-HK).
- Bond Connect. Cross-boundary bond-trading link.
- Cross-border cash pooling (跨国公司跨境资金集中运营). Multinational's centralised cross-border liquidity-management scheme.
- Intercompany loan (境内机构境外放款). Regulated channel for a Chinese entity to lend to its offshore parent or affiliate.

Personal-status terms

- Hukou (户口). Household-registration system.
- Mainland resident (境内个人). A PRC citizen residing on the mainland.
- Non-mainland individual (境外个人). A foreign national or HK/Macao/Taiwan resident.
- Foreigner's Permanent Residence ID Card (外国人永久居留身份证, "Chinese green card", 中国绿卡). Issued to long-resident foreigners; grants parity with PRC nationals on certain FX items.
- Mainland Travel Permit for HK/Macao Residents (港澳居民来往内地通行证). Travel document for HK/Macao residents.
- Mainland Travel Permit for Taiwan Residents (台湾居民来往大陆通行证 / 台胞证). Travel document for Taiwan residents.

Common verbs and processes

- Cancel hukou (户口注销). Cancellation of household registration; prerequisite for emigration-transfer route.
- Buy FX (购汇). Convert RMB to FX.

- Sell FX (结汇). Convert FX to RMB.
- Wire (跨境汇款). Send abroad.
- File (备案). Record with the relevant authority.
- Approve / 核准. SAFE-branch approval for high-value or capital-account items.
- Sanction list screening. Sanctions and PEP checks performed by the bank on each transaction.

Common abbreviations in PRC documents

- SAFE. State Administration of Foreign Exchange.
- PBOC. People's Bank of China.
- NFRA. National Financial Regulatory Administration.
- CSRC. China Securities Regulatory Commission.
- SAT. State Taxation Administration.
- MOFCOM. Ministry of Commerce.
- NDRC. National Development and Reform Commission.
- NIA. National Immigration Administration.
- ODI. Outbound Direct Investment.
- FDI. Inbound Foreign Direct Investment.
- WFOE. Wholly Foreign-Owned Enterprise.
- EJV. Equity Joint Venture.
- CJV. Cooperative Joint Venture.
- CIT. Corporate Income Tax.
- WHT. Withholding Tax.
- IIT. Individual Income Tax.
- VAT. Value-Added Tax.
- DTA. Double Taxation Agreement.
- CRS. Common Reporting Standard.
- FATCA. Foreign Account Tax Compliance Act (US).
- FBAR. Foreign Bank Account Report (US).
- OFAC. Office of Foreign Assets Control (US Treasury).
- HKMA. Hong Kong Monetary Authority.
- AMCM. Monetary Authority of Macao.
- SDN. Specially Designated National (OFAC's primary sanctions list).
- KYC. Know Your Customer.
- CDD. Customer Due Diligence.
- EDD. Enhanced Due Diligence.
- PEP. Politically Exposed Person.
- SWIFT. Society for Worldwide Interbank Financial Telecommunication.

- BIC. Bank Identifier Code.
- IBAN. International Bank Account Number.
- T/T. Telegraphic Transfer.
- D/D. Demand Draft.
- SPV. Special Purpose Vehicle.
- QDII. Qualified Domestic Institutional Investor.
- QFII. Qualified Foreign Institutional Investor.
- RQFII. Renminbi Qualified Foreign Institutional Investor.

Selected pinyin for frequently-used Chinese terms

| Chinese | Pinyin | English | |---|---|---| | 外汇 | wàihuì | Foreign exchange | | 购汇 | gòuhuì | FX purchase | | 结汇 | jiéhuì | FX sale | | 经常项目 | jīngcháng xiàngmù | Current account | | 资本项目 | zīběn xiàngmù | Capital account | | 便利化额度 | biànlìhuà édu | Facilitation quota | | 关注名单 | guānzhù míngdān | Watchlist / monitoring list | | 个人购汇申请书 | gèrén gòuhuì shēnqǐngshū | Individual FX purchase application | | 完税证明 | wánshuì zhèngmíng | Tax payment certificate | | 税务备案 | shuìwù bèi'àn | Tax recordal | | 反洗钱 | fǎn xǐqián | Anti-money laundering | | 客户尽职调查 | kèhù jìnjìn diàochá | Customer due diligence | | 地下钱庄 | dìxià qiánzhuāng | Underground bank | | 对敲 | duìkǎo | Knock-against (USDT laundering pattern) | | 赡家款 | shànjiā kuǎn | Family support | | 自费留学 | zìfèi liúxué | Self-funded study abroad | | 移民转移 | yímín zhuǎnyí | Emigration transfer | | 继承转移 | jìchéng zhuǎnyí | Inheritance transfer | | 个体工商户 | gètǐ gōngshāng hù | Individual industrial and commercial household | | 户口 | hùkǒu | Hukou (household registration) | | 港澳居民来往内地通行证 | gǎng'ào jūmín láiiwǎng nèidì tōngxíngzhèng | HK/Macao resident travel permit | | 台湾居民来往大陆通行证 | táiwān jūmín láiiwǎng dàlù tōngxíngzhèng | Taiwan resident travel permit | | 外国人永久居留身份证 | wàiguó rén yǒngjiǔ jūliú shēnfènzhèng | Foreigner's Permanent Residence ID Card |

Appendix B — Pre-transfer checklist (universal five-item pack)

This is the universal minimum pack every reader should assemble before initiating any cross-border wire. The pack is the same across reader profiles; what varies is the additional documents required by the bank's documentation matrix for the specific transaction.

The universal five-item pack

1. Identity

- Mainland Chinese citizen: resident ID card (居民身份证).
- Foreign national: passport + residence permit (or Foreigner's Permanent Residence ID Card).
- HK/Macao/Taiwan resident: HK/Macao ID card or Taiwan ID, plus the relevant Mainland

Travel Permit.

Make sure the ID is current and not about to expire. An expired ID will be rejected by the bank.

2. Source of funds

- For employment income: salary slips (3–6 months) + IIT payment record (完税证明).
- For business income: bank statements showing the income deposits + tax payment records.
- For property sale: sale contract + 完税证明 + tax recordal (if above threshold).
- For inheritance: notarised inheritance documents + tax payment records.
- For emigration transfer: source-of-funds history (employment history + savings accumulation).
- For corporate dividend: board resolution + CIT payment record.

3. Purpose evidence

- For tourism: declaration in the 个人购汇申请书.
- For study abroad: acceptance letter + tuition invoice.
- For family support: relationship evidence + recipient's income evidence.
- For medical treatment: mainland diagnosis + overseas treatment quote.
- For salary: employment contract + IIT record.
- For property sale: sale contract + title transfer record.
- For inheritance: notarised inheritance documents.
- For service fees/royalties: service/royalty agreement.

4. Tax status

- 完税证明 (tax payment certificate) for the underlying income or transaction.
- For amounts above USD 50,000 in service-trade or other qualifying categories: tax recordal filing receipt.

5. Destination details

- Beneficiary name (matching recipient account holder exactly).
- Beneficiary account number (IBAN for European destinations).
- Beneficiary bank SWIFT/BIC (8 or 11 characters).
- Beneficiary bank name and address.
- Intermediary bank (if needed).
- Recipient's address (the bank may require this for sanctions screening).

Additional items by reader profile

The universal pack is necessary but not always sufficient. By reader profile:

Chinese citizen, study abroad

- Student's passport + visa.
- Household register showing parent-child relationship.

- Cost-of-attendance letter (if available).

Foreign employee in mainland China

- Residence permit.
- Employment contract.
- IIT payment records.
- Bank statements showing salary deposits.

Property seller (foreign or emigrant)

- Sale contract.
- Title transfer record.
- 完税证明.
- Tax recordal filing receipt (if above USD 50,000).
- Original purchase records (for foreign sellers).

Inheritance recipient (foreign national)

- Notarised inheritance documents (继承公证书).
- Death certificate (notarised translation).
- Family-relationship evidence.
- Property documents of the deceased.
- 完税证明.

Emigrant (hukou cancelled)

- Foreign passport + foreign PR/citizenship.
- Hukou cancellation record.
- Asset inventory + asset-by-asset documentation.
- Source-of-funds evidence for each asset.

Corporate (FIE dividend)

- Board resolution.
- Audited financial statements.
- CIT payment record.
- WHT payment record.
- Tax residency certificate (for treaty-rate claims).
- Tax recordal filing (if above USD 50,000).

Corporate (service fee / royalty)

- Service / royalty agreement.
- Arm's-length-pricing analysis.
- WHT payment record.
- Tax recordal filing (if above USD 50,000).

Outbound direct investor (company)

- MOFCOM certificate.
- NDRC filing/approval.
- SAFE ODI registration.
- Investment agreement.
- Source-of-funds documentation.

Retention

The reader should retain copies of every document and form for at least 5 years. Recommended:

- Every 个人购汇申请书 and remittance application form.
- Every tax recordal filing and tax payment record.
- Every wire reference number and bank receipt.
- Every supporting document (sale contract, employment contract, etc.).

The retention period is not formally specified for personal FX records in mainland China, but 5 years is a common practice and aligns with SAFE's enforcement statute of limitations for most violations.

The bank interview

Before initiating any non-routine transaction, the reader should consider visiting the bank in person and asking:

1. What is the documentation requirement for my transaction type? 2. What is the bank's CDD threshold for cross-border wires? 3. What is the bank's process for above-quota documented transactions? 4. What is the bank's expected processing time? 5. What is the bank's charge code default (OUR / SHA / BEN)? 6. Does the bank have any specific requirements for my destination (correspondent bank, intermediary bank)?

These questions give the reader a clear picture before committing.

The verification routine

Before initiating the transaction, the reader should verify:

1. The current SAFE rule on the SAFE portal (or branch publication). 2. The current bank's documentation matrix on the bank's product page. 3. The recipient's bank details with the recipient. 4. The recipient's destination-side reporting requirements (if known). 5. The reader's facilitation quota status (if applicable).

The checklist before pressing "send"

- [] I have the universal five-item pack.

- [] I have the additional items for my reader profile.
- [] I have verified the bank's documentation matrix for my transaction type.
- [] I have verified the recipient's bank details with the recipient.
- [] I have checked my quota status (if applicable).
- [] I have completed the tax recordal filing (if applicable).
- [] I have selected the correct charge code.
- [] I have estimated the total cost.
- [] I have allowed sufficient time.
- [] I have a plan for the destination-side reporting.

If you cannot tick all ten, do not press "send."

Appendix C — Document pack templates by reader profile

This appendix gives document-pack templates for the most common reader profiles. The packs are intended as starting points; the bank's documentation matrix for the specific transaction type is authoritative.

Template 1 — Mainland-resident parent, study-abroad tuition

For the first year

1. Resident ID card of the parent (remitter). 2. Resident ID card or birth certificate of the student (if also a mainland resident). 3. Student's passport + Chinese visa + overseas student visa. 4. Acceptance letter (录取通知书) from the overseas institution. 5. Tuition invoice for the first academic year. 6. If applicable: deposit invoice. 7. Household register (户口簿) showing parent-child relationship. 8. For pre-sessional or language programmes: equivalent documentation. 9. Notarised translation of any non-Chinese document.

For subsequent years

1. Resident ID card of the parent. 2. Student's current student ID or enrollment confirmation. 3. Current-year tuition invoice. 4. Household register (if changed since first application).

For living expenses

1. Acceptance letter (typically one-time). 2. Cost-of-attendance letter from the institution (or self-prepared budget letter, where accepted by the bank). 3. Recent tuition payment record (proof of enrollment continuation).

Template 2 — Mainland-resident parent, family support

1. Resident ID card of the remitter. 2. Recipient's ID (passport, residence document). 3. Relationship evidence (household register, birth certificate, marriage certificate). 4. Recipient's

income evidence (bank statements, employment letter). 5. Brief letter explaining the support arrangement.

Template 3 — Mainland resident, overseas medical treatment

1. Resident ID card of the patient. 2. Resident ID card of the remitter (if different from patient). 3. Mainland hospital diagnosis recommending overseas treatment. 4. Letter from overseas institution confirming admission. 5. Treatment cost estimate or invoice from the overseas institution. 6. For attendant expenses: relationship evidence + brief letter.

Template 4 — Foreign national, salary repatriation

1. Passport. 2. Residence permit (work permit or other). 3. Employment contract. 4. Salary slips (3–6 months). 5. IIT payment record (完税证明 / 个人所得税证明). 6. Bank statements showing salary deposits. 7. Recipient bank details. 8. For year-end bonus or one-off payments: separate payment record + IIT withholding record.

Template 5 — Foreign national, property-sale proceeds

1. Passport. 2. Sale contract. 3. Property transfer registration. 4. 完税证明 (tax payment certificate). 5. Tax recordal filing receipt (if remittance above USD 50,000). 6. Original purchase records (showing original inbound wire). 7. Recipient bank details. 8. Power of attorney + agent's ID, if applicable.

Template 6 — Foreign national, inheritance

1. Passport. 2. Notarised inheritance documents (继承公证书). 3. Death certificate (notarised translation). 4. Family-relationship evidence. 5. Property documents of the deceased. 6. Notarised translation of any non-Chinese document. 7. Sale contract + 完税证明 + tax recordal (if property must be sold before remittance). 8. Recipient bank details.

Template 7 — Emigrant (hukou cancelled), residual assets

1. Foreign passport + foreign PR / citizenship certificate. 2. Hukou cancellation record (户口注销证明). 3. Marriage certificate (if spouse is included). 4. Asset-by-asset documentation:

- For real estate: property certificate + sale contract + 完税证明.
- For bank deposits: account statements.
- For securities: account statements + sale records.

5. Source-of-funds documentation for each asset. 6. Tax recordal filing receipt (if applicable). 7. Recipient bank details.

Template 8 — FIE, dividend remittance

1. Board resolution. 2. Audited financial statements. 3. CIT payment record. 4. Statutory reserve allocation evidence. 5. Dividend calculation worksheet. 6. WHT payment record. 7. Tax residency certificate of the foreign parent (for treaty-rate claims). 8. Tax recordal filing receipt (if above USD 50,000). 9. Recipient bank details.

Template 9 — FIE / Chinese company, service fee or royalty

1. Service or royalty agreement. 2. Arm's-length-pricing analysis. 3. WHT payment record. 4. Tax recordal filing receipt (if above USD 50,000). 5. Invoice issued to the offshore recipient. 6. Recipient bank details.

Template 10 — FIE / Chinese company, intercompany loan

1. SAFE registration of the loan. 2. Loan agreement. 3. Arm's-length-pricing analysis (for interest rate). 4. Latest annual report (showing the equity). 5. WHT payment record (on interest payments). 6. Tax recordal filing receipt (if applicable). 7. Recipient bank details.

Template 11 — Chinese company, outbound direct investment (ODI)

1. Board resolution. 2. MOFCOM 企业境外投资证书. 3. NDRC filing or approval. 4. SAFE ODI registration. 5. Investment agreement. 6. Source-of-funds documentation. 7. Tax clearance evidence. 8. Recipient bank details.

Template 12 — Potential Circular 37 / resident-individual outbound-investment matter

1. Foreign passport + foreign PR/citizenship certificate (if applicable). 2. Hukou status confirmation (active or cancelled). 3. SPV registration documents. 4. Specialist PRC counsel's written analysis of Order No. 837, any later resident-individual measures, Circular 37 eligibility, and every other competent-authority requirement. Do not incorporate or remit on this template alone.^{[84][86]} 5. Investment agreement. 6. Source-of-funds documentation. 7. Tax clearance evidence. 8. Recipient bank details.

Format and retention

All documents should be:

- Originals where possible; notarised copies where originals cannot be surrendered.
- Translated into Chinese where the original is in another language; translation should be notarised.

- Apostilled or consular-legalised where the document was executed abroad and the bank or SAFE requires it.
- Recent — within the past 3–6 months for most certificates; bank statements typically within 1 month.

Retain copies of every document and form for at least 5 years.

Appendix D — Bank interview script

This appendix gives a structured script for the bank visit. The script is for non-routine transactions; for routine monthly wires, the bank's mobile-app workflow is sufficient.

Before the visit

1. Identify the bank officer. If the reader has a relationship manager (客户经理), call ahead and book an appointment. Otherwise, visit the bank's preferred-FX-service branch. 2. Pre-fill the application form. Most banks publish the 个人购汇申请书 or remittance-application form on their website. Pre-fill what you can. 3. Assemble the document pack for your transaction type (Appendix C). 4. Identify the recipient's bank details (account number, SWIFT/BIC, address).

The opening

> "Good morning/afternoon. I'd like to initiate a cross-border remittance [or purchase FX, or apply for an above-quota documented transfer]. My transaction type is [study abroad / salary / property sale / etc.], and I'd like to confirm the documentation requirements before I submit the application."

Key questions to ask the officer

About documentation

1. "What is the documentation requirement for my transaction type?" — get the bank's matrix in writing if possible. 2. "Does my [document X] satisfy the requirement, or do I need additional [notarisation, translation, apostille]?" 3. "Is there any item I'm missing?"

About timing

4. "What is the bank's expected processing time for this transaction?" 5. "Are there any documentary reviews that could delay the transaction?" 6. "When can I expect the wire to arrive at the recipient's bank?"

About cost

7. "What is the bank's outbound wire fee for this transaction?" 8. "What is the bank's default charge code (OUR / SHA / BEN)?" 9. "What is the bank's posted exchange rate for the

FX purchase?" 10. "Can I use OUR for this transaction to ensure the recipient gets the full amount?"

About CDD

11. "What is the bank's CDD threshold for cross-border wires?" 12. "Do I need to provide additional documentation for this transaction (given the amount / destination / frequency)?"

About the destination

13. "Is the recipient's bank in your correspondent network, or do I need to specify an intermediary bank?" 14. "Are there any high-risk-corridor concerns with the destination?"

About escalation

15. "If the wire is delayed or held, who should I contact?" 16. "What is the bank's complaint process if I believe the wire has been processed incorrectly?"

The closing

17. "Before I submit, please confirm: I need to provide [list of documents], the wire will be processed in [X business days], the total cost is [RMB/Y/USD ____], and the recipient will receive approximately [amount in destination currency]." 18. "Please give me a written confirmation of the transaction details when I submit."

After the wire is sent

19. Ask the bank officer for the SWIFT reference number and the bank's internal reference. 20. Track the wire through the bank's mobile app or by calling the bank. 21. Confirm with the recipient that the funds have been received. 22. Retain all receipts and reference numbers for at least 5 years.

What to do if the bank refuses

If the bank refuses the transaction, the reader should ask:

1. "What is the specific reason for the refusal?" 2. "What documentation would resolve the issue?" 3. "Is there a manager or compliance officer I can speak with?" 4. "If I believe the refusal is in error, what is the bank's formal complaint process?"

If the bank persists in refusal, the reader can escalate to the bank's customer service hotline, the NFRA complaint channel, or engage a lawyer.

Notes for the reader

- Be polite. Bank officers are more helpful to polite customers.
- Be patient. The bank's matrix is not personal.
- Be truthful. False declarations will be detected and will trigger enforcement.

- Be organised. The reader who arrives with a complete document pack is processed more quickly.
- Be realistic. Some transactions are not lawful under the current rules; the reader who insists on an unlawful transaction is being unreasonable.

A note on bank officers and language

For non-Mandarin-speaking readers, consider:

- Bringing a Mandarin-speaking friend or interpreter.
- Using an international bank's branch (HSBC, Standard Chartered, Citibank).
- Engaging a tax advisor or lawyer who can attend with you.

A note on bank-internal hierarchies

Some bank officers have more authority than others:

- The branch counter officer processes routine transactions.
- The branch's FX / trade services team handles larger transactions.
- The branch manager can override some refusals.
- The bank's headquarters compliance team makes final calls on unusual cases.

The reader who is told "no" by the counter officer may find a different answer at a higher level. The reader who is told "no" at the highest level should accept the answer or escalate externally.

Appendix E — Verifying a source on SAFE and PBOC portals

This appendix gives a brief orientation to the SAFE and PBOC portals so the reader can verify rules directly.

The SAFE portal

The SAFE portal at ``www.safe.gov.cn`` is the authoritative source for FX rules. The English portal at ``www.safe.gov.cn/en/`` has selected translations.

Structure

The SAFE portal has these main sections (in Chinese; English has fewer):

- 首页 (Home): Latest news, data releases.
- 政策法规 (Policies and regulations): SAFE-issued rules.
- 业务咨询 (Business consultation): Q&A, interpretation.

- 统计数据 (Statistical data): Reserve data, settlement data.
- 行政许可 (Administrative licensing): Application processes.
- 公开信息 (Open information): Catalog of effective regulations, violation bulletins.

Where to find what

- Current operative FX rules. Go to 政策法规 → 个人外汇业务 / 资本项目外汇业务.
- Catalog of effective FX regulations. Go to 公开信息 → 现行有效法规目录. SAFE Xiamen published a current catalog in August 2025. [8]
- Recent violation bulletins. Go to 公开信息 → 外汇违规案例通报.
- Application procedures for SAFE-branch approvals. Go to 行政许可 → 行政审批服务指南.

Reading a SAFE circular

A SAFE circular typically has this structure:

1. Issu number. E.g. 汇发〔2024〕12号. The "〔2024〕" indicates the year of issuance. The "12号" is the sequence number within the year. 2. Issuing body. SAFE headquarters or a specific branch. 3. Title. A short summary of the rule. 4. Recipient. The entities to which the rule applies (e.g. "各外汇指定银行"). 5. Body. The substantive rules; numbered articles. 6. Effective date. When the rule takes effect. 7. Interpretation authority. Which SAFE office interprets the rule in case of doubt.

To verify a rule:

- Search the SAFE portal for the issuance number.
- Confirm the rule is still operative (check for amendments or supersession notices).
- Read the operative articles carefully.
- Cross-check with the SAFE catalog of effective FX regulations.

Reading the SAFE catalog of effective regulations

The SAFE catalog (e.g. SAFE Xiamen, August 2025) is a list of all operative FX regulations as of a date. It is a convenient way to find:

- Which rules are still in force.
- Which rules have been superseded.
- Which rules have been amended.

To use the catalog:

- Find the catalog PDF (often on the SAFE branch websites).
- Identify the rules relevant to your transaction type.
- Search the SAFE portal for each rule's full text.

The PBOC portal

The PBOC portal at `www.pbc.gov.cn` is the authoritative source for monetary, AML, and cash rules.

Structure

- 首页 (Home): Latest news, monetary policy.
- 政策研究 (Policy research): PBOC publications.
- 政策法规 (Policies and regulations): PBOC-issued rules.
- 货币政策 (Monetary policy): Policy decisions.
- 金融服务 (Financial services): Industry guidance.
- 统计数据 (Statistical data): Money supply, interest rates.

Where to find what

- AML Law and CDD rules. Go to 政策法规 → 反洗钱 / 金融机构客户尽职调查.
- Monetary policy decisions. Go to 货币政策 → 货币政策委员会.
- Cross-border payment rules. Go to 金融服务 → 跨境金融服务.

Reading a PBOC notice

A PBOC notice typically has this structure:

1. Notice number. E.g. 银发〔2025〕XX号. "银发" indicates PBOC issuance. The "〔2025〕" is the year; "XX号" is the sequence number. 2. Issuing body. PBOC headquarters, sometimes jointly with NFRA/CSRC. 3. Title. Short summary. 4. Recipient. Entities affected. 5. Body. Substantive rules. 6. Effective date.

The procedure to verify is similar to SAFE: search the PBOC portal for the issuance number; confirm the rule is operative; read the operative provisions.

The NFRA portal

NFRA at `www.nfra.gov.cn` covers bank and insurer supervision. For cross-border wires, NFRA's role is in the joint CDD rules (with PBOC and CSRC).

The SAT portal

SAT at `www.chinatax.gov.cn` covers tax rules. For the reader's purposes, the key sections:

- 税收政策 (Tax policy): SAT announcements and rules.
- 服务贸易对外支付税务备案 (Service trade outbound payment tax recordal): The tax recordal filing process.

The Customs portal

Customs at `www.customs.gov.cn` covers border cash declaration. For the reader's purposes:

- 进出境物品 (Entry-exit items): Cash declaration rules.

A note on translation

Many PRC rules are issued only in Chinese; the English translations (where they exist) are unofficial. The reader should:

- Use the Chinese original for authoritative reading.
- Use English translations for orientation.
- Engage a translator or lawyer if Chinese is not accessible.

This is also a reason to consult a mainland lawyer for high-stakes transactions.

The verification routine

A practical routine:

1. Identify the rule's citation (e.g. 汇发〔2024〕12号 or 银发〔2025〕XX号). 2. Search the relevant portal for the citation. 3. Confirm the rule is operative (check for amendments). 4. Read the operative articles. 5. Cross-check with the relevant SAFE catalog. 6. Confirm with the bank's product page. 7. Engage a lawyer if interpretation is needed.

The routine takes 15–30 minutes and saves weeks of delay.

Appendix F — Frequently-used Chinese terms in full

This appendix collects frequently-used Chinese terms (in full) with English translations, useful for the reader engaging with mainland documents or service providers. Pinyin and explanations are provided for clarity.

Authorities and regulators

| Chinese | Pinyin | English | Notes | |---|---|---|---| | 国家外汇管理局 | guójiā wàihuì guǎnlǐ jú | State Administration of Foreign Exchange (SAFE) | The FX regulator | | 中国人民银行 | zhōngguó rénmin yínháng | People's Bank of China (PBOC) | Central bank | | 国家金融监督管理总局 | guójiā jīnróng jiāndū guǎnlǐ zǒngjú | National Financial Regulatory Administration (NFRA) | Bank and insurer supervisor (formerly CBIRC) | | 中国证券监督管理委员会 | zhōngguó zhèngquàn jiāndū guǎnlǐ wěiyuánhui | China Securities Regulatory Commission (CSRC) | Securities regulator | | 国家税务总局 | guójiā shuìwù zǒngjú | State Taxation Administration (SAT) | Tax authority | | 商务部 | shāngwù bù | Ministry of Commerce (MOFCOM) | ODI certificates | | 国家发展和改革委员会 | guójiā fāzhǎn hé gǎigé wěiyuánhui | National Development and Reform Commission (NDRC) | ODI project approvals | | 国家移民管理局 | guójiā yímín guǎnlǐ jú | National Immigration Administration (NIA) | Residence permits; FX guidance | | 海关总署 | hǎiguān zǒngshǔ | General Administration of Customs | Border cash rules | | 国家市场监督管理总局 | guójiā shìchǎng jiāndū guǎnlǐ zǒngjú | State Administration for Market Regulation (SAMR) |

Documents and certificates

| Chinese | Pinyin | English | Notes | |---|---|---|---| | 居民身份证 | jūmín shēnfèn zhèng | Resident ID card | Mainland Chinese citizens | | 户口簿 | hùkǒu bù | Household register | Hukou book | | 户口注销证明 | hùkǒu zhōngxiāo zhèngmíng | Hukou cancellation record | For emigration transfer | | 护照 | hùzhào | Passport | Foreign or mainland | | 外国人永久居留身份证 | wàiguó rén yǒngjiǔ jūliú shēnfèn zhèng | Foreigner's Permanent Residence ID Card | The "Chinese green card" | | 港澳居民来往内地通行证 | gǎng'ào jūmín láiwǎng nèidì tōngxíngzhèng | Mainland Travel Permit (HK/Macao) | | 台湾居民来往大陆通行证 | táiwān jūmín láiwǎng dàlù tōngxíngzhèng | Mainland Travel Permit (Taiwan) | 台胞证 | | 完税证明 | wánshuì zhèngmíng | Tax payment certificate | 完税凭证 = tax payment voucher | | 税收证明 | shuìshōu zhèngmíng | Tax certificate (specific) | For inheritance / emigration transfers | | 个人所得税证明 | gèrén suǒdeshuì zhèngmíng | IIT payment record | 完税证明 for IIT | | 不动产权证书 | búdòngchǎn quán shūrènshū | Real-estate title certificate | 不动产证书 | | 房产证 | fángchǎn zhèng | Property certificate | Older term | | 继承公证书 | jìchéng gōngzhèng shū | Notarised inheritance certificate | From a mainland notary | | 个人财产对外转移外汇业务申请表 | gèrén cáichǎn duìwài zhuǎnyí wàihuì yèwù shēnqǐng biǎo | Personal Property Outward Transfer Application Form | SAFE's standard form | | 个人购汇申请书 | gèrén gòuhuì shēnqǐng shū | Individual FX Purchase Application Form | Required for each FX purchase | | 境外汇款申请书 | jìngwài huìkuǎn shēnqǐng shū | Outbound Remittance Application Form | Required for each cross-border wire | | 对外支付税务备案表 | duìwài zhīfù shuìwù bèiàn biǎo | Tax Recordal Filing Form for Outbound Payments | For service-trade payments above USD 50,000 | | 提取外币现钞备案表 | tíqǔ wàibì xiàncǎo bèiàn biǎo | FX Cash Withdrawal Filing Form | For cash withdrawals above threshold | | 企业境外投资证书 | qǐyè jìngwài tóuzī zhèngshū | Enterprise Overseas Investment Certificate | MOFCOM | | 境外投资项目备案通知书 | jìngwài tóuzī xiàngmù bèiàn tōngzhī shū | Overseas Investment Project Filing Notification | NDRC | | 资本项目外汇业务核准件 | zīběn xiàngmù wàihuì yèwù hézhǔn jiàn | Capital Account FX Business Approval | SAFE's approval document |

Concepts and rules

| Chinese | Pinyin | English | Notes | |---|---|---|---| | 外汇 | wàihuì | Foreign exchange | | 购汇 | gòuhuì | FX purchase | | 结汇 | jiéhuì | FX sale | | 跨境汇款 / 汇出境外 | kuàijìng huìkuǎn / huì chū jìngwài | Cross-border remittance | | 经常项目 | jīngcháng xiàngmù | Current account | | 资本项目 | zīběn xiàngmù | Capital account | | 年度便利化额度 | niándù biànlìhuà édu | Annual facilitation quota | | 5万美元额度 | wǔ wàn měiyuán édu | USD 50,000 quota | | 关注名单 | guānzhù míngdān | Watchlist / monitoring list | | 风险提示函 | fēngxiǎn tǐshì hán | Risk warning letter | | 外汇指定银行 | wàihuì zhīdìng yínháng | Designated FX bank | | 个人外汇业务监测系统 | gèrén wàihuì yèwù jiāncè xìtǒng | Individual FX Business Monitoring System | | 反洗钱 | fǎn xǐqián | Anti-money-laundering (AML) | | 反恐怖融资 | fǎn kǒngbù róngzī | Counter-terrorist financing (CFT) | | 客户尽职调查 | kèhù jìnjìn diàochá | Customer due diligence (CDD) | | 真实合规性审核 | zhēnshí héguīxíng shěnhé | Truthfulness-and-compliance review | | 真实性凭证 | zhēnshíxìng

píngzhèng | Real-transaction documentation | | 跨境对敲 | kuàijìng duì kǎo | Cross-border "knock-against" (USDT pattern) | | 地下钱庄 | dìxià qiánzhuāng | Underground bank | | 非法买卖外汇 | fēifǎ mǎimài wàihuì | Illegal FX trading | | 非法套汇 | fēifǎ tàohuì | Illegal arbitrage (FX) | | 逃汇 | táohuì | FX evasion | | 资金来源 | zījīn láiyuán | Source of funds | | 资金来源证明 | zījīn láiyuán zhèngmíng | Source-of-funds certificate | | 受益所有人 | shòuyì suǒyǒu rén | Beneficial owner | | 实际控制人 | shíjì kòngzhì rén | Actual controller |

Transaction types

| Chinese | Pinyin | English | |---|---|---| | 因私旅游 | yīnsī lǚyóu | Private travel | | 探亲 | tànqīn | Visiting relatives | | 自费留学 | zìfèi liúxué | Self-funded study abroad | | 境外就医 | jìngwài jiùyī | Overseas medical treatment | | 培训 | péixùn | Training | | 咨询 | zīxún | Consulting | | 赡家款 | shànjiā kuǎn | Family support (to relatives abroad) | | 职工报酬 | zhígōng bàochóu | Salary / employee compensation | | 境外投资收益 | jìngwài tóuzī shōuyì | Overseas investment income | | 保险外汇收入 | bǎoxiǎn wàihuì shōurù | Insurance FX income | | 专有权利使用和特许收入 | zhuānyǒu quánlì shǐyòng hé tèxǔ shōurù | Royalties and IP licensing income | | 捐赠 | juānzèng | Donation | | 服务贸易 | fúwù mào yì | Service trade | | 货物贸易 | huòwù mào yì | Goods trade | | 移民财产转移 | yímín cáichǎn zhuǎnyí | Emigration property transfer | | 继承财产转移 | jìchéng cáichǎn zhuǎnyí | Inheritance property transfer | | 对外直接投资 | duìwài zhíjiē tóuzī | Outbound direct investment (ODI) | | 合格境内机构投资者 | hégé jìngnèi jīgòu tóuzī zhě | Qualified Domestic Institutional Investor (QDII) | | 跨国公司跨境资金集中运营 | kuàguó gōngsī kuàijìng zījīn jízhōng yùnyíng | Cross-border cash pooling |

Banking terms

| Chinese | Pinyin | English | |---|---|---| | 代理行 | dàilǐ háng | Correspondent bank | | 电汇 | diànhuì | Telegraphic transfer (T/T) | | 汇票 | huìpiào | Demand draft (D/D) | | 全额到账 | quán'é dào zhàng | "Full amount received" (OUR charges) | | 共同承担 / 收款人承担 | gòngtóng chéngdān / shōukuǎn rén chéngdān | SHA / BEN charges | | 现汇账户 | xiànhuì zhàngù | FX savings account (remittance-based) | | 现钞账户 | xiàncāo zhàngù | FX cash account (cash-based) | | 外汇储蓄账户 | wàihuì chǔxù zhàngù | FX savings account | | 外汇结算账户 | wàihuì jiésuàn zhàngù | FX settlement account |

Enforcement terms

| Chinese | Pinyin | English | |---|---|---| | 关注名单管理 | guānzhù míngdān guǎnlǐ | Watchlist management | | 列入关注名单 | lièrù guānzhù míngdān | Place on the watchlist | | 取消关注名单 | qǔxiāo guānzhù míngdān | Remove from the watchlist | | 罚款 | fákuǎn | Fine | | 没收违法所得 | mòshōu wéifǎ suǒdé | Confiscation of illegal gains | | 征信系统 | zhèngxìn xìtǒng | Credit reference system | | 监管处罚 | jiānguǎn chǔfá | Regulatory penalty |

This appendix should be used as a reference when reading SAFE, PBOC, NFRA, SAT, MOFCOM, or NDRC documents in Chinese. The reader who masters these terms can navigate

the rules directly.

Sources

- [1] [State Administration of Foreign Exchange (SAFE) - Official English Portal](<https://www.safe.gov.cn/en>) [2] [Bank of China - Individual Foreign Exchange Purchasing (EN)](https://www.boc.cn/en/pbservice/pb4/200806/t20080626_1323972.html) [4] [HSBC China - Individual Foreign Exchange Services Guide for Non-Chinese Mainland Individuals](<https://www.hsbc.com.cn/content/dam/hsbc/cn/docs/foreign-exchange/personal-foreign-exchange-business-handling-guide-en.pdf>) [5] [National Immigration Administration (PRC) - Monetary Limits / Foreign Currency Exchange](<https://en.nia.gov.cn/n147428/n147498/n147770/n147895/c158995/content.html>) [6] [SAFE - Official Answers Media Questions on Regulating Large-Sum Overseas Cash Withdrawals with Bank Cards](<https://www.safe.gov.cn/en/2017/1230/1391.html>) [7] [SAFE Tianjin - 个人外汇管理办法实施细则 (Implementing Rules for Individual FX Management)](<https://www.safe.gov.cn/tianjin/2024/0430/2464.html>) [8] [SAFE - Catalog of Effective FX Management Regulations (as of 30 June 2025)](<https://www.safe.gov.cn/xiamen/file/file/20250819/e100372828e246bd98aaee7164bd6b78.pdf>) [9] [China CITIC Bank - Individual Foreign Exchange Purchase](<https://www.citicbank.com/global/introduce/waihui/gerengouhui>) [10] [ICBC - Individual Foreign Exchange Purchase Guide (Study Abroad etc.)](<https://m.icbc.com.cn/page/721853586139922480.html>) [11] [HSBC China - International Education Payment System](<https://www.hsbc.com.cn/international/products/education-payment>) [12] [Metrobank (首都银行) - 留学用汇政策解读及购付汇操作指引 (30 June 2026)](https://www.metrobank.com.cn/website_cn/financial_knowledge/financial-education-details-20260630184513694425856.html) [13] [Bank of China - 金融知识普及：外汇知识 (FX Knowledge Supplement)](https://www.boc.cn/custserv/cs7/cs72/201909/t20190902_17043693.html) [15] [Shanghai Government FAQ - Can I buy foreign exchange using the proceeds from selling my house?](<https://english.shanghai.gov.cn/en-FAQHome/20240204/b4426264395b4fa3adfde73778c94ad4.html>) [16] [个人财产对外转移售付汇管理暂行办法 (2004 PBOC Order #16)](<https://www.shanghaiinvest.com/cn/viewfile.php?id=2705>) [17] [SAFE Hebei - 资本项目外汇资金汇出境外的购付汇核准服务指南](<https://www.safe.gov.cn/hebei/file/file/20220208/01d3f1249e3f4dd0aa13fadd8acb280a.pdf>) [19] [21世纪经济报道 - 跨境汇款5000元要核实身份，不影响个人5万美元年度换汇额度 (5 Dec 2025)](<https://www.21jingji.com/article/20251205/herald/b254b605f3fdb6150d57fa0f25a2312a.html>) [21] [GSun Consulting - 5万美金购汇全流程详解 (Procedural walkthrough, Chinese)](<https://www.gsunconsulting.com/blog/%E5%B9%B4%E5%BA%95%E5%A4%96%E6%B1%87%E9%A2%9D%E5%BA%A6%5E4%B8%87%E7%BE%8E%E9%87%91%E9%A9%AC%E4%B8%8>

A%E6%B8%85%E9%9B%B65%E4%B8%87%E7%BE%8E%E9%87%91%E8%B4%AD%E6%B1%87%E5%85%A8%E6%B5%81%E7%A8%8B%E8%AF%A6%E8%A7%A3) [23] [Wikipedia - Qualified Domestic Institutional Investor (QDII)](https://en.wikipedia.org/wiki/Qualified_Domestic_Institutional_Investor) [24] [Investopedia - QDII Overview](<https://www.investopedia.com/terms/q/qdii.asp>) [25] [SAFE - QDII Investment Quotas Granted by SAFE](<https://www.safe.gov.cn/en/2019/0731/1537.html>) [26] [South China Morning Post - Beijing Accelerates Overseas Quota Issuance](<https://www.scmp.com/economy/policy/article/3360911/beijing-accelerates-overseas-quota-issuance-widen-investor-access-global-markets>) [27] [Caixin Global - China Plans New QDII Quotas (Jul 2026)](<https://www.caixinglobal.com/2026-07-18/china-plans-new-qdii-quotas-to-expand-retail-access-to-overseas-assets-102465534.html>) [28] [Bloomberg - China Increases QDII Quota by Most Since 2021 (Mar 2026)](<https://www.bloomberg.com/news/articles/2026-03-30/china-adds-quota-for-overseas-investment-by-most-since-2021>) [29] [Reuters - China Central Bank Vows Crackdown on Virtual Currency, Flags Stablecoin Concerns (Nov 2025)](<https://www.reuters.com/sustainability/boards-policy-regulation/chinas-central-bank-vows-crackdown-virtual-currency-flags-stablecoin-concerns-2025-11-29>) [30] [CCN - Chinese Police Stop Illegal .9B Tether Banking Ring](<https://www.ccn.com/news/crypto/chinese-police-stop-illegal-tether-banking-ring-criminal-s-usdt>) [31] [The Block - China Busts .9B Underground Banking Operation Using USDT](<https://www.theblock.co/post/294777/china-busts-1-9-billion-underground-banking-operation-using-usdt>) [32] [Yahoo/Cryptonews - China Jails Five for 66M Crypto Money Laundering Scheme](<https://finance.yahoo.com/news/china-jails-five-166m-crypto-091732963.html>) [33] [中国侨网 - SAFE 违规案例点名重罚 (Watchlist and Penalties)](<http://www.chinaqw.com/hqhr/2019/05-25/223472.shtml>) [34] [SAFE Shenzhen - 关于外汇违规案例的通报 (May 2019)](<https://www.safe.gov.cn/shenzhen/2019/0522/477.html>) [35] [21世纪经济报道 - 外汇局通报15起违规案例 (Dec 2018)](https://m.21jingji.com/article/20181206/herald/9676a01f4be17c05f798906b58026500_zaker.html) [36] [北京涉外律师网 - 外籍华人继承境内遗产如何汇出](<http://www.cnbjlawyers.com/html/Marriage/202404231137.html>) [37] [众成清泰律师事务所 - 继承财产转移全攻略 (Aug 2025)](http://www.zclawyer.com/news_details/474.html) [38] [VISAPEDIA - 巧用投资项目合法实现超出5万限额汇出中国资产](<https://www.e2forchinese.com/content/26.html>) [39] [China Briefing - Repatriating Profits from China](<https://www.china-briefing.com/doing-business-guide/china/taxation-and-accounting/profit-repatriation-in-china>) [40] [Cathy Tax - Dividend Repatriation from China Guide](<https://cathytax.com/accounting/dividend-repatriation-from-china-tax-safe-compliance-guide>) [41] [MSA Asia - China Profit Repatriation](<https://msadvisory.com/repatriating-profits-out-of-china-distributing-dividends>) [42] [Acclime - Profit Repatriation: Transferring money out of China](<https://china.acclime.com/guides/profit-repatriation>) [44] [FDI China - How to

Repatriate Money From China](<https://fdichina.com/blog/repatriate-money-from-china>) [45] [China Survival Kit - Moving Money In & Out of China: A Guide for Expats](<https://chinasurvivalkit.com/blog/expat-money-transfer-china-guide>) [48] [Expat Focus - China Selling Property Guide](<https://www.expatfocus.com/china/guide/china-selling-property>) [49] [Scout Real Estate - How to Legally Transfer Assets out of China](<https://scout-realestate.com/how-to-legally-transfer-assets-out-of-china>) [57] [SAFE - PBOC and SAFE Further Optimize Multinational Cash Pooling Pilot (Dec 2024)](<https://www.safe.gov.cn/en/2024/1217/2275.html>) [58] [Papaya Global - Understanding Intermediary Bank Fees for International Wire Transfers](<https://www.papayaglobal.com/blog/understanding-intermediary-bank-fees-for-international-wire-transfers>) [59] [OFX - Wire Transfer Fees Comparison](<https://www.ofx.com/en-us/blog/wire-transfer-fees>) [60] [Wise - How to Avoid International Wire Transfer Fees](<https://wise.com/us/blog/international-wire-transfer-fees>) [61] [Flywire - International Wire Transfers from China (common questions)](<https://help.flywire.com/hc/en-us/articles/35044852848285-Common-Questions-International-Wire-Transfers-from-China>) [62] [HSBC US - International Payments / Wire Transfers](<https://www.us.hsbc.com/international-banking/international-payments>) [64] [FinCEN - Advisory on Chinese Money Laundering Networks](<https://www.fincen.gov/news/news-releases/fincen-issues-advisory-and-financial-trend-analysis-chinese-money-laundering>) [66] [Junhe Law - China's Reaction to the Crypto Frenzy](<https://www.junhe.com/legal-updates/2902>) [67] [Council on Foreign Relations - Why China Is Spooked by Dollar Stablecoins](<https://www.cfr.org/articles/why-china-spooked-dollar-stablecoins-and-how-it-will-respond>) [69] [Ecovis Focus China - SAFE/SAT Announcement No. 40 Waives Tax Clearance for Payroll Remittances](<https://www.ecovis.com/focus-china/chinas-new-foreign-exchange-rules-waive-tax-clearance-for-payroll-remittances>) [70] [International Tax Review - China Tax Clearance Procedure Overhauled](<https://www.internationaltaxreview.com/article/2a68rfy5bw2ycq17lrqoz/china-tax-clearance-procedure-for-certain-outbound-remittances-overhauled>) [71] [China Briefing - Tax Filing for Outbound Payments in China](<https://www.china-briefing.com/news/tax-filing-for-outbound-payments-in-china-a-complete-guide>) [72] [Shenzhen Government - Tax Record Filing for Outbound Payments (Trade in Services)](https://www.sz.gov.cn/en_szgov/services/enterprise/taxation/content/post_11478079.html) [73] [Dah Sing Bank (China) - 个人外汇业务十问十答 (Individual FX Q&A)](https://www.dahsing.com.cn/portal/zh_CN/zxzx/20210430/2245.html) [74] [Junzejun - 境外保险与境内信托衔接：资金出境路径与2026年监管新规](<https://www.junzejun.com/Publications/09503437ca2c63-1.html>) [75] [Norton Rose Fulbright - SAFE Eases Control over FDI and Cross-Border Capital Account Transactions](<https://www.nortonrosefulbright.com/en/knowledge/publications/7ece4ae5/safe-further-eases-control-over-fdi-and-cross-border-capital-account-transactions>) [76] [Terra Advisory - 2026 China Enterprise ODI Filing

Guide](https://terraadvisoryservices.com/2026-%E5%B9%B4%E4%B8%AD%E5%9B%BD%E4%B
C%81%E4%B8%9Aodi%E5%A4%87%E6%A1%88%E6%8C%87%E5%8D%97%EF%BC%9A%E5%95
%86%E5%8A%A1%E9%83%A8%E3%80%81%E5%8F%91%E6%94%B9%E5%A7%94%E3%80%81
E5%A4%96%E7%AE%A1%E5%B1%80) [77] [SAFE Xiamen - 境外直接投资管理业务办事指南 (ODI
Process
Guide)](https://www.safe.gov.cn/xiamen/file/file/20200608/5f80cb5fe34045aea53483563e
a74a09.pdf) [79] [CCB - 个人外汇管理办法实施细则 (Individual FX Implementing
Rules)](https://www2.ccb.com/chn/2017-04/18/article_2020110700264895234.shtml) [81]
[SAFE and General Administration of Customs - Interim Measures for Carrying Foreign-Currency
Cash Into or Out of China](https://www.safe.gov.cn/tianjin/2024/0430/2466.html) [82]
[General Administration of Customs - 2026 Answer on Currency Cash
Carriage](http://www.customs.gov.cn/eportal/ui?pageld=374112&msgDataId=a9034b8411dd
4cf59501d82bdc83a9be) [83] [Ministry of Justice - Measures for Financial-Institution CDD and
Recordkeeping](https://www.moj.gov.cn/pub/sfbgw/flfggz/flfggzbmzg/202512/t20251224_52
9734.html) [84] [State Council Order No. 837 - Provisions on Outbound
Investment](https://www.mee.gov.cn/zcwj/gwywj/202606/t20260602_1157822.shtml) [85]
[NDRC - Official Q&A on State Council Order No.
837](https://www.ndrc.gov.cn/xwdt/xwfb/202606/t20260601_1405611.html) [86] [SAFE
Circular 37 - Domestic Residents, Overseas SPVs and Round-Trip
Investment](http://m.safe.gov.cn/safe/2014/0714/5546.html)